Intel earnings growth and the cost of capacity

October 30, 2026 | INTC | USD | Current and future quarters

Valuation quarter	Modeled value	Method	Analytical Base	Excel Base
Q4 2027	USD 61.07	20x parent OP	70	72

Intel's server recovery can support a broader business in custom silicon, advanced packaging and external wafers. The forecast pays manufacturing, engineering, ordinary stock compensation, full intangible amortization and the cash needed to prepare capacity. Accepted output and the financing available to deliver it determine how much of the opportunity reaches shareholders.

I model USD 74.722 billion of 2027 revenue and USD 13.392 billion of consolidated operating profit. The selected Q4 2027 valuation is USD 61.07 per share at 20x parent-economic operating profit. Its four-quarter weighted OP observations total USD 16.978474 billion. The calculation first values each coherent branch using its quarter-start shares, then weights the branch ceilings. Analytical Base is 70 from 42/60; the protected Excel Base remains 72.

Financial amounts in reader tables use USD millions unless labeled. Model values and source exhibits retain their stated units.

Linked financial model | Financial workbook

Current earnings and outlook

Server demand is accelerating; profit capture depends on accepted output

Intel's third quarter shows a faster server franchise alongside weaker PC spending. Revenue reached USD 16,513 million and GAAP operating profit reached USD 2,522 million. DCAI delivered USD 7,318 million of revenue, while the client business generated USD 8,097 million. Manufacturing capacity, substrate availability, memory costs and the Israel interruption now shape the conversion of demand into shipments and profit.

Intel participates through its own CPUs and custom silicon, advanced packaging services and external wafer manufacturing. Each route has a distinct invoice, qualification process, manufacturing burden and cash requirement. CPU design, fabrication and packaging can reinforce one another as customers assemble more complex systems. Their financial contribution depends on the content Intel supplies, the accepted output and the costs and shareholder claims attached to it.

Sources: Q3 10-Q physical 5/13; printed 3/11; Q3 prepared remarks physical 1-3, 5-7

Latest reported financial results

The quarter ended September 26, 2026 and results were released October 29. Revenue increased from USD 13,653 million a year earlier to USD 16,513 million, a calculated 20.9% increase. Cost of sales was USD 9,417 million, leaving USD 7,096 million of gross profit. R&D of USD 3,490 million, marketing and administration of USD 1,030 million and restructuring of USD 54 million reconcile to USD 2,522 million of GAAP operating profit.

Net income attributable to Intel was USD 3,320 million. Reported diluted EPS was USD 0.60 on 5,307 million diluted weighted-average shares. The EPS numerator removes USD 120 million of escrow-related gain associated with the diluted share treatment. The quarter's total escrow mark-to-market gain was USD 1,005 million; the first nine months recorded a USD 12,614 million escrow mark-to-market loss. These gains and losses sit in interest and other income below operating profit and are separately adjusted in operating cash flow.

Third-quarter non-GAAP gross margin was 44.1% and non-GAAP EPS was USD 0.52. The reconciled GAAP income statement retains stock compensation, production depreciation and normal engineering costs. The quarter's GAAP gross margin calculates to 42.97%.

Sources: Q3 10-Q physical 5/15/17; printed 3/13/15; Q3 prepared remarks physical 4

Segments and the corporate cost bridge

CCPG generated USD 8,097 million of revenue and USD 2,285 million of segment operating profit. DCAI generated USD 7,318 million of revenue and USD 3,039 million of segment operating profit. Foundry reported USD 6,697 million of segment revenue and a USD 1,853 million operating loss. Its external revenue was USD 411 million, including USD 126 million from Altera as a related-party customer.

All Other contributed USD 692 million of revenue and USD 179 million of operating profit. Revenue eliminations of USD 6,291 million reconcile the segment total to consolidated revenue. Corporate-unallocated expense of USD 1,058 million and a USD 70 million operating elimination reconcile segment profit to GAAP operating profit. Corporate costs include USD 586 million of stock compensation, USD 54 million of restructuring, USD 72 million of acquisition-related costs and USD 346 million of other costs.

Foundry's USD 118 million sequential external-revenue increase was attributed primarily to a nonrecurring customer program. The source leaves the program's exact revenue and its wafer-versus-packaging mix undisclosed. Altera's 2025 deconsolidation also affects the year-over-year external-customer comparison.

Sources: Q3 10-Q physical 13/21/34-38; printed 11/19/32-36; Q3 prepared remarks physical 6

Q4 guidance and the next operating checkpoints

Management guides Q4 revenue to USD 15.0-16.0 billion. At the USD 15.5 billion midpoint it expects 38% non-GAAP gross margin, an 11% non-GAAP tax rate and USD 0.25 non-GAAP EPS. The release separately gives 37.1% GAAP gross margin, a 31% GAAP tax rate and USD 0.10 GAAP EPS.

The outlook includes mid-teens sequential DCAI growth, a greater-than-20% client-revenue decline, approximately USD 4.4 billion of non-GAAP operating expense, USD 250 million of NCI and 5.44 billion diluted weighted-average shares. Management expects purpose-built silicon to grow faster than DCAI overall, with its mix affecting gross margin.

Full-year 2026 gross capital spending remains USD 20 billion and non-GAAP operating expense approximately USD 16.3 billion. Management expects 2027 capital spending to rise strongly and describes 2027 as an investment year with positive free cash flow unlikely. A numeric 2027 capital budget, company-wide revenue or margin guide and formal Q1 DCAI guide remain unavailable. Management expects annual NCI of approximately USD 1.1 billion in each of 2027 and 2028.

Sources: Q3 release guidance and non-GAAP reconciliation; Q3 prepared remarks physical 6/7; Q3 displayed Q&A; source R2 QA-02/09/11

Revenue, normalization and accepted output

The actual Q3 revenue of USD 16.513 billion and reported earnings remain source observations. The recurring calibration removes an analytical USD 100 million nonrecurring-program proxy at 80% gross contribution. The issuer attributes most of the USD 118 million sequential external Foundry increase to a nonrecurring programme and leaves its exact amount undisclosed. Packaging's USD 110 million source allocation and the remaining wafer split are explicit analytical assignments.

The eight activity vectors are client PCs, physical AI/other client, core server CPUs, owned custom silicon, external packaging, external wafers, other-net and Classiq. Source CCPG revenue splits into USD 6.9 billion PCs and USD 1.197 billion other client; DCAI splits into USD 5.918 billion core CPU and USD 1.4 billion other DCAI. The USD 5 million consolidated-perimeter residual is separate from the source's USD 6.291 billion internal-revenue elimination.

The Q4 reference is USD 15.5 billion. A finite CPU-price branch sits alongside that reference. The selected joint distribution assigns 55% to stronger server units/ASP,85% to PC-memory pressure,75% to packaging readiness/Fortinet conversion and 45% to new-wafer conversion. AI-heavy execution states also carry more PC allocation pressure; financing access is linked to execution.

I allocate the modeled follow-on Israel revenue losses 95% to server products and 5% to PCs. This planning proxy reflects management’s statement that almost all of the original Fab 28 revenue impact concerned 10nm servers. The modeled total follow-on losses remain USD 300 million in Q1 2027 and USD 200 million in late-recovery Q2 states.

Intel Q3 2026 consolidated income statement

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Consolidated Condensed Statements of Operations

(In Millions, Except Per Share Amounts; Unaudited)	Three Months Ended Sep 26, 2026	Three Months Ended Sep 27, 2025	Nine Months Ended Sep 26, 2026	Nine Months Ended Sep 27, 2025
Net revenue	**$ 16,513**	**$ 13,653**	**$ 46,218**	**$ 39,179**
Cost of sales	9,417	8,435	27,266	25,747
Gross profit	**7,096**	**5,218**	**18,952**	**13,432**
Research and development	3,490	3,231	10,233	10,555
Marketing, general, and administrative	1,030	1,129	3,243	3,450
Restructuring and other charges	54	175	4,294	2,221
Operating expenses	**4,574**	**4,535**	**17,770**	**16,226**
Operating income (loss)	**2,522**	**683**	**1,182**	**(2,794)**
Gains (losses) on equity investments, net	330	221	219	611
Interest and other, net	1,130	3,670	(12,184)	3,402
Income (loss) before taxes	**3,982**	**4,574**	**(10,783)**	**1,219**
Provision for (benefit from) taxes	462	304	826	860
Net income (loss)	**3,520**	**4,270**	**(11,609)**	**359**
Less: net income (loss) attributable to non-controlling interests	200	207	(168)	35
Net income (loss) attributable to Intel	**$ 3,320**	**$ 4,063**	**$ (11,441)**	**$ 324**
Earnings (loss) per share attributable to Intel—basic	**$ 0.63**	**$ 0.90**	**$ (2.22)**	**$ 0.07**
Earnings (loss) per share attributable to Intel—diluted[1]	**$ 0.60**	**$ 0.90**	**$ (2.22)**	**$ 0.07**
Weighted average shares of common stock outstanding:				
Basic	**5,244**	**4,514**	**5,144**	**4,424**
Diluted	**5,307**	**4,531**	**5,144**	**4,434**

[1] *For the three months ended September 26, 2026 and three and nine months ended September 27, 2025, earnings per share attributable to Intel-diluted has been calculated by adjusting net income attributable to Intel for the gain of $120 million and loss of $2 million, respectively, related to the mark-to-market of that portion of the derivative liability that is attributable to 5 million and 342 thousand, respectively, contingent Escrowed Shares that were included in the weighted average shares of common stock outstanding-diluted during the period.*

See accompanying notes.

Revenue, COGS, R&D, operating profit, below-OP gains, tax and shareholder earnings. Source: Intel, October 29, 2026; PDF physical page 5. Printed page 3.

Intel Q3 2026 Segment reconciliation and corporate costs

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Net revenue, cost of sales and operating expenses and operating income (loss) for each period were as follows:

(In Millions)	Three Months Ended Sep 26, 2026							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 8,097**	**$ 7,318**	**$ 15,415**	**$ 6,697**	**$ 692**	**$ —**	**$ (6,291)**	**$ 16,513**
Cost of sales and operating expenses	5,812	4,279	**10,091**	8,550	513	1,058	(6,221)	**13,991**
Operating income (loss)	**$ 2,285**	**$ 3,039**	**$ 5,324**	**$ (1,853)**	**$ 179**	**$ (1,058)**	**$ (70)**	**$ 2,522**

(In Millions)	Three Months Ended Sep 27, 2025							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 8,535**	**$ 4,117**	**$ 12,652**	**$ 4,235**	**$ 993**	**$ —**	**$ (4,227)**	**$ 13,653**
Cost of sales and operating expenses	5,841	3,153	**8,994**	6,556	893	782	(4,255)	**12,970**
Operating income (loss)	**$ 2,694**	**$ 964**	**$ 3,658**	**$ (2,321)**	**$ 100**	**$ (782)**	**$ 28**	**$ 683**

(In Millions)	Nine Months Ended Sep 26, 2026							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 24,701**	**$ 18,632**	**$ 43,333**	**$ 17,883**	**$ 2,021**	**$ —**	**$ (17,019)**	**$ 46,218**
Cost of sales and operating expenses	17,557	11,577	**29,134**	24,262	1,510	7,554	(17,424)	**45,036**
Operating income (loss)	**$ 7,144**	**$ 7,055**	**$ 14,199**	**$ (6,379)**	**$ 511**	**$ (7,554)**	**$ 405**	**$ 1,182**

(In Millions)	Nine Months Ended Sep 27, 2025							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 24,035**	**$ 12,182**	**$ 36,217**	**$ 13,319**	**$ 2,989**	**$ —**	**$ (13,346)**	**$ 39,179**
Cost of sales and operating expenses	16,927	10,010	**26,937**	21,128	2,717	4,797	(13,606)	**41,973**
Operating income (loss)	**$ 7,108**	**$ 2,172**	**$ 9,280**	**$ (7,809)**	**$ 272**	**$ (4,797)**	**$ 260**	**$ (2,794)**

Corporate Unallocated Expenses

Corporate unallocated expenses include certain operating expenses not allocated to specific operating segments. The nature of these expenses may vary, but primarily consists of restructuring and other charges, share-based compensation and certain acquisition-related costs.

	Three Months Ended		Nine Months Ended	
(In Millions)	**Sep 26, 2026**	**Sep 27, 2025**	**Sep 26, 2026**	**Sep 27, 2025**
Restructuring and other charges[1]	$ 54	$ 175	$ 4,294	$ 2,221
Share-based compensation	586	548	1,894	1,896
Acquisition-related costs	72	118	302	388
Other	346	(59)	1,064	292
Total corporate unallocated expenses	**$ 1,058**	**$ 782**	**$ 7,554**	**$ 4,797**

[1] *See "Note 6: Restructuring and Other Charges" within Notes to Consolidated Condensed Financial Statements for further information.*

CCPG, DCAI, Foundry, eliminations and corporate-unallocated SBC. Source: Intel, October 29, 2026; PDF physical page 13. Printed page 11.

Intel Q3 2026 Node costs, market outlook and Q4 guide



Intel Foundry revenue was $6.7 billion, up 16 percent sequentially, driven by better-than expected growth on Intel 3 and Intel 18A. External Foundry revenue was $411 million, an increase of $118 million sequentially, primarily due to a non-recurring customer program.

Intel Foundry reported an operating loss of $1.9 billion, an improvement of $236 million sequentially, even as we continued to invest aggressively to prepare Intel 14A for risk production next year.

Higher yields, better cycle times, and increased factory utilization continued to reduce wafer costs. Intel 3 costs improved approximately 15 percent from Q1 levels, while volumes increased in the mid-teens sequentially. Intel 18A costs have declined approximately 40 percent since Q1, reflecting continued yield and cycle-time improvements. Intel 18A yields continued their upward trajectory to industry standard levels ahead of our internal projections. Since Q1, Intel 18A client CPUs have grown from less than 5% of revenue to now nearly one third of client CPU revenue.

These results represent meaningful progress, although we still have considerable work ahead of us to deliver a sustainably profitable Foundry business.

Turning to outlook.

Demand signals from our datacenter customers continue to strengthen. We expect the industry to remain supply-constrained throughout 2027 and into 2028.

As Lip-Bu discussed, the adoption of agentic AI is broadening the role of CPU compute. AI workloads are moving beyond prompt-based responses toward multi-step reasoning, orchestration, and autonomous persistent action. Our CPUs play a central role in enabling these workloads.

As a result, we continue to see strong demand for our DCAI products. We now expect industry server CPU units to grow more than 30 percent in both 2026 and 2027. Growth would be higher in both years if additional industry supply were available. At the same time, the PC market is weakening after remaining resilient during the first half of 2026.

We expect the 2026 PC unit TAM to decline approximately 12 percent, with second-half units down more than 20 percent. We do not expect a sustained recovery until memory availability improves and pricing begins to normalize. For 2027, we are planning for the PC unit TAM to decline roughly 10 percent. We expect year-over-year declines to be more pronounced during the first half, with the potential for improvement in the second half against an easier comparison.

Our long-term view of the PC market remains unchanged. Traditional PCs will play an important role in enabling AI applications and driving strong returns on AI infrastructure spending. In addition, we are just now seeing new agentic systems in the market. We also continue to see attractive longer-term opportunities in edge and physical AI as agentic applications spread across the economy.

Taking these factors together, we are guiding Q4 revenue to a range of $15.0 billion to $16.0 billion.

At the midpoint of $15.5 billion, we expect a gross margin of 38 percent, a tax rate of 11 percent and EPS of $0.25, all on a non-GAAP basis. Our guidance includes an impact of roughly $300m to revenue and 200 basis points to gross margin based on our early assessment of the incident at Fab 28.

Intel 3/18A cost progress, PC and server outlook and early Fab 28 guide impacts. Source: Intel, October 29, 2026; PDF physical page 6.

Intel Q3 2026 Segment outlook, shares, NCI and capital spending

By segment, we expect DCAI revenue to grow mid-teens percent sequentially, with Purpose Built Silicon growing faster than DCAI overall. Please note almost all of the $300m impact from Fab 28 is related to 10nm server products. We expect CCPG revenue to decline greater than 20% percent sequentially as customers move quickly to reduce weeks of inventory and align purchases with their expectations for 2027 consumption.

The sequential decline in Q4 gross margin primarily reflects lower overall revenue against our fixed-cost base as we adjust client wafer starts to current demand conditions. In addition, revenue mix, especially the strong growth expected in purpose-built silicon, is creating difficult quarter on quarter compares. These headwinds will be partially offset by continued yield and cost improvements on Intel 3 and 18A.

We expect non-GAAP operating expenses of approximately $4.4 billion in Q4 and approximately $16.3 billion for the full year.

We expect non-controlling interest, or NCI, to be approximately $250 million in Q4 and we currently expect NCI of approximately $1.1 billion in both 2027 and 2028. Lastly, we expect Q4 fully diluted share count of 5.44 billion, representing a full quarter of shares issued for our August equity offering.

Moving to CapEx.

Our 2026 gross capital expenditures remain on track to be $20 billion, and we expect 2027 gross capital spending to be up strongly. We have made good progress securing the equipment required to support our growth plans, with firm purchase orders to equipment suppliers increasing nearly 40 percent sequentially. We are also accelerating clean-room buildouts, including Fab 62 in Arizona, and exploring opportunities to accelerate in Ohio. Despite this increase in capital spending and working capital, we remain committed to deleveraging in 2027.

We will remain disciplined as we invest. And we will not spend a dollar of capital unless we have confidence in the health of our products and process technologies and clear evidence of customer demand. Our confidence in all three is improving.

In closing, I want to offer a few words outlining the opportunity we see ahead:

Our core server CPU market is growing faster than ever, and edge and physical AI represent meaningful incremental opportunities for client-class CPUs, even as we navigate the current market conditions. Importantly, as we improve our product execution and roadmap, we have opportunities to regain share and grow even faster than our underlying markets.

Beyond our core x86 franchise, we are investing in three large opportunities where we have meaningful momentum but relatively modest revenue today: purpose-built silicon, advanced packaging and external wafer foundry. Each represents tens of billions of dollars of new markets where our technology, manufacturing assets and customer relationships provide us a differentiated opportunity to participate.

Taken together we have line of sight to long-term double-digit revenue growth with meaningful leverage and improving margins. We have significant work ahead of us. However, the combination of stronger markets and the cultural changes set into motion by Lip-Bu to improve execution, transparency and discipline gives us increasing confidence in Intel's long-term earnings power and free cash flow growth, ----- a solid foundation for building sustainable shareholder value.

Q4 operating assumptions, 5.44B weighted diluted guide, 2026 capex and qualitative 2027 investment. Source: Intel, October 29, 2026; PDF physical page 7.

CPU and client markets

CPU demand, product mix and architecture competition

Intel describes agentic workloads as a growing source of CPU work in orchestration, data access and persistent multistep tasks. Management estimates that the server CPU market could expand from roughly USD 40 billion to more than USD 200 billion over five years. It expects industry server CPU units to grow more than 30% in both 2026 and 2027, with available supply limiting growth. These are management market estimates; Intel's realized unit share, product mix and prices require separate evidence.

Granite Rapids on Intel 3 is now Intel's largest server product family. Clearwater Forest on 18A is shipping for revenue, while Diamond Rapids on 18A-P is sampling with a planned 2027 ramp. Intel described a planned Oracle collaboration spanning current and future Xeon platforms, including expected OCI X14 offerings based on Diamond Rapids. Product-level accepted units, contract prices and absolute yields remain unreported.

The filing attributes year-over-year server revenue growth to unit growth of 10% and ASP growth of 54%. ASP incorporates the products and configurations shipped. AMD, Arm-based designs and customers' internally designed silicon remain relevant alternatives. A larger total workload pool can coexist with changes in architecture share and competitive pricing.

Sources: Q3 10-Q physical 36-37; printed 34-35; Q3 prepared remarks physical 1/3/5/6

Client computing and memory constraints

PC customers are reducing inventory as memory availability and higher system prices pressure IT budgets. Management expects PC unit TAM to decline approximately 12% in 2026 and roughly 10% in 2027. It expects a greater-than-20% sequential decline in CCPG revenue in Q4, with pressure concentrated around the inventory adjustment.

Panther Lake and Wildcat Lake are ramping on Intel 18A. Management reported roughly 70% sequential Wildcat unit growth and sold-out availability, while AI PC revenue grew 35% year over year. Nova Lake on 18A-P was tracking ahead of schedule, with expected launch design wins twice Panther Lake's level. These product indicators coexist with a weaker industry demand backdrop and a changing client mix.

The Q3 filing reports client units down 14% year over year and client ASP up 9%. Memory inflation, richer product mix and customer inventory management affect the commercial outcome through different channels. Edge and physical-AI design wins provide additional workload exposure, with revenue and recurring support requirements still to be established at the relevant product level.

Sources: Q3 10-Q physical 35-36; printed 33-34; Q3 prepared remarks physical 2/5-7

Intel Q3 2026 Capacity footprint and management CPU TAM

Capacity build-out: Across our own manufacturing network, additional capacity continues to come on-line. Intel 3 tool installation is progressing well in Ireland, as is the ramp of Intel 18A in both Oregon and Arizona, including Fab 62 our second high volume 18A fab. In New Mexico and Malaysia, we are adding capacity to support strong customer ramps for advanced packaging next year.

In New Albany, Ohio, the team recently achieved an important construction milestone with installation of the first major structural truss, and we continue to evaluate unique and highly differentiated opportunities to accelerate our Ohio build-out, and I hope to share more on this in the near future.

Looking to the future: I have always emphasized that rebuilding Intel is going to be a multiyear journey, and I remain firmly committed to making it happen. We are only a year and a half into this journey. We have made enormous strides in these 18 months, including a dramatic re-sizing of our workforce, eliminating middle management and bureaucracy, streamlining our executive ranks and establishing an almost entirely new leadership team. We have instilled once again an engineering centric culture, streamlined our product portfolio, and put in place a more competitive roadmap for Intel Products and Intel Foundry. We still have much more to do.

The resurgence in demand for CPUs is a meaningful tailwind for us along our transformation journey. Increasingly, energy efficiency is becoming the most important metric for the AI infrastructure build-out. While GPUs are great at "thinking tasks", deterministic CPUs are far more efficient at "finding" tasks. While a GPU reasoning query can run as high as multiple watt-hours of energy, a single CPU-based query could cost only joules of energy.

Applying even conservative estimates to the total number of digital agents, and agents serviced per CPU, it is easy to anticipate a massive dollar and unit TAM for CPUs over the coming 5 years. By our estimates, server CPU TAM, largely driven by agentic workloads, could increase as much as 5X from where it is today, from $40B to more than $200B over 5 years.

This makes the opportunity for Intel enormous. We are, of course, mindful of the fierce competition underway as nearly every fabless company races to meet this unprecedented demand with their own offering.

But Intel is uniquely positioned to benefit from this demand in 3 ways –

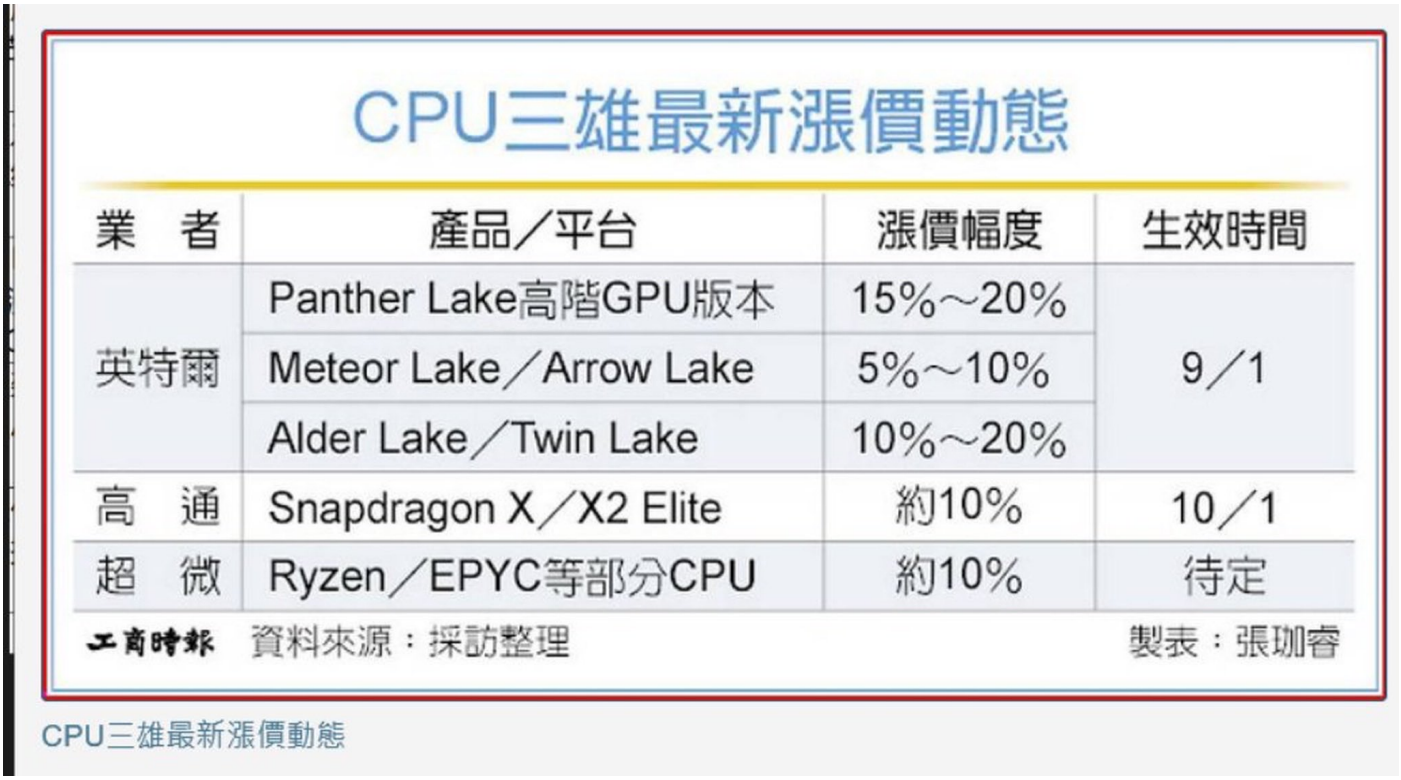
First, as the custodian of x86, the most widely deployed ISA in the world, we are doubling down on x86 innovation and have an exciting tick-tock roadmap of CPU innovations in the pipeline. In addition, for the first time, we are making fully modular, verified instances of our x86 CPUs, optimized for custom workloads, available to our customers.

Second, as one of just three advanced node semiconductor foundries in the world, and the only one domiciled in the United States, we are well positioned to support not only our own demand, but also the demands of the wider fabless industry. We are also open to building any CPUs at-scale, for our customers, fully agnostic to the underlying ISA.

Third, as modern computing platforms increasingly become complex "systems in a package", our leadership in advanced packaging offers highly differentiated solutions, essential to meeting the requirements of the massive AI infrastructure build-out underway. This is why I remain optimistic on the opportunities ahead for Intel even as we have work to do.

Ireland/Oregon/Arizona/packaging capacity and the management server CPU market thesis. Source: Intel, October 29, 2026; PDF physical page 3.

Dated source evidence



CPU三雄最新漲價動態

業　者	產品／平台	漲價幅度	生效時間
英特爾	Panther Lake高階GPU版本	15%～20%	9／1
	Meteor Lake／Arrow Lake	5%～10%	
	Alder Lake／Twin Lake	10%～20%	
高　通	Snapdragon X／X2 Elite	約10%	10／1
超　微	Ryzen／EPYC等部分CPU	約10%	待定

工商時報　資料來源：採訪整理　製表：張珈睿

CPU三雄最新漲價動態

Commercial Times CPU-pricing table dated October 12, 2026. Channel price/effective-date evidence and the undetermined AMD entry retain their original source scope.

Products and manufacturing progress

Owned custom silicon and security workloads

Purpose-built silicon sits within DCAI. Management reported revenue more than 50% higher sequentially and more than doubled year over year. It describes a business that tripled over three years and could triple again over the next few years. The latest comments include engagements with existing and prospective customers, including AI labs, and investment in a broader IP portfolio.

The Fortinet collaboration gives Intel a route to security-related silicon and manufacturing activity. Commercial value depends on design ownership, accepted chip or service quantities, pricing, qualification and sustained engineering support. Source references to the same customer across ASICs, packaging and wafer manufacturing require an explicit content reconciliation.

Exploratory SK hynix memory-manufacturing discussions retain the prior 20% analytical conversion probability. The current forecast assigns 100% overlap to the existing external-wafer/manufacturing-capacity path and its paid R&D and capital budget, producing zero additional revenue or operating profit. Intel's invoice role, unit or service content, asset ownership, qualified capacity, supplier/customer commitments and funding terms remain unquantified. Credible evidence on these quantities, costs and timing would move the incremental economics and overlap assessment within the current framework.

Sources: Q3 prepared remarks physical 2/5/7; Preserved source H02; Intel Fortinet announcement July 21, 2026; Preserved source H04; attributed exploratory discussion September 16, 2026

D-Series inference products

Crescent Island and the Intel GPU D-Series address sustained, memory-intensive inference. Intel's October materials describe a 160 GB LPDDR 5X Intel card and larger-memory ODM configurations. The preserved launch record also identifies an air-cooled PCIe form factor and inference-oriented compute and bandwidth specifications.

The latest call describes encouraging early feedback and customer engagements progressing toward commitments. Accepted paid volume, realized selling prices, memory procurement costs, software investment and ongoing support costs remain unquantified. These items determine the incremental economics of entering a GPU inference market with established hardware and software ecosystems.

Sources: Q3 prepared remarks physical 2/5; Preserved source H05; issuer October 12, 2026 launch materials

Process execution, 18A-P and the new 14A milestone

Management reported Intel 3 costs approximately 15% lower than Q1 and Intel 18A costs approximately 40% lower than Q1. It attributed progress to yields, cycle times and factory utilization. Intel 18A client CPUs expanded from less than 5% to nearly one third of client CPU revenue. These figures describe particular node and product scopes; consolidated cost of sales also reflects product mix, purchased inputs, support and underutilized capacity.

Intel released its 14A 0.9 process design kit to selected customers in October. Management described the release as meeting its industry-standard yield and performance criteria. This is a completed design-kit milestone. Customer tape-outs, design acceptance, wafer starts, qualified production yield and paid volume remain separate commercial milestones with undisclosed quantities.

Intel 18A-P remained on track for year-end launch across the internal portfolio. Management described engagement with a small number of strategic external customers. The Q&A gives a Q1 2027 objective for PDK 1.0 and discusses 14A production in 2028. The official remarks specify 2027 risk-production preparation. These dated outlooks retain their original scopes and customer-qualification dependencies.

Sources: Q3 prepared remarks physical 2/6/7; Q3 displayed Q&A; source R2 qualifier reconciliation QA-02/04/05/06/10

Intel Q3 2026 Product roadmap and October 14A PDK release

scale output. Finally, earlier this month, an unfortunate and tragic accident led to a extended shutdown in our Israel factory. While the teams have worked quickly to address the situation, it will impact our Q4 10nm server shipments.

Purpose-built silicon remains our fastest growing business segment, tripling over the last 3 years and poised to triple again over the next few years. We see further growth opportunities with both existing and new potential customers, including AI labs, and are expanding our IP portfolio to meet the needs of a wider array of customers.

Lastly, we recently unveiled our Crescent Island inference-optimized GPU. Early feedback is encouraging, performance is tracking well. This is a new market for us, and it will take time to scale, but customer engagements are progressing towards firm commitments.

CCPG: Turning to our client business. In recent weeks, our customers began signaling a PC slowdown based on memory prices and availability. Year-to-date system end-point prices have increased significantly placing additional pressure on already limited IT budgets.

The pace of the PC correction has accelerated over the last 2 months, as our OEM partners are aggressively managing inventory to match the softer sell thru. We expect the current environment to persist until memory availability and prices begin to normalize.

While the next few quarters will be challenging for the PC market, our roadmap continues to strengthen and our long-term outlook remains positive. We have successfully ramped Panther Lake on Intel 18A and demand for Wildcat Lake is outstripping supply.

Nova Lake, our first Intel 18A-P client product, is tracking ahead of schedule, with design wins expected to be twice those of Panther Lake at launch. We look forward to sharing more at CES in January. As the market normalizes, we expect this portfolio to drive meaningful share gains.

Foundry: Intel Foundry execution continues to improve consistently. During the quarter, Intel 3 and Intel 18A yields both increased again, with Intel 18A improving at a double-digit rate. Wafer output on both nodes exceeded expectations.

Intel 18A-P remains on track for launch by year-end across our internal product portfolio, and external customer engagement continues to build. We are engaged with a couple of highly strategic customers, and I am increasingly confident that Intel 18A-P will be an attractive node for external foundry customers.

Intel 14A also remains on track. In October, as committed, we released our industry standard 0.9 PDK to select customers. It is our highest-quality 0.9 PDK, meeting industry standard yield and performance criteria at release.

As is standard practice in the foundry business, I have consistently maintained that we will not disclose customer details. That being said, I remain highly encouraged by the progress we are making with multiple potential customers on 14A.

On advanced packaging – we are pleased by the progress we are making with EMIB and EMIB-T for our internal products. Both continue to see significant external customer traction as well. We continue to improve on execution, working with our supply chain to secure the capacity to meet the needs of our advanced packaging customers. We are also seeing robust progress in the readiness of HBI, which is an enabler of 3D chip stacking for our upcoming server products.

Purpose-built silicon, client roadmap, released 14A 0.9 PDK, EMIB/EMIB-T and HBI progress. Source: Intel, October 29, 2026; PDF physical page 2.

Dated source evidence



CCPG revenue was $8.9 billion, up 15 percent sequentially, and better than our expectations. The client TAM continued to hold up well despite broad component constraints and price inflation. Our AI PC revenue grew 26 percent sequentially and now represents two thirds of our client revenue mix. In addition, we saw solid performance in our edge deployments, now representing roughly 10 percent of CCPG revenue.

Operating profit for CCPG was $2.3 billion, 26 percent of revenue, and down approximately $173 million quarter-over-quarter due to inventory charges taken to optimize our factory network to overall customer demand across client and server.

Our client group has now brought 18A to full scale with 400+ designs for Series 3 across consumer and commercial. During a period of inflationary pressures, CCPG brought Core Series 3 to market at the ideal time, on its A-stepping, to provide cost optimized mainstream compute capabilities.

Our Integrated Arc graphics solution continues to see strong market adoption. With 40+ Arc integrated graphics designs across Creator, workstation, Commercial and gaming targeted designs. Building on our success in gaming notebooks, in Q2, CCPG also introduced Intel® Arc™ G-Series processors, a new family of products designed for next-generation handheld gaming systems – an additional vector for growth.

On the commercial side, activations for our market leading vPro manageability software have surged fifteen hundred percent over the last four quarters. Underpinning that manageability and enhanced security are critical must-haves in the agentic workplace.

We expect enterprise adoption of AI to be a long-term tailwind for CCPG, but our AI driven market prospects don't stop there as the Edge and Physical AI opportunity is likely to at least match the client TAM overtime. CCPG showcased this growing opportunity with 130 Series 3 designs wins for edge AI applications including brain and control deployments for robotics.

DCAI revenue was $6.3 billion, an increase of 24 percent sequentially and 59 percent year over year, meaningfully ahead of expectations. The result was driven by strong demand across hyperscale and enterprise. We also continue to see strong momentum in our purpose-built silicon product line with revenue up roughly 20 percent sequentially and nearly tripling year-over year.

Operating profit for DCAI was $2.5 billion, 40 percent of revenue, and up approximately $1 billion quarter over quarter, on higher revenue, improved product margins, and lower operating expenses.

Within the quarter, DCAI launched Xeon 6 plus, code named Clearwater Forest, our first server class product on 18A. The team announced rackscale and disaggregated inference innovations with partners SambaNova and Foxconn. In addition, DCAI further enhanced our connectivity offerings by introducing new controller and adapter products supporting Data Center, Enterprise and Telco applications which scale from 10 to 200 gigabit ethernet.

Turning to Intel Foundry. Revenue of $5.8 billion was up 6 percent sequentially, on higher fab volumes driven by strong growth in Intel 18A with output approximately 25% above target and up more than 50% quarter-over-quarter. External Foundry revenue was $293 million in the quarter.

Intel Foundry operating loss in Q2 was $2.1 billion, and $348 million better quarter-over-quarter, as higher yields, improved cycle times and increased factory scale across Intel 4/3 and 18A drove improved wafer costs. Progress on 18A has been very good. Intel Foundry has driven down the cost

Intel prepared remarks of July 23, 2026, physical page 4. Read with the following page for the complete Panther Lake cost and manufacturing statement.

Dated source evidence

of our primary Panther Lake SKU by roughly 50 percent year to date and is on track for an additional 20 percent this year with further meaningful reductions planned in 2027.

Within the quarter, in addition to delivering output above our expectation, Intel Foundry also entered risk production for 18A-P and met critical milestones towards delivering the 0.9 PDK for Intel 14A in October. We stepped up investments in Q2 for Intel 14A to prepare for risk production in 2027 and committed high volume ramps in 2028.

Now turning to guidance.
Looking ahead, customers continue to signal a strong and sustainable spending environment driven by the unprecedented demand for AI compute. Industry-wide supply constraints across wafers, memory and substrates remain the dominant challenge our customers are facing to support the AI infrastructure build-out. Our wafer output across our major nodes exceeded expectations from 90 days ago, and Q3 quarter to date 18A yields are trending ahead of targets set in March. Even with this strong execution and the positive trends as we enter the quarter, supply remains very tight and the near-term linearity of our supply growth is more skewed towards the end of Q3 and into Q4, especially for servers.

From an end market perspective, we expect PC consumption to be sub-seasonal in the second half of the year and down low double digits percent for all of 2026, impacted by rising memory prices and constraints. This is in-line with industry peers and 3rd party estimates. At the same time, improving supply, a strengthening product portfolio, and encouraging tailwinds for edge deployments provide us with some positive offsets. Our outlook for server CPU demand has improved again since our last earnings report, and we are forecasting strong double-digit unit growth for the industry this year and next, with momentum extending into 2028.

Taken together, we are guiding Q3 revenue to a range of $15.8 to $16.8 billion. At the midpoint of $16.3 billion, we forecast gross margin of 42 percent, a tax rate of 11 percent, and EPS of $0.38 cents, all on a non-GAAP basis.

We continue to tightly manage non-gaap operating expenses to roughly $16.5 billion for the year. And we expect non-controlling interest, or NCI, to net to approximately $250 million in each of Q3 and Q4 of this year and be approximately $1.1 billion for 2027 and 2028, on a GAAP basis.

Turning to CapEx. Due to strong customer demand signals, we are raising our outlook for 2026 and now expect our cap ex to be more than $20 billion, which is up significantly versus our expectations entering the year. We are also aggressively locking in tool purchase orders from our vendors, accelerating our clean room buildouts, and actively securing supply of substrates and memory. As a result, we are forecasting 2027 capital expenditures to be significantly above the 2026 levels with the vast majority spent across our US network.

In fact, as we look back from 2021 through 2026, our total capital spending in tools and space in the US is approaching $100 billion, significantly higher than any other semiconductor company over that timeframe. We remain committed to tightly matching our expenditures with customer demand and remain financially disciplined as we capture the growth ahead.

In closing, Q2 was another strong quarter financially and operationally. The client TAM is unfolding as expected and server CPU demand continues to far outpace available supply. Emerging markets in Physical AI, purpose-built silicon, advanced packaging, and external wafers are each multibillion-dollar annual revenue opportunities for us in the not-too-distant future. I'm confident in our ability to leverage our broad IP portfolio to solve our customers' most pressing needs and drive long-term value for our shareholders.

Intel prepared remarks of July 23, 2026, physical page 5. The dated Panther Lake cost, Q3 guide and NCI/capital outlook retain their July information vintage.

Packaging and external wafers

Advanced packaging and external wafer economics

EMIB, EMIB-T and hybrid bonding connect compute, memory and interconnect dies within increasingly complex systems. More bridges, larger package bodies and richer memory configurations can increase Intel content. They also require substrates, assembly steps, thermal and power engineering, test time, reliability work and customer support.

Intel is adding advanced-packaging capacity in New Mexico and Malaysia for expected 2027 customer ramps. Management says demand exceeds available supply and identifies advanced organic substrates as an output constraint. The Q&A discusses additional substrate capacity concentrated later in 2027; the official prepared remarks separately report equipment purchase orders increasing nearly 40% sequentially. Their denominators and timing differ.

Packaging externally fabricated dies earns packaging-service revenue. A wafer award creates a separately priced manufacturing relationship. Intel-owned ASIC sales belong in the appropriate product revenue pool, and internal Foundry transfers are eliminated on consolidation. The potential Google sourcing program described in the preserved record remains a reported customer opportunity with undisclosed current accepted units, prices and invoice scope. Customer redesign, qualification and delivery schedules govern its economic conversion.

Sources: Q3 prepared remarks physical 1-3/6/7; Q3 displayed Q&A; source R2 QA-01/10; Preserved source H01 and H08

Programme economics and overlap

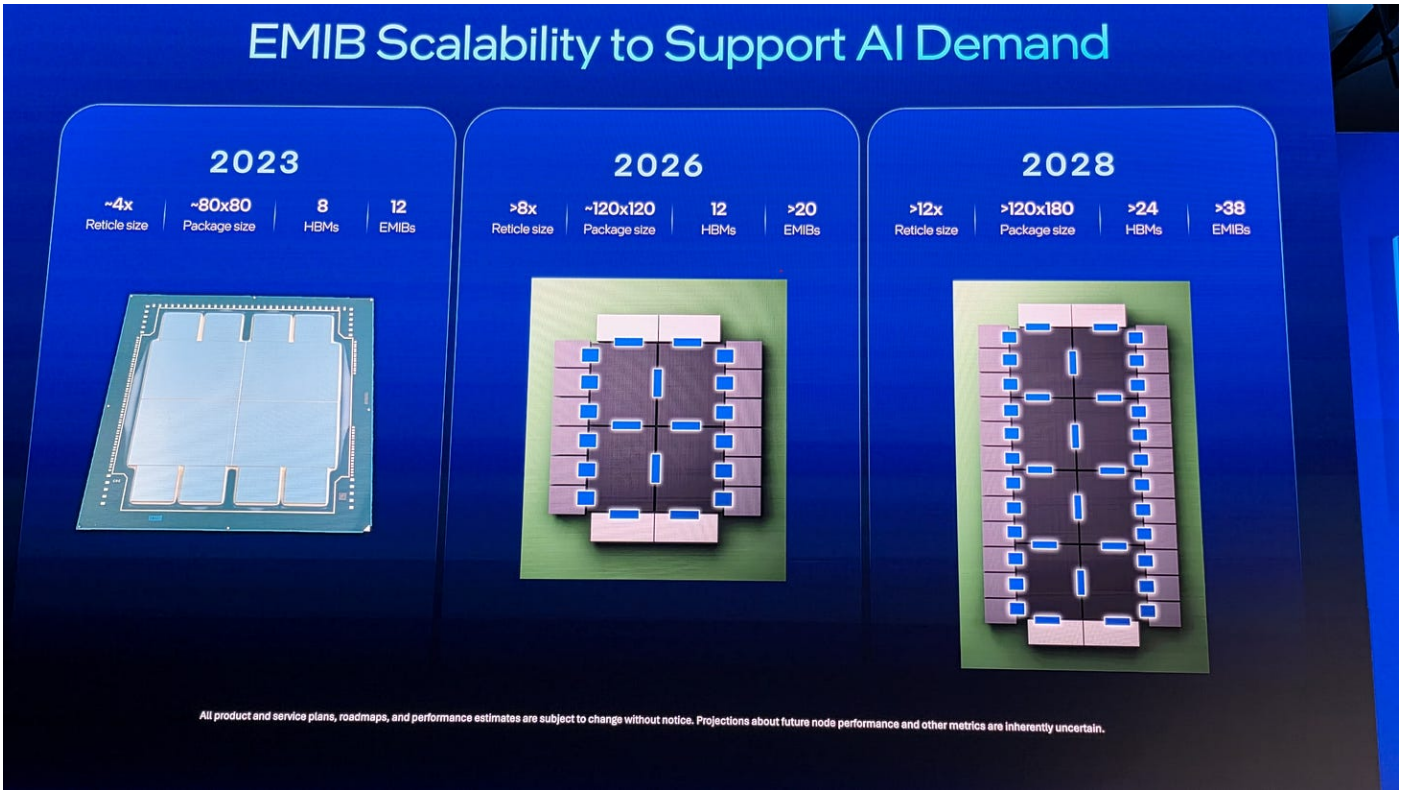
The Google packaging case has 60% live marginal probability. Conditional accepted units are 3.0 million in 2028,3.6 million in 2029 and 4.5 million in 2030, at modeled packaging content of USD 1,500,1,600 and 1,700. These units earn packaging-service revenue and require manufacturing, incremental platform engineering and customer support. Mature packaging and other customers have their own residual vector.

Fortinet uses USD 40 manufacturing-service content per chip and 0.5/0.75/1.0/1.2 million conditional chips during 2027-2030. Cash manufacturing consumes 65% and direct support 10%, with shared wafer engineering/sales costs retained separately. The reference-weighted component is carved from mature wafer revenue before the selected state component is added once.

D-Series has 25% conversion probability and modeled 0/10,000/20,000/40,000 cards during 2027-2030 at USD 7,500. Cash manufacturing is 65% and direct software/commercial support 18%. The reference component is removed from the ASIC residual before the active conversion outcome enters. Existing platform development remains paid across conversion states.

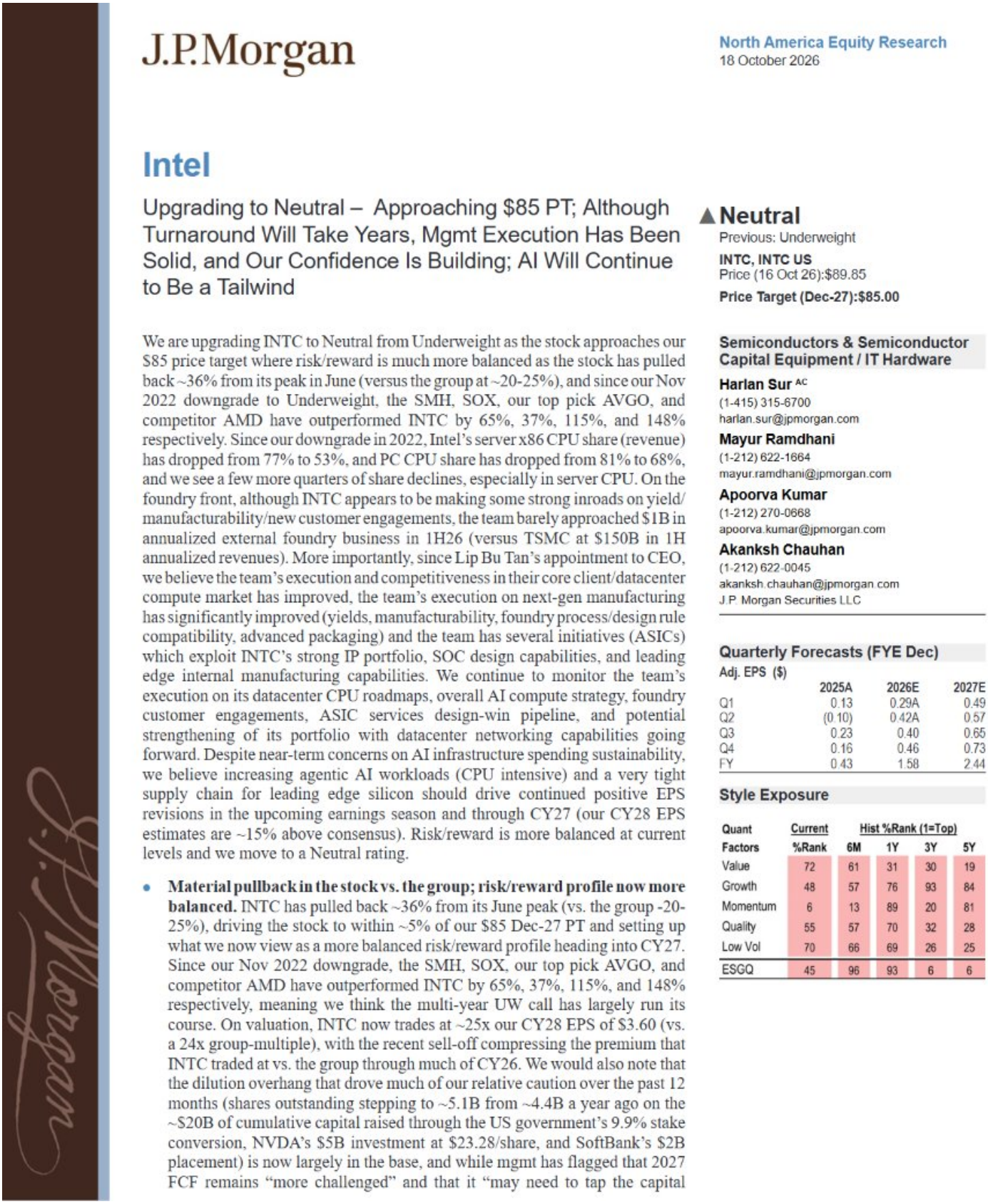
New external wafers use the selected accepted-unit schedule and USD 24,000 content per wafer, with a separate USD 25 million prototype fee in Q4 2027. Source absolute yields and customer prices remain undisclosed. CPU pricing has 35% probability,20% eligible client revenue,10% conditional premium,50% overlap and 1% eligible unit loss. Price and lost-unit terms pay their own manufacturing and commercial costs.

Dated source evidence



Historical Intel EMIB roadmap reproduced in the April 24, 2026 Irrational Analysis discussion. Package size, bridges and HBM imply manufacturing and qualification requirements; the reproduction has incomplete original-source coverage.

Dated source evidence



J.P.Morgan

North America Equity Research
18 October 2026

Intel

Upgrading to Neutral – Approaching $85 PT; Although Turnaround Will Take Years, Mgmt Execution Has Been Solid, and Our Confidence Is Building; AI Will Continue to Be a Tailwind

▲ **Neutral**
Previous: Underweight

INTC, INTC US
Price (16 Oct 26):$89.85
Price Target (Dec-27):$85.00

We are upgrading INTC to Neutral from Underweight as the stock approaches our $85 price target where risk/reward is much more balanced as the stock has pulled back ~36% from its peak in June (versus the group at ~20-25%), and since our Nov 2022 downgrade to Underweight, the SMH, SOX, our top pick AVGO, and competitor AMD have outperformed INTC by 65%, 37%, 115%, and 148% respectively. Since our downgrade in 2022, Intel's server x86 CPU share (revenue) has dropped from 77% to 53%, and PC CPU share has dropped from 81% to 68%, and we see a few more quarters of share declines, especially in server CPU. On the foundry front, although INTC appears to be making some strong inroads on yield/manufacturability/new customer engagements, the team barely approached $1B in annualized external foundry business in 1H26 (versus TSMC at $150B in 1H annualized revenues). More importantly, since Lip Bu Tan's appointment to CEO, we believe the team's execution and competitiveness in their core client/datacenter compute market has improved, the team's execution on next-gen manufacturing has significantly improved (yields, manufacturability, foundry process/design rule compatibility, advanced packaging) and the team has several initiatives (ASICs) which exploit INTC's strong IP portfolio, SOC design capabilities, and leading edge internal manufacturing capabilities. We continue to monitor the team's execution on its datacenter CPU roadmaps, overall AI compute strategy, foundry customer engagements, ASIC services design-win pipeline, and potential strengthening of its portfolio with datacenter networking capabilities going forward. Despite near-term concerns on AI infrastructure spending sustainability, we believe increasing agentic AI workloads (CPU intensive) and a very tight supply chain for leading edge silicon should drive continued positive EPS revisions in the upcoming earnings season and through CY27 (our CY28 EPS estimates are ~15% above consensus). Risk/reward is more balanced at current levels and we move to a Neutral rating.

- **Material pullback in the stock vs. the group; risk/reward profile now more balanced.** INTC has pulled back ~36% from its June peak (vs. the group -20-25%), driving the stock to within ~5% of our $85 Dec-27 PT and setting up what we now view as a more balanced risk/reward profile heading into CY27. Since our Nov 2022 downgrade, the SMH, SOX, our top pick AVGO, and competitor AMD have outperformed INTC by 65%, 37%, 115%, and 148% respectively, meaning we think the multi-year UW call has largely run its course. On valuation, INTC now trades at ~25x our CY28 EPS of $3.60 (vs. a 24x group-multiple), with the recent sell-off compressing the premium that INTC traded at vs. the group through much of CY26. We would also note that the dilution overhang that drove much of our relative caution over the past 12 months (shares outstanding stepping to ~5.1B from ~4.4B a year ago on the ~$20B of cumulative capital raised through the US government's 9.9% stake conversion, NVDA's $5B investment at $23.28/share, and SoftBank's $2B placement) is now largely in the base, and while mgmt has flagged that 2027 FCF remains "more challenged" and that it "may need to tap the capital

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	0.13	0.29A	0.49
Q2	(0.10)	0.42A	0.57
Q3	0.23	0.40	0.65
Q4	0.16	0.46	0.73
FY	0.43	1.58	2.44

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	72	61	31	30	19
Growth	48	57	76	93	84
Momentum	6	13	89	20	81
Quality	55	57	70	32	28
Low Vol	70	66	69	26	25
ESGQ	45	96	93	6	6

J.P.Morgan source page dated October 18, 2026: execution, capital and dilution context. The original bank numbers retain their date and authorship; the full report is unavailable.

Dated source evidence

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18 October 2026

J.P.Morgan

markets" again, we think the risk of further significant dilution is increasingly discounted at current levels.

- **Execution and competitiveness have materially improved under Lip Bu Tan.** Since Lip Bu Tan took over as CEO, we think the team's execution across core compute, manufacturing, and strategic positioning has meaningfully improved. On the core compute side, DCAI/server has emerged as INTC's largest profit pool, with 2Q26 DCAI operating income of $2.5B surpassing Client for the first time, and Granite Rapids demand characterized as "extremely tight" with Google + other LTAs extending visibility well into CY27. CCPG continues to benefit from favorable ASP/mix dynamics (AI PC now two-thirds of client mix) even as memory-driven BOM inflation pressures PC units through 2H26 and into CY27. On the manufacturing side, we see a step-change, with 18A-P in risk production, and 14A now fully committed to 2028 HVM and risk production targeted for 2H27 (0.9 PDK landing in October). We would also point to materially better yields, manufacturability, foundry process/design-rule compatibility, and advanced packaging (EMIB-T backlog building toward 2027 ramps) as evidence that the technology foundation has stabilized. Finally, on strategic positioning, the ASIC services initiative is approaching a ~$2B run-rate (~3x Y/Y) with a path toward $4B, leveraging INTC's strong IP portfolio, SoC design capabilities, and leading-edge internal manufacturing - an increasingly important optionality lever as hyperscaler custom silicon spend accelerates.
- **Key proof-points we continue to monitor….market will need to continue to be patient...** While we are stepping off UW, we remain Neutral pending (1) continued execution on the datacenter CPU roadmap and the competitive response to AMD's Turin/ Venice/Verano all critical to sustaining the DCAI margin trajectory; (2) more concrete progress on the overall AI compute strategy, including the Crescent Island GPU (recently rebranded as "D-Series") ramp and incremental AI-ASIC and inference-accelerator design-win disclosures; (3) external foundry customer wins; and (4) potential strengthening of the portfolio with datacenter networking capabilities (either organic or inorganic) given the increasing importance of networking as the fastest-growing layer of the AI stack. We would also continue to monitor the capital structure trajectory, with mgmt explicit that 2027 FCF is "more challenged" and that further capital markets activity may be required, incremental dilution is a key risk.

J.P.Morgan source page dated October 18, 2026: server demand, manufacturing, ASIC services and capital-market context. Accepted customer prices and quantities require separate evidence.

Optical technology and quantum software

Optical I/O and longer-term technology

Silicon photonics and optical I/O address bandwidth, reach and power constraints around large compute systems. Intel identifies silicon photonics, neuromorphic computing, advanced materials and quantum computing within its longer-term technology portfolio.

Historical reproduced optical-I/O figures report engineering work on wavelength scaling, ring modulators, optical amplification, thermal tracking and open-cavity assembly. Those milestones retain their measured design and demonstration scopes. Production assessment still requires complete lane spectra, insertion loss, timing and temperature behavior, power and noise, reliability, manufacturing cost and accepted customer output. The full original paper and commercial production economics remain incomplete. The forecast carries this evidence within its existing paid process R&D and wafer/packaging-capacity cost scope, with 100% overlap and zero additional revenue or operating profit. General manufacturing investment and reported optical design progress have separate evidence scopes. No new quantified optical programme or conversion probability is introduced.

Intel's proposed Classiq acquisition extends its quantum-software portfolio. The filing describes USD 1.9 billion of base consideration and up to USD 350 million of contingent consideration, with the cash/share election unresolved. Closing was expected in the first half of 2027, subject to conditions. The proposal introduces its own financing, integration and commercialization obligations.

Sources: Q3 prepared remarks physical 4; Q3 10-Q physical 22; printed 20; Preserved sources H07/H10

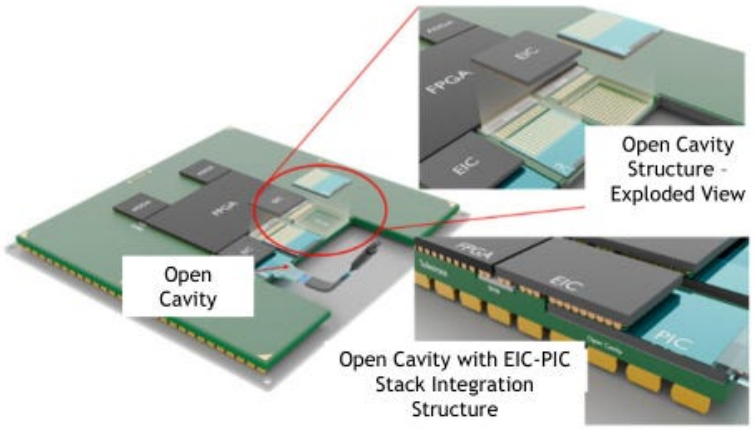
Classiq acquisition and software scope

Closing has 85% probability, with 30% stock settlement conditional on closing and 50% full earnout conditional on closing. Five acquisition states preserve no/full USD 350 million earnout outcomes and the no-close state. Base consideration of USD 1.9 billion is staged to Q2 2027. The modeled USD 95 stock-settlement price is the dated August offering anchor.

The initial commercial proxy is 500 annual enterprise software contracts at USD 100,000. Annualized revenue controls are USD 50/75/105/140 million for 2027-2030, and annualized ordinary cash costs are USD 70/80/95/110 million. The selected closing branch begins operating recognition in Q3 2027, so that year carries a partial operating period. Source Classiq revenue is unreported. USD 30 million integration cash is paid once outside recurring OP. Intangible allocation of 35% and a five-year life are analytical PPA proxies, with full successful contingent consideration entering the amortizable basis at settlement.

Dated source evidence

Advanced Packaging – Open Cavity

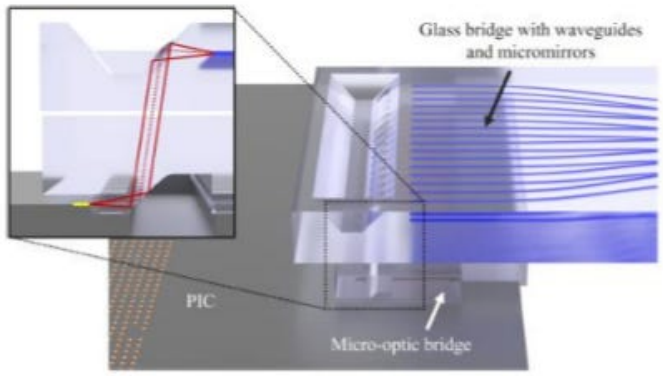


[R. Mahajan TED 2025]

- Co-packaged optical package with an open cavity architecture
- Three stacks of electrical IC (EIC) dies on photonics ICs (PICs) in 227.5 µm deep open cavity
- 56 couplers (127 µm pitch) attached to the PIC edge using fiber-based butt-coupling technology

WS 3.1 2026 IEEE VLSI Symposium on Technology and Circuits Slide 16

Passively Aligned Glass Micro-Optic Bridge



Test configuration with glass waveguide bridge containing curved micromirrors

[N. Psaila JLT 2024]

Low-cost, high-volume wafer-based assembly of low profile collimating micro-optics.

- Glass micro-optic bridges were passively aligned to the PICs
- Beam expansion of the PIC edge coupler with beam diameter of approximately 30 µm.
- An average excess loss of 1.32 dB with two curved micromirrors into a waveguide bridge in a periscope configuration.

WS 3.1 2026 IEEE VLSI Symposium on Technology and Circuits Slide 17

Historical optical-I/O open-cavity/glass figure reproduced in the August 18, 2026 discussion. Original loss measurements retain their engineering scope; full production economics are unavailable.

Dated source evidence

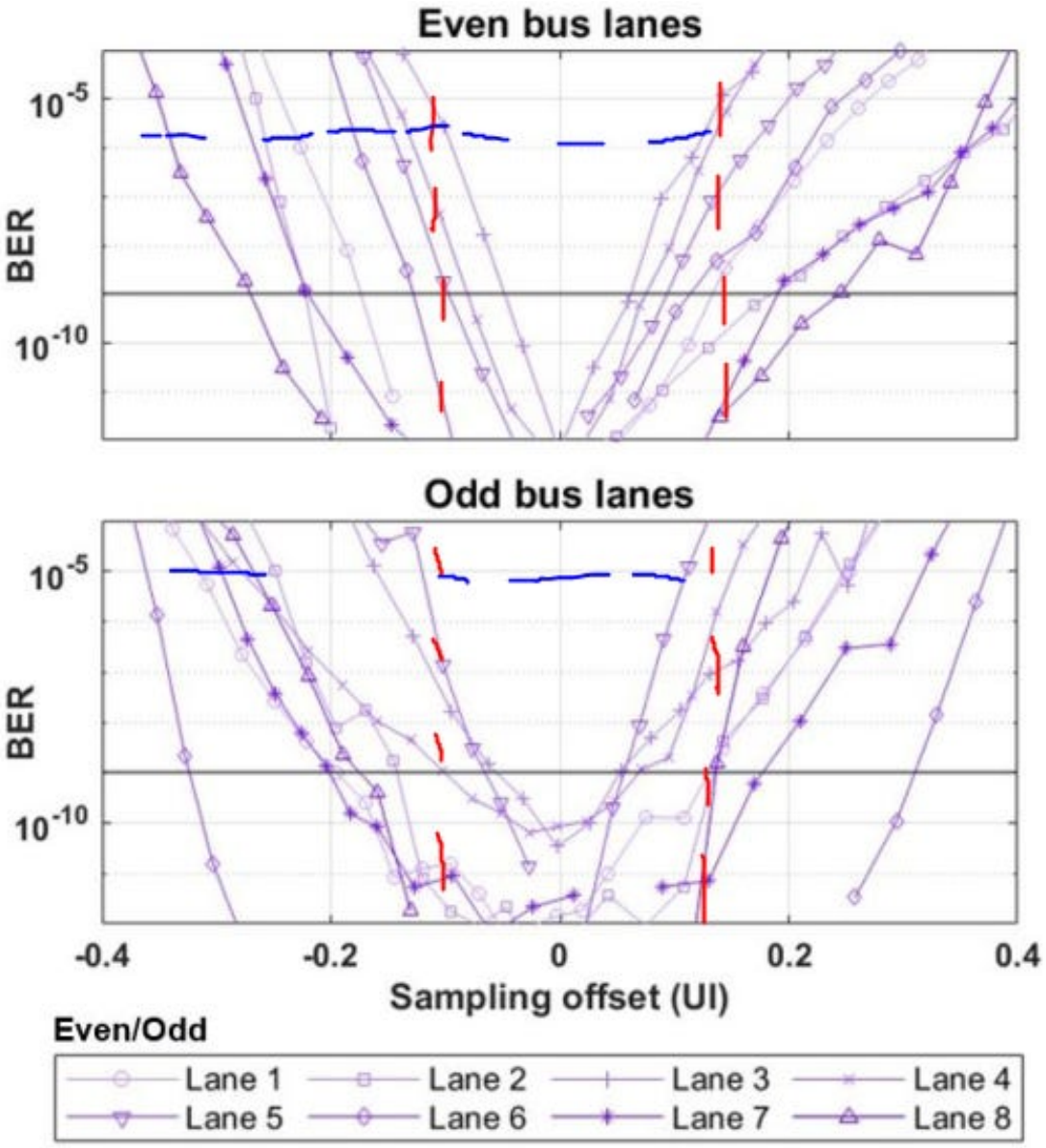


Fig. 11. Measured 16-λ DWDM link BER with 50 Gbps/λ transmitted simultaneously on eight even bus and eight odd bus lanes.

Historical optical-I/O BER sampling figure from the August 18, 2026 discussion. Temperature, lane-wide timing, reliability and accepted-volume qualifications remain open.

Manufacturing costs and asset accounting

Manufacturing costs, inventory and full amortization

Cash variable manufacturing, fixed factory period cost and recognized noncash manufacturing remain separate. The source-calibrated model allocates 90% of PPE depreciation to production and includes manufacturing SBC plus all ordinary intangible amortization. Cash R&D starts at USD 3.0 billion per quarter and cash MG&A at USD 0.95 billion, before growth and programme-specific requirements.

Opening inventory of USD 13.068 billion is partitioned into USD 8.925984 billion cash cost and USD 4.142016 billion noncash cost under a stationary source calibration. Variable purchases reconcile cash COGS sold and inventory movement. Fixed factory cost, scrap and guide residual remain period costs. Manufacturing noncash enters inventory and is expensed as inventory is recognized; all current asset depreciation and amortization retain their cash-flow addbacks.

Existing intangibles start at USD 2.444 billion and amortize at up to USD 190 million per quarter until exhausted. Classiq bases and earnout amortization are tracked separately. Effective PPE depreciation uses 3.042/105.314 per quarter, with explicit incentives and capitalized-interest timing. Consolidated current CIP and exact asset vintages remain unavailable.

PPE, debt maturities and lease evidence

Current net PPE is USD 105,314 million and accumulated depreciation USD 111,913 million, implying gross PPE of USD 217,227 million. The latest consolidated class breakdown remains dated December 2025: land/buildings USD 65,395 million, machinery/equipment USD 111,940 million and construction in progress USD 34,543 million. Buildings have useful lives of 10-25 years and machinery/equipment 3-8 years. The annual land/building combination leaves the nondepreciable land component unknown.

The annual principal maturity schedule is USD 2,500 million in 2026, USD 3,826 million in 2027, USD 3,173 million in 2028, USD 3,288 million in 2029, USD 2,750 million in 2030 and USD 31,698 million thereafter. The current report separately records the 2026 note repayments and USD 6.5 billion of new notes due 2031-2066. A complete refreshed maturity table is absent. Principal schedules and carrying debt differ through discounts, costs and hedge adjustments.

Annual finance-leased PPE was USD 453 million, mostly prepaid supplier capacity with a six-year term beginning when supplier production starts. Annual undiscounted finance-lease payments total USD 133 million. Current lease balances and a refreshed payment schedule remain unavailable. The USD 951 million nine-month cash payment cannot reconstruct the closing liability without commencement, prepayment and other activity. Q3 interest expense was USD 324 million after USD 264 million of capitalized interest; nine-month amounts were USD 908 million and USD 806 million respectively.

Sources: Q3 10-Q physical 7/8/17/23; printed 5/6/15/21; Annual 10-K physical 67/81/82/94/95/104; printed 65/79/80/92/93/102; Accounting addendum R2 PP 01/PP 02/DB 02/LS 01

Physical continuity and geopolitical exposure

Israel interruption and insurance boundaries

A mid-October accident at the Kiryat Gat fab caused employee casualties and injuries and halted manufacturing. The October 29 filing says operations had been suspended for about two weeks and were expected to resume by the end of October. It anticipates scrapped inventory, remediation, cleanup and excess-capacity charges in Q4, with reduced output and inefficiencies affecting costs, gross profit and operations through the first half of 2027.

Intel estimates a USD 300 million Q4 revenue impact and 200 basis points of gross-margin impact from Fab 28. Management says almost all of the USD 300 million revenue impact concerns 10nm server products. The Q&A suggests a similar preliminary revenue effect in Q1; formal Q1 DCAI guidance was withheld. The filing leaves total incident cost and insurance recovery unquantified. Any model should reconcile guide-embedded effects and additional scenarios against the same period and cost scope.

The accident policy may cover certain losses, subject to deductibles, limits and claims resolution. War and political-violence exposure has a separate insurance scope: the filing says business interruption is uninsured and relevant Israeli PPE losses are self-insured. The wider conflict also threatens supply chains, energy and semiconductor helium availability.

Sources: Q3 10-Q physical 34; printed 32; Q3 prepared remarks physical 1/2/6/7; Source R2 QA-03/07

Intel Q3 2026 Israel business disruption and insurance scope

Israel Fab Business Disruption

In mid-October 2026, an accident at our manufacturing facility in Kiryat Gat, Israel resulted in employee casualties and injuries and halted manufacturing operations at the facility. Operations have remained suspended for approximately two weeks and are expected to resume by the end of October 2026. We expect to incur charges associated with scrapped inventory, facility remediation and cleanup activities and excess capacity charges resulting from the under-absorption of overhead costs in Q4 2026. In addition, we expect the reduced production volumes and operating inefficiencies during the stoppage and restoration period to adversely affect manufacturing costs, gross profit and operating results in Q4 2026 and through the first half of 2027. Our assessment and remediation efforts are ongoing and we are currently unable to reasonably estimate the financial impact from the incident or the amount of insurance recoveries we may receive. The ultimate financial impact of the incident will depend on the duration of operational disruptions, the extent of property damage, the timing and cost of remediation efforts, insurance recoveries, and our ability to mitigate production shortfalls through our global manufacturing network. We maintain insurance coverage applicable to certain losses arising from the incident and are evaluating potential recoveries under the policy. The amount and timing of any insurance recoveries remain subject to the terms of the applicable policy, including deductibles, coverage limits and claims resolution processes.

Escrowed Shares Issued to the U.S. Government

In Q3 2026, in connection with our agreements with the U.S. government and shares of our common stock held in escrow for the benefit of the U.S. government under such agreements, we recognized a $1.0 billion gain related to the net change in the fair value of shares of our common stock released from escrow during the quarter and remaining in escrow at the end of Q3 2026, driven by a decrease in our stock price during the quarter. In YTD 2026, we recognized a loss of $12.6 billion related to the net change in the fair value of escrowed shares driven by the increase of our stock price on a year-to-date basis. The fair value of the related derivative liability was $13.7 billion at the end of Q3 2026, which we recognized within *other accrued liabilities* and *other long-term liabilities* (refer to "Note 4: Earnings (Loss) Per Share and Stockholders' Equity" within Notes to Consolidated Condensed Financial Statements for further information). We expect to recognize further such gains or losses in future periods based on future decreases or increases of our stock price, as the case may be.

Risks from the Conflict with Iran

On February 28, 2026, the U.S. and Israel initiated coordinated military strikes against Iran, which were followed by retaliatory actions by Iran and Iran-aligned groups, including missile and drone attacks directed at Israel and other countries in the region. Since that time, the conflict has remained volatile, with periods of military escalation, retaliatory actions and diplomatic efforts to reduce hostilities. Military actions by the U.S., Israel, Iran and Iran-aligned groups have impacted military, civilian and industrial targets throughout the region, including in Israel, Iran, Lebanon, Kuwait, Saudi Arabia, Yemen, Bahrain, Qatar, the United Arab Emirates, Oman, Iraq, Jordan, Syria, Cyprus and Azerbaijan. Among other things, the conflict has disrupted various global supply chains and shipping routes and resulted in increased global energy prices and energy shortages that may adversely impact the world economy. In addition, Iranian strikes on two energy fields in Qatar that supply a meaningful percentage of the global supply of helium have resulted in a global shortage of this gas that is essential to the semiconductor manufacturing process.

In late March 2026, Iran published a list of U.S. companies with operations in the Middle East whose facilities they indicated they would target in retaliation for continued strikes on Iran, with Intel being near the top of that list. A significant portion of our current and anticipated future revenues are generated from products on Intel 7 manufactured at our fabrication facility in Israel. As we are not insured for business interruptions resulting from war or political violence, a disruption of that facility could have a significant adverse impact on our business. We could also be adversely impacted by disruptions to our product development centers in Israel. As our property, plant and equipment assets in Israel are self-insured for losses resulting from war or political violence, any significant impact from the conflict, especially to our fabrication facility, could have a material adverse effect on our consolidated financial results and position.

We continue to monitor the potential impact this conflict could have on our operations in Israel, on our global operations and business and on the semiconductor industry and global economy more broadly.

Altera Divestiture

The comparability of our Consolidated Condensed Financial Statements for Q3 2026 and YTD 2026 relative to Q3 2025 and YTD 2025, as discussed within this MD&A, was impacted by the deconsolidation of Altera. Altera, a business offering programmable semiconductors, primarily FPGAs, and related products for a broad range of applications that was previously a wholly owned subsidiary, was deconsolidated from our Consolidated Condensed Financial Statements effective September 12, 2025, following the closing of the sale of 51% of Altera's issued and outstanding common stock. Altera's financial results of operations were included in our Consolidated Condensed Financial Statements through September 11, 2025. Revenue from Altera as a customer was $126 million in Q3 2026 and $446 million in YTD 2026, compared to $367 million and $1.1 billion of revenue, respectively, contributed by Altera in our consolidated financial results in Q3 2025 and YTD 2025. Refer to "Note 8: Investments" and "Note 9: Acquisitions and Divestitures" within Notes to Consolidated Condensed Financial Statements for additional information.

Accident costs, production interruption through H1 2027 and separate war-risk insurance exposures. Source: Intel, October 29, 2026; PDF physical page 34. Printed page 32.

Cash funding and shareholder claims

Cash, capital payments and funding capacity

September cash of USD 21,846 million and short-term investments of USD 32,159 million total USD 54,005 million. Restricted cash of USD 552 million is held separately. Total debt is USD 50,134 million. Undrawn revolvers expanded to USD 15 billion on October 1, with expiries in August 2029 and August 2031. Borrowing capacity becomes cash only when drawn under its contractual terms.

Nine-month operating cash flow was USD 13,184 million. PPE payments were USD 10,216 million in investing cash flow and USD 1,618 million in financing cash flow; finance-lease payments were USD 951 million. Partner contributions of USD 5,032 million and distributions of USD 14,442 million have separate financing roles. The USD 22,617 million net public-equity proceeds are also financing cash. Source cash flows, gross capex and issuer adjusted free cash flow require separate reconciliations.

Intel's quarter-end capital commitments were USD 19.6 billion and other purchase commitments USD 9.8 billion. Two post-quarter substrate-supply agreements have estimated funding requirements of USD 5.3-6.1 billion, with about USD 3.3 billion expected paid by end-2027. Certain terms remain unfinished. Counterparties, ownership, security, cancellation rights and the debt/equity/lease/prepayment classification remain undisclosed. Their overlap with September commitments is unquantified.

The completed Ireland SCIP partner repurchase changed ownership and required substantial financing. Arizona SCIP retains minority ownership, restricted assets and production/inventory obligations. Supplier prepayments and customer deposits also move cash ahead of production and acceptance. The time and legal scope of these flows determine funding needs and the eventual claim on cash.

Sources: Q3 10-Q physical 7-9/14-17/23/26/27/44/45; printed 5-7/12-15/21/24/25/42/43; Accounting addendum R2 PP 02/DB 01/SB 01

Cash flow, deposits and paid funding

Opening liquid assets are USD 54.005 billion, with restricted cash separate. Operating cash flow reconciles the cash-tax net-profit proxy, current depreciation/amortization/SBC, AR, full inventory, operating AP, interest timing, deposit releases and explicit legal/integration/insurance cash. The direct supplier-cash-purchase calculation is required to agree. Cash tax is 15% of positive PBT as a planning assumption.

Owned-PPE cash capex is USD 8.166 billion in Q4 2026. Annual 2027 budgets are USD 34 billion in stronger server states and USD 30 billion in constrained states, rising under the selected schedule thereafter. Supplier-capacity financing cash is a separate activity-scaled current-run-rate proxy. The USD 5.7 billion substrate funding plan is additional in the base cash budget, with USD 3.3 billion paid by end 2027; legal form, asset rights and recoverability remain unknown.

Known long-term customer deposits of USD 1.2 billion release USD 150 million per quarter from Q4 2027 through Q3 2029. A separate USD 500 million current-deposit planning reserve releases in Q1/Q2 2027. Historical USD 1.2 billion supplier prepayments remain source cash flow with an unestablished closing asset/consumption bridge. The selected forecast applies no separate cash credit, and keeps a bounded potential-credit diagnostic.

The already accrued USD 1.312 billion legal amount is reserved for cash planning in Q4 2027. Cash timing is an analytical reserve; source legal outcomes remain contingent. It creates no fresh recurring operating charge. The cash tables distinguish CFO, owned capex, supplier financing, FCF, substrate funding, debt principal and acquisition consideration.

Shareholder claims and return programs

The balance sheet reports 5,310 million shares issued and outstanding at September 26, while the October 23 cover reports 5,315 million. The nine-month equity rollforward is 4,994 + 242 + 24 + 62 - 12 = 5,310 million. It recognizes public-offering shares, released escrow, employee issuances and withheld shares. The 132 million still in escrow sits outside this balance-sheet count; 66 million noncontingent escrow rights enter basic EPS and 66 million remain contingent on Secure Enclave payments.

Quarterly diluted weighted shares of 5,307 million include 63 million net dilution from employee plans and stock issuances, including 5 million weighted escrow effects through release. The residual 58 million measures other net treasury-method dilution. Current gross award counts and a full component bridge to the Q4 5,440 million weighted diluted guide remain undisclosed. Annual December 2025 RSU/PSU units of 117.5 million and expected vesting of 102.3 million retain their earlier information date.

Up to 241 million DOC warrants at USD 20 depend on Intel ceasing to own at least 51% of Foundry and allow net-cash or net-share settlement at Intel's election. The company excludes them from reported EPS because they are neither currently nor expected exercisable. The quarter contains no authorized-program buyback, while USD 7.2 billion of authorization remains. Employee tax-withholding purchases have their own compensation purpose and cash scope. A future shareholder-return forecast requires a separate capital-policy selection.

Sources: Q3 10-Q physical 1/10/15/16/47; printed cover/8/13/14/45; Q3 prepared remarks physical 7; Annual 10-K physical 79/80/103; printed 77/78/101; Accounting addendum R2 SH 01-SH 04

Financing and shareholder claims

I calculate branch parent-economic operating profit as (consolidated OP + parent-only cost Q) × ownership P - parent-only cost Q - quarterly minority claim R. P and Q govern valuation capture. R also enters the minority cash distribution. The 51 existing P18:R34 inputs keep their original defaults and styles. Annual claim readouts sum the modeled quarters: the 2026 readout is USD 0.25 billion for Q4 only; the 2027/28 readouts are USD 1.1 billion per year, followed by USD 1.2 billion in 2029 and USD 1.4 billion in 2030. Management’s approximately USD 1.1 billion annual NCI guidance for 2027/28 retains its source scope.

The model maintains USD 10 billion minimum liquidity using dated revolvers, followed by assumed equity if required. The first USD 5 billion credit line expires inAugust 2029;75% of joint weight models renewal, with a USD 12.5 million fee and 60-basis-point rate increment. Other states lose that capacity and repay excess borrowings before new financing. The remaining USD 10 billion source line expires after this forecast horizon.

Opening shares are modeled at 5,500 million:5,310 million reported issued/outstanding plus 132 million unreleased escrow and a 58 million weighted net treasury-method proxy. The 58 million remains a claim-estimation convention with a source scope gap. Ordinary dilution is 1% annually; Classiq and funding shares enter at quarter-end, and valuations use quarter-start shares. Assumed funding issuance uses USD 76 and 2% fees.

Across selected states, liquidity remains at or above the USD 10 billion floor after financing. Expected financing-equity proceeds are zero, while expected revolver balance reaches roughly USD 606 million by Q4 2030. Ending liquid assets average USD 31.461 billion. These are forecast funding outcomes whose contractual renewals and execution remain uncertain. DOC warrants have a separate loss-of-Foundry-control trigger; selected states retain control.

Intel Q3 2026 September 26 balance sheet

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Consolidated Condensed Balance Sheets

(In Millions; Unaudited)	Sep 26, 2026	Dec 27, 2025
Assets		
Current assets:		
Cash and cash equivalents	$ 21,846	$ 14,265
Short-term investments	32,159	23,151
Accounts receivable, net	4,093	3,839
Inventories	13,068	11,618
Other current assets	11,408	10,815
Total current assets	**82,574**	**63,688**
Property, plant, and equipment, net of accumulated depreciation of $111,913 ($106,464 as of December 27, 2025)	**105,314**	**105,414**
Equity investments	**8,798**	**8,512**
Goodwill	**20,465**	**23,912**
Identified intangible assets, net	**2,444**	**2,772**
Other long-term assets	**8,979**	**7,131**
Total assets	**$ 228,574**	**$ 211,429**
Liabilities and stockholders' equity		
Current liabilities:		
Accounts payable	$ 8,831	$ 9,882
Accrued compensation and benefits	3,905	3,990
Short-term debt	3,817	2,499
Other accrued liabilities	20,843	15,204
Total current liabilities	**37,396**	**31,575**
Debt	**46,317**	**44,086**
Other long-term liabilities	**13,305**	**9,408**
Commitments and Contingencies (Note 14)		
Stockholders' equity:		
Common stock and capital in excess of par value, 5,310 issued and outstanding (4,994 issued and outstanding as of December 27, 2025)	78,177	65,185
Accumulated other comprehensive income (loss)	(232)	113
Retained earnings	36,969	48,983
Total Intel stockholders' equity	**114,914**	**114,281**
Non-controlling interests	**16,642**	**12,079**
Total stockholders' equity	**131,556**	**126,360**
Total liabilities and stockholders' equity	**$ 228,574**	**$ 211,429**

See accompanying notes.

Cash, investments, PPE, debt and issued/outstanding equity measurement. Source: Intel, October 29, 2026; PDF physical page 7. Printed page 5.

Intel Q3 2026 Nine-month cash-flow statement

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Consolidated Condensed Statements of Cash Flows

(In Millions; Unaudited)	Nine Months Ended Sep 26, 2026	Nine Months Ended Sep 27, 2025
Cash, cash equivalents, and restricted cash, beginning of period	**$ 14,712**	**$ 8,249**
Cash flows provided by (used for) operating activities:		
Net income (loss)	(11,609)	359
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation	8,933	7,971
Share-based compensation	1,894	1,896
Restructuring and other charges	3,969	372
Amortization of intangibles	659	708
(Gains) losses on equity investments, net	(219)	(611)
Mark-to-market (gains) losses on Escrowed Shares	12,614	1,687
(Gains) losses on divestitures	18	(5,355)
Deferred taxes	56	123
Impairments and net (gain) loss on retirement of property, plant, and equipment	140	465
Changes in assets and liabilities:		
Accounts receivable	(281)	162
Inventories	(1,450)	(9)
Accounts payable	821	(281)
Accrued compensation and benefits	(207)	541
Income taxes	(405)	(1,196)
Other assets and liabilities	(1,749)	(1,423)
Total adjustments	**24,793**	**5,050**
Net cash provided by (used for) operating activities	**13,184**	**5,409**
Cash flows provided by (used for) investing activities:		
Additions to property, plant, and equipment	(10,216)	(11,158)
Proceeds from capital-related government incentives	215	1,018
Acquisitions, net of cash acquired	(596)	—
Purchases of short-term investments	(32,151)	(16,401)
Maturities of short-term investments	10,767	8,236
Sales of short-term investments	11,911	2,728
Sales of equity investments	401	642
Proceeds from divestitures, net	—	6,186
Other investing	(590)	494
Net cash provided by (used for) investing activities	**(20,259)**	**(8,255)**
Cash flows provided by (used for) financing activities:		
Issuance of commercial paper, net of issuance costs	—	3,493
Repayment of commercial paper	—	(3,493)
Payments on finance leases	(951)	(103)
Partner contributions	5,032	3,652
Partner distributions	(14,442)	(159)
Net proceeds from sales of subsidiary shares	—	922
Additions to property, plant, and equipment	(1,618)	(2,493)
Issuance of term debt, net of issuance costs	13,000	—
Repayments of term debt	(9,000)	(3,750)
Proceeds from sales of common stock through employee equity incentive plans	736	777
Net proceeds attributed to common stock and warrants issued, and Escrowed Shares	440	7,682
Net proceeds from public offering of common stock	22,617	—
Restricted stock unit withholdings	(907)	(286)
Other financing	(146)	(504)
Net cash provided by (used for) financing activities	**14,761**	**5,738**
Net increase (decrease) in cash, cash equivalents, and restricted cash	**7,686**	**2,892**
Cash, cash equivalents, and restricted cash, end of period	**$ 22,398**	**$ 11,141**

Investing and financing PPE payments, finance leases, partner flows and equity proceeds. Source: Intel, October 29, 2026; PDF physical page 8. Printed page 6.

Intel Q3 2026 Government escrow rights and equity issuance

For the three and nine months ended September 26, 2026 and September 27, 2025, securities that would have been anti-dilutive were insignificant.

Sales of Common Stock

Common Stock Issuance

On August 12, 2026, we completed an underwritten public offering of approximately 211 million shares of our common stock at a price of $95.00 per share. In connection with this offering, the underwriters exercised their option to purchase an additional approximately 32 million shares of common stock at $95.00 per share, less underwriting discounts and commissions. As a result, we issued an aggregate of approximately 242 million shares of common stock in exchange for gross proceeds of $23.0 billion. We received net proceeds of $22.6 billion after deducting $383 million of underwriting discounts, commissions, and other offering expenses, which were recorded as a reduction to capital in excess of par value.

Private Placement Share Sale to SoftBank Group

On August 18, 2025, we entered into an agreement to issue and sell 87 million shares of our common stock to SoftBank Group at $23.00 per share, representing an aggregate cash purchase price of $2.0 billion. The issuance and sale of the shares were completed on September 26, 2025.

Escrowed Shares Issued to the U.S. Government

Per the terms of our previously-disclosed U.S. Government Agreement that we entered into with the DOC on August 22, 2025, upon receipt of cash proceeds for our performance under Secure Enclave, we released approximately 11 million and 24 million Escrowed Shares during the three and nine months ended September 26, 2026, respectively (684 thousand Escrowed Shares during the three and nine months ended September 27, 2025).

During the three and nine months ended September 26, 2026, we recognized a gain of $1.0 billion and a loss of $12.6 billion, respectively, related to the net change in fair value of both Escrowed Shares released and Escrowed Shares still held in escrow at September 26, 2026 (loss of $1.7 billion during the three and nine months ended September 27, 2025). The fair value of the Escrowed Shares derivative liability was $13.7 billion at September 26, 2026 and $2.7 billion at December 27, 2025, which we have recognized within *other accrued liabilities* and *other long-term liabilities*.

Of the 132 million Escrowed Shares not yet released as of September 26, 2026, 66 million are considered not contingently issuable based on the terms of the U.S. Government Agreement and, as such, have been included in our computation of basic earnings (loss) per share for the three and nine months ended September 26, 2026. The remaining 66 million Escrowed Shares not yet released are considered contingently issuable based on the DOC's disbursements under Secure Enclave and, therefore, are excluded from basic and diluted earnings (loss) per share until the contingencies are met. Of the 158 million Escrowed Shares that remained outstanding as of September 27, 2025, 79 million were considered not contingently issuable and 79 million were considered contingently issuable.

We also issued warrants to the DOC to purchase up to 241 million shares of our common stock at $20.00 per share (Warrants) that become exercisable if we cease to directly or indirectly own at least 51% of our foundry business. Potentially dilutive shares issuable under the Warrants have been excluded from all basic and diluted earnings (loss) per share calculations for the three and nine months ended September 26, 2026 as the Warrants are neither currently nor expected to become exercisable. If exercised, we can elect to settle the Warrants in net cash or net shares.

Private Placement Share Sale to NVIDIA

On September 15, 2025, we entered into an agreement to issue and sell 215 million shares of our common stock to NVIDIA at a price of $23.28 per share, representing an aggregate cash purchase price of $5.0 billion. The issuance and sale of the shares were completed the following quarter on December 26, 2025.

Note 5 : Other Financial Statement Details

Restricted Cash

We have $552 million of restricted cash included in *other long-term assets* within the Consolidated Condensed Balance Sheets as of September 26, 2026 ($447 million as of December 27, 2025). The restricted cash serves as collateral for third-party arrangements we entered into and is considered legally restricted due to limitations on usage and withdrawal.

Accounts Receivable

We may sell certain of our accounts receivable on a non-recourse basis to third-party financial institutions. We record these transactions as sales of receivables and present cash proceeds as *cash provided by operating activities* in the Consolidated Condensed Statements of Cash Flows. We did not sell any accounts receivable under non-recourse factoring arrangements during the first nine months of 2026 ($2.4 billion were sold during the first nine months of 2025).

Unreleased escrow, noncontingent EPS rights, conditional warrants and August equity offering. Source: Intel, October 29, 2026; PDF physical page 16. Printed page 14.

Intel Q3 2026 Debt and revolving credit agreements

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Note 11 : Borrowings

In the first quarter of 2026, we settled $1.5 billion of our senior notes due February 2026 and amended our 364-day $5.0 billion credit facility agreement to a three-year $3.0 billion credit facility maturing January 2029.

In the second quarter of 2026, we settled $1.0 billion of our senior notes due May 2026, and we issued a total of $6.5 billion aggregate principal amount of senior notes comprised of $1.0 billion in 4.65% senior notes due 2031, $1.0 billion in 5.00% senior notes due 2033, $2.2 billion in 5.30% senior notes due 2036, $1.8 billion in 6.13% senior notes due 2056, and $500 million in 6.20% senior notes due 2066. All of our senior fixed-rate notes pay interest semiannually. We may redeem the fixed-rate notes prior to their maturity at our option at specified redemption prices and subject to certain restrictions. The obligations under our senior fixed-rate notes rank equally in the right of payment with all of our other existing and future senior unsecured indebtedness and effectively rank junior to all liabilities of our subsidiaries.

In connection with our repurchase of the 49% minority ownership interest in Ireland SCIP, discussed within "Note 3: Non-Controlling Interests" within Notes to Consolidated Condensed Financial Statements, we executed and drew on a $6.5 billion 364-day senior unsecured term loan facility with an interest rate of 4.79% in the second quarter of 2026. We repaid the term loan facility in full during the same period.

In the third quarter of 2026, we amended our three-year $3.0 billion credit facility maturing in January 2029 to increase total borrowing capacity to $4.8 billion and extend the maturity date to August 2029. We also amended our five-year $7.0 billion credit facility maturing in February 2029 to increase total borrowing capacity to $9.7 billion and extend the maturity date to August 2031. Neither of our revolving credit facilities had borrowings outstanding as of September 26, 2026 or December 27, 2025.

On October 1, 2026, total borrowing capacity under the amended credit facilities increased by $500 million, bringing the total to $15.0 billion, consisting of a $5.0 billion three-year credit facility and a $10.0 billion five-year credit facility.

New notes, the repaid bridge loan, current borrowing capacity and expiry dates. Source: Intel, October 29, 2026; PDF physical page 23. Printed page 21.

Intel Q3 2026 Substrate supply funding commitments

Subsequent to the third quarter of 2026, we entered into two agreements to secure future substrate supply, under which our total funding requirements are currently estimated to be approximately $5.3 billion to $6.1 billion. Certain terms of these agreements have not yet been finalized. We estimate that approximately $3.3 billion of the associated commitments will be paid by the end of 2027.

Legal Proceedings

We are regularly party to various ongoing claims, litigation, and other proceedings, including those noted in this section. As of September 26, 2026, we have accrued liabilities of $1.0 billion related to litigation involving VLSI and $312 million, including revaluation effects and accrued interest, related to an EC-imposed fine, both as described below. Excluding the VLSI claims described below, management at present believes that the ultimate outcome of these proceedings, individually and in the aggregate, will not materially harm our financial position, results of operations, cash flows, or overall trends; however, legal proceedings and related government investigations are subject to inherent uncertainties, and unfavorable rulings, excessive verdicts, or other events could occur. Unfavorable resolutions could include substantial monetary damages, fines, or penalties. Certain of these outstanding matters include speculative, substantial, or indeterminate monetary awards. In addition, in matters for which injunctive relief or other conduct remedies are sought, unfavorable resolutions could include an injunction or other order prohibiting us from selling one or more products at all or in particular ways, precluding particular business practices, or requiring other remedies. An unfavorable outcome may result in a material adverse impact on our business, results of operations, financial position, and overall trends. We might also conclude that settling one or more such matters is in the best interests of our stockholders, employees, and customers, and any such settlement could include substantial payments. Unless specifically described below, we have not concluded that settlement of any of the legal proceedings noted in this section is appropriate at this time.

European Commission Competition Matter

In 2009, the EC found that we had used unfair business practices to persuade customers to buy microprocessors in violation of Article 82 of the EC Treaty (later renumbered Article 102) and Article 54 of the European Economic Area Agreement. In general, the EC found that we violated Article 82 by offering alleged "conditional rebates and payments" that required customers to purchase all or most of their x86 microprocessors from us and by making alleged "payments to prevent sales of specific rival products." The EC ordered us to end the alleged infringement referred to in its decision and imposed a €1.1 billion fine, which we paid in the third quarter of 2009.

We appealed the EC decision to the European Court of Justice in 2014, after the General Court (then called the Court of First Instance) rejected our appeal of the EC decision in its entirety. In September 2017, the Court of Justice sent the case back to the General Court to examine whether the rebates at issue were capable of restricting competition. In January 2022, the General Court annulled the EC's 2009 findings against us regarding rebates, as well as the €1.1 billion fine imposed on Intel, which was returned to us in February 2022. The General Court's January 2022 decision did not annul the EC's 2009 finding that we made payments to prevent sales of specific rival products.

In April 2022, the EC appealed the General Court's findings regarding rebates to the Court of Justice. In October 2024, the Court of Justice dismissed the EC's appeal, upholding the judgment of the General Court.

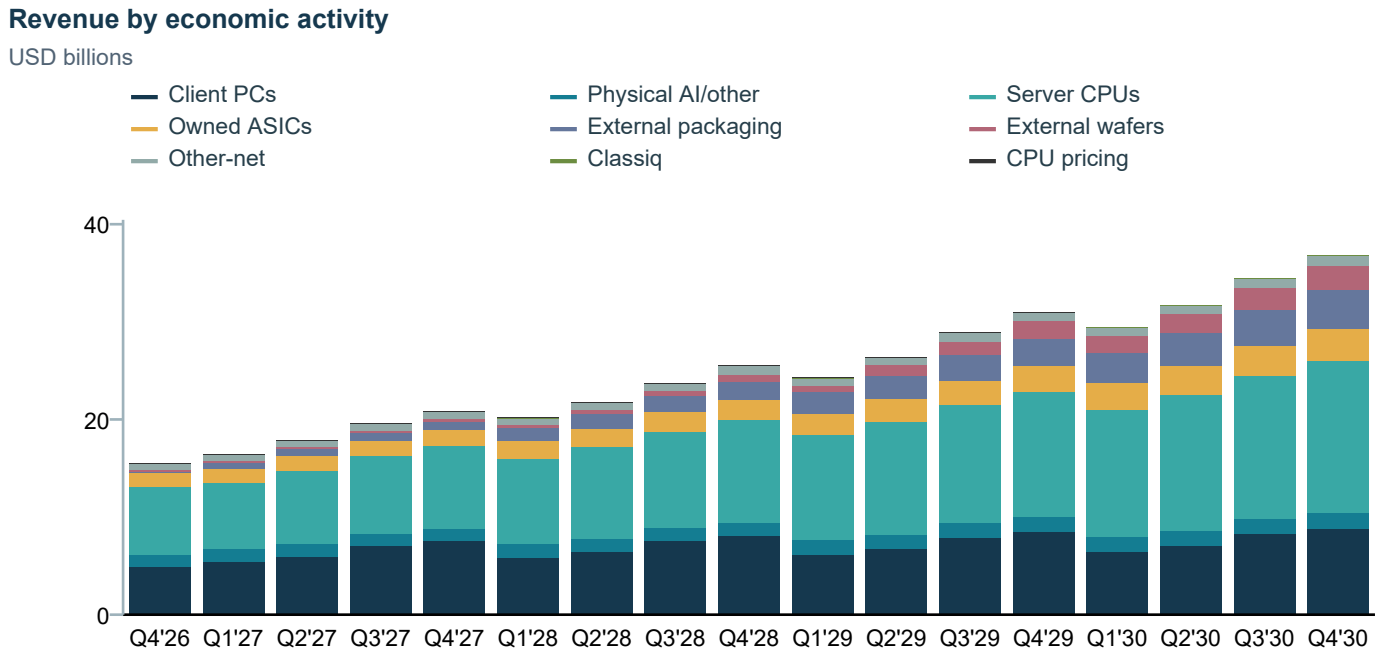
In September 2023, the EC imposed a €376 million ($401 million) fine against us based on its 2009 finding that we made payments to prevent sales of specific rival products. We appealed the EC's decision, and in December 2025 the General Court reduced the fine to €237 million ($277 million). In February 2026, we appealed the General Court's decision to the Court of Justice. We have accrued a charge of $312 million as of September 26, 2026, which includes foreign currency revaluation effects and accrued interest, and are unable to make a reasonable estimate of the potential loss or range of losses in excess of this amount given the procedural posture and the nature of these proceedings.

Litigation Related to Security Vulnerabilities

In June 2017, a Google research team notified Intel and other companies that it had identified security vulnerabilities, the first variants of which are now commonly referred to as "Spectre" and "Meltdown," that affect many types of microprocessors, including our products. As is standard when findings like these are presented, we worked together with other companies in the industry to verify the research and develop and validate software and firmware updates for impacted technologies. In January 2018, information on the security vulnerabilities was publicly reported, before software and firmware updates to address the vulnerabilities were made widely available.

Two subsequent agreements, estimated funding and unfinished terms; surrounding legal context is preserved. Source: Intel, October 29, 2026; PDF physical page 27. Printed page 25.

Revenue by economic activity



Eight activity vectors and the finite CPU-price branch reconcile to modeled revenue. USD billions in the chart; USD millions in the tables.

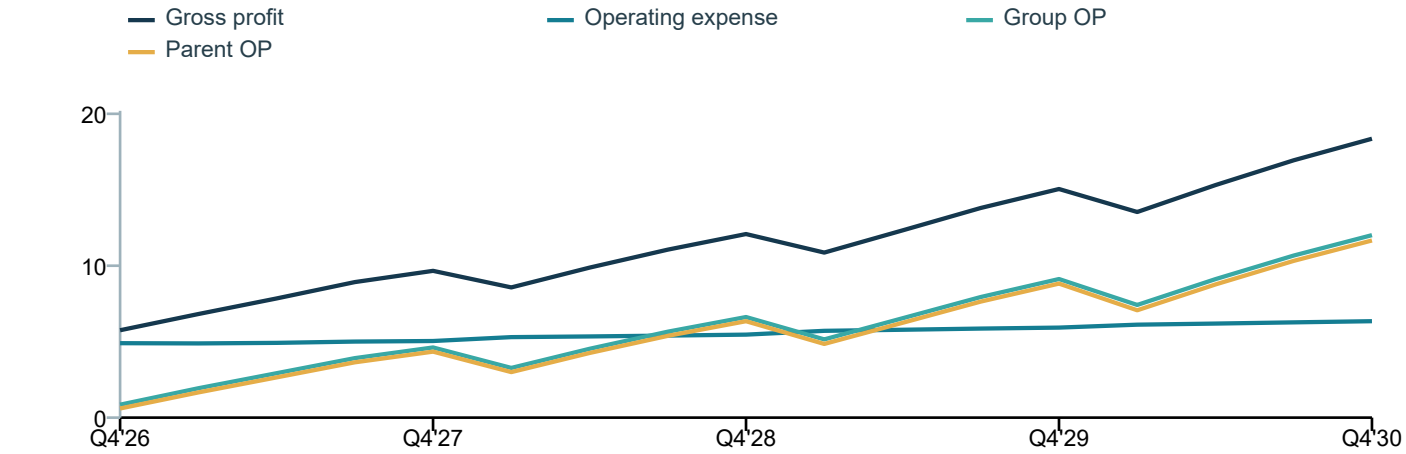
Quarter	Client PC	Physical/other	Server CPU	Owned ASICs	Ext packaging
Q4 2026	4,907	1,197	7,016	1,400	125
Q1 2027	5,447	1,293	6,785	1,414	660
Q2 2027	5,979	1,293	7,491	1,512	720
Q3 2027	7,023	1,293	7,940	1,582	780
Q4 2027	7,543	1,293	8,436	1,680	840
Q1 2028	5,850	1,396	8,745	1,775	1,430
Q2 2028	6,407	1,396	9,363	1,899	1,560
Q3 2028	7,522	1,396	9,831	1,991	1,690
Q4 2028	8,079	1,396	10,449	2,115	1,820
Q1 2029	6,146	1,508	10,743	2,231	2,200
Q2 2029	6,732	1,508	11,507	2,389	2,400
Q3 2029	7,902	1,508	12,092	2,509	2,600
Q4 2029	8,488	1,508	12,856	2,667	2,800
Q1 2030	6,395	1,629	12,937	2,809	3,080
Q2 2030	7,004	1,629	13,863	3,011	3,360
Q3 2030	8,222	1,629	14,577	3,166	3,640
Q4 2030	8,831	1,629	15,502	3,368	3,920

Quarter	Ext wafers	Other-net	Classiq	CPU branch	Total
Q4 2026	168	687	0	8	15,508
Q1 2027	176	616	0	19	16,410
Q2 2027	192	672	0	20	17,878
Q3 2027	208	728	11	23	19,588
Q4 2027	235	784	11	24	20,846
Q1 2028	264	665	16	20	20,161
Q2 2028	342	726	16	22	21,731
Q3 2028	474	786	16	25	23,731
Q4 2028	768	847	16	26	25,516
Q1 2029	676	719	22	11	24,256
Q2 2029	1,032	784	22	11	26,386
Q3 2029	1,388	849	22	13	28,884
Q4 2029	1,744	914	22	14	31,013
Q1 2030	1,736	776	30	0	29,391
Q2 2030	1,992	847	30	0	31,734
Q3 2030	2,248	917	30	0	34,428
Q4 2030	2,504	988	30	0	36,771

Manufacturing costs and operating earnings

Profit after full operating costs

USD billions



Full operating cost and minority economic claims remain in the earnings path. Chart USD billions; tables USD millions.

Manufacturing cost

Quarter	Variable cash	Fixed factory	Scrap cash	Guide residual	Inventory noncash	Total COGS	Gross profit
Q4 2026	4,869	1,000	310	610	2,967	9,756	5,752
Q1 2027	5,309	1,100	140	0	3,042	9,591	6,819
Q2 2027	5,752	1,100	40	0	3,140	10,033	7,845
Q3 2027	6,325	1,100	0	0	3,240	10,665	8,922
Q4 2027	6,730	1,100	0	0	3,354	11,184	9,662
Q1 2028	6,453	1,250	0	0	3,887	11,590	8,571
Q2 2028	6,968	1,250	0	0	3,638	11,856	9,875
Q3 2028	7,674	1,250	0	0	3,749	12,673	11,058
Q4 2028	8,306	1,250	0	0	3,875	13,431	12,085
Q1 2029	7,741	1,400	0	0	4,250	13,391	10,865
Q2 2029	8,482	1,400	0	0	4,178	14,060	12,325
Q3 2029	9,384	1,400	0	0	4,298	15,082	13,801
Q4 2029	10,125	1,400	0	0	4,439	15,963	15,050
Q1 2030	9,451	1,550	0	0	4,854	15,855	13,536
Q2 2030	10,227	1,550	0	0	4,648	16,425	15,309
Q3 2030	11,161	1,550	0	0	4,776	17,487	16,941
Q4 2030	11,937	1,550	0	0	4,923	18,410	18,360

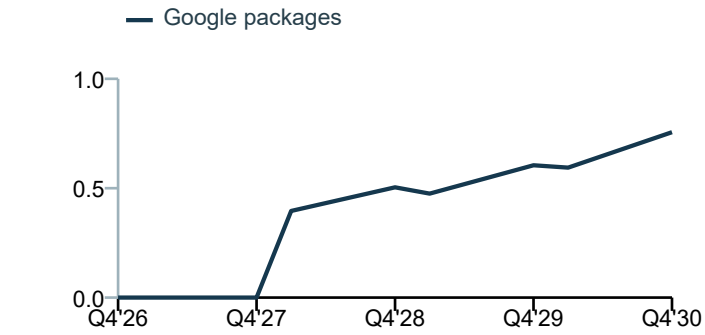
Profit after operating expense

Quarter	Cash opex	Opex noncash	Total opex	Group OP	Minority claim	Parent OP	Cash- tax NI
Q4 2026	4,049	851	4,900	852	250	602	827
Q1 2027	3,984	901	4,885	1,934	275	1,659	1,717
Q2 2027	4,009	913	4,922	2,924	275	2,649	2,548
Q3 2027	4,052	954	5,007	3,916	275	3,641	3,364
Q4 2027	4,075	969	5,044	4,619	275	4,344	3,943
Q1 2028	4,277	1,023	5,299	3,272	275	2,997	2,773
Q2 2028	4,309	1,035	5,345	4,530	275	4,255	3,821
Q3 2028	4,351	1,050	5,401	5,657	275	5,382	4,783
Q4 2028	4,398	1,066	5,464	6,622	275	6,347	5,591
Q1 2029	4,587	1,127	5,714	5,151	300	4,851	4,329
Q2 2029	4,644	1,140	5,784	6,541	300	6,241	5,496
Q3 2029	4,707	1,156	5,862	7,939	300	7,639	6,702
Q4 2029	4,763	1,163	5,926	9,123	300	8,823	7,708
Q1 2030	4,959	1,160	6,119	7,417	350	7,067	6,261
Q2 2030	5,017	1,175	6,192	9,117	350	8,767	7,701
Q3 2030	5,080	1,191	6,271	10,670	350	10,320	9,054
Q4 2030	5,138	1,210	6,348	12,012	350	11,662	10,208

Accepted programme output

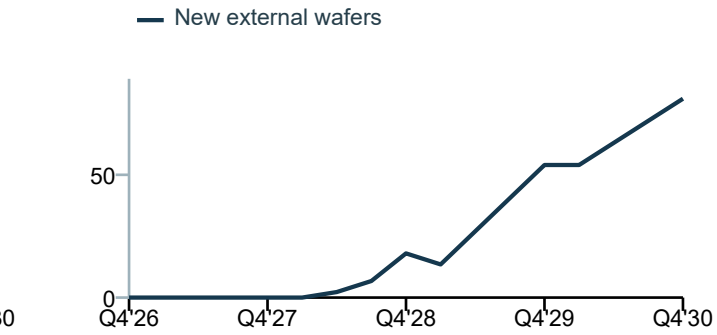
Google packages

Million units



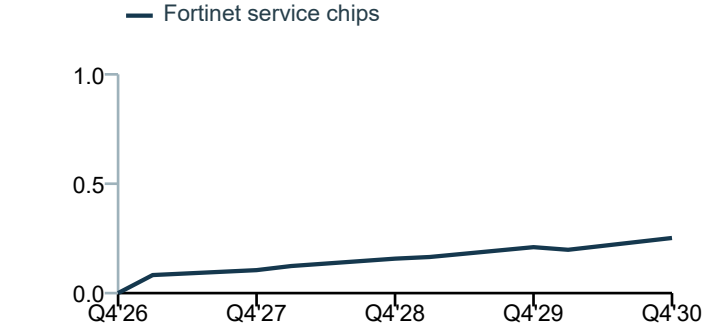
New external wafers

Thousand units



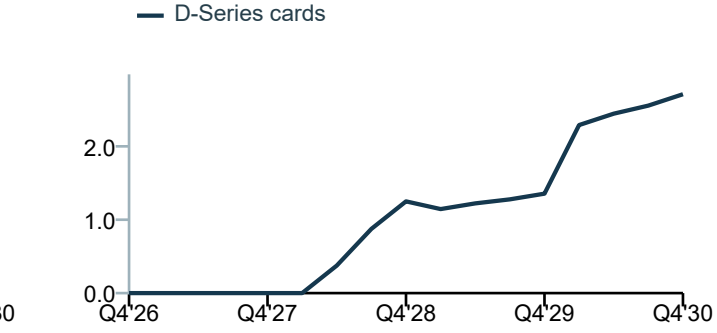
Fortinet service chips

Million units



D-Series cards

Thousand units



Probability-weighted accepted-output proxies from the selected programme states. The source leaves paid commercial quantities unreported.

Quarter	Google packages M	New wafers K	Fortinet chips M	D-Series cards K
Q4 2026	0.000	0.000	0.000	0.000
Q1 2027	0.000	0.000	0.083	0.000
Q2 2027	0.000	0.000	0.090	0.000
Q3 2027	0.000	0.000	0.098	0.000
Q4 2027	0.000	0.000	0.105	0.000
Q1 2028	0.396	0.000	0.124	0.000
Q2 2028	0.432	2.250	0.135	0.375
Q3 2028	0.468	6.750	0.146	0.875
Q4 2028	0.504	18.000	0.158	1.250
Q1 2029	0.475	13.500	0.165	1.145
Q2 2029	0.518	27.000	0.180	1.222
Q3 2029	0.562	40.500	0.195	1.277
Q4 2029	0.605	54.000	0.210	1.355
Q1 2030	0.594	54.000	0.198	2.290
Q2 2030	0.648	63.000	0.216	2.445
Q3 2030	0.702	72.000	0.234	2.555
Q4 2030	0.756	81.000	0.252	2.710

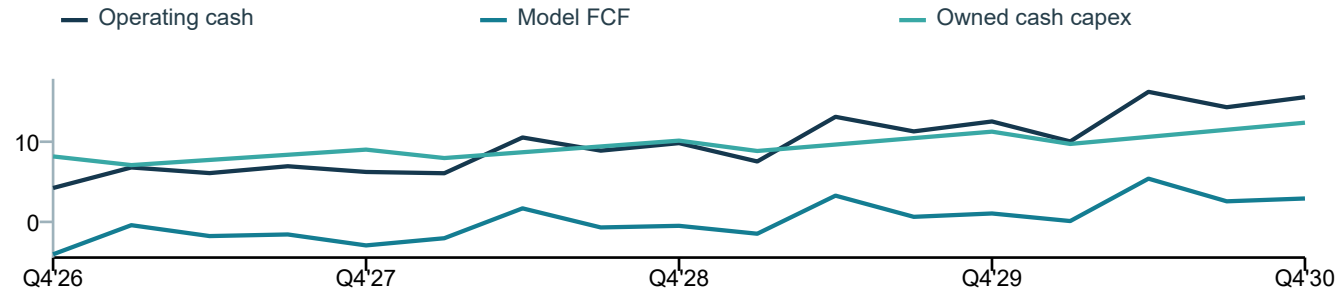
Named programme revenue and direct support

Quarter	Fortinet revenue	Fortinet support	D-Series revenue	D-Series support	Google packaging	New wafers	Prototype fees	Platform support
Q4 2026	0	0	0	0	0	0	0	0
Q1 2027	3	<1	0	0	0	0	0	33
Q2 2027	4	<1	0	0	0	0	0	57
Q3 2027	4	<1	0	0	0	0	0	86
Q4 2027	4	<1	0	0	0	0	11	108
Q1 2028	5	<1	0	0	594	0	0	120
Q2 2028	5	1	3	1	648	54	0	152
Q3 2028	6	1	7	1	702	162	0	193
Q4 2028	6	1	9	2	756	432	0	239
Q1 2029	7	1	9	2	760	324	0	229
Q2 2029	7	1	9	2	829	648	0	286
Q3 2029	8	1	10	2	899	972	0	348
Q4 2029	8	1	10	2	968	1,296	0	405
Q1 2030	8	1	17	3	1,010	1,296	0	390
Q2 2030	9	1	18	3	1,102	1,512	0	448
Q3 2030	9	1	19	3	1,193	1,728	0	511
Q4 2030	10	1	20	4	1,285	1,944	0	569

Operating cash and paid capital

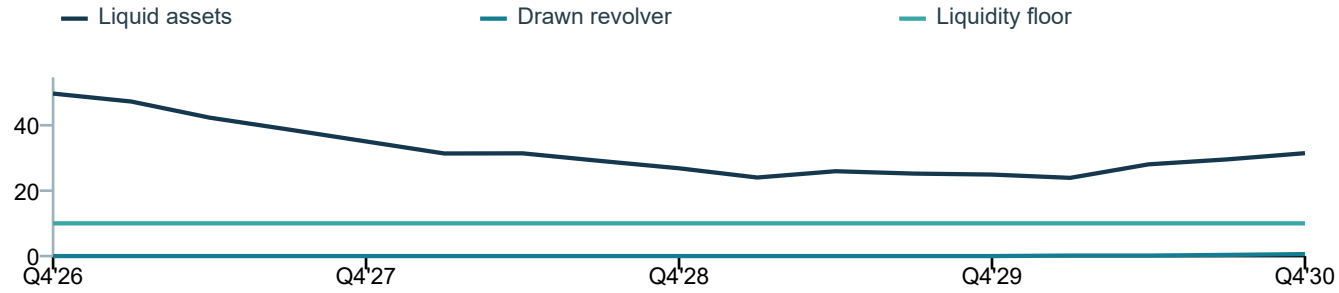
Cash flows

USD billions



Closing funding balances

USD billions



Cash flows and closing balances are displayed separately. The liquidity floor applies after the available financing steps.

Cash generation and uses

Quarter	Operating cash	Owned cash capex	Supplier financing	Model FCF	Substrate funding	Acquisition cash	Legal cash	Insurance cash
Q4 2026	4,228	8,166	107	-4,044	300	0	0	0
Q1 2027	6,790	7,084	116	-411	750	0	0	0
Q2 2027	6,085	7,728	126	-1,769	750	1,130	0	0
Q3 2027	6,943	8,372	139	-1,568	750	0	0	0
Q4 2027	6,229	9,016	147	-2,934	750	0	1,312	26
Q1 2028	6,068	7,964	141	-2,037	600	0	0	0
Q2 2028	10,530	8,688	153	1,690	600	0	0	0
Q3 2028	8,887	9,412	168	-693	600	0	0	0
Q4 2028	9,827	10,136	182	-491	600	104	0	0
Q1 2029	7,537	8,844	170	-1,477	0	0	0	0
Q2 2029	13,108	9,648	186	3,274	0	0	0	0
Q3 2029	11,290	10,452	206	632	0	0	0	0
Q4 2029	12,527	11,256	222	1,050	0	0	0	0
Q1 2030	10,036	9,724	207	105	0	0	0	0
Q2 2030	16,226	10,608	224	5,393	0	0	0	0
Q3 2030	14,304	11,492	244	2,567	0	0	0	0
Q4 2030	15,557	12,376	261	2,919	0	0	0	0

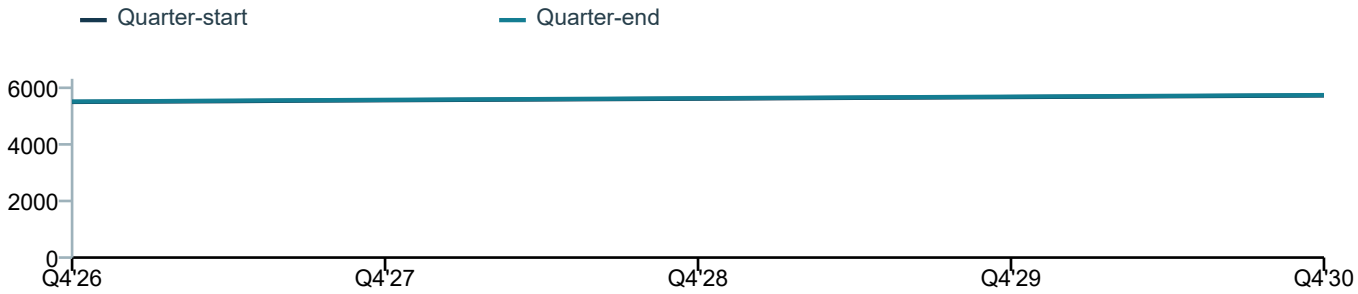
Working capital and procurement

Quarter	Receivables	Cash inventory	Noncash inventory	Total inventory	Operating AP	Variable purchases	Suppliers paid	WC cash use
Q4 2026	3,844	7,983	4,230	12,213	4,786	3,926	5,763	733
Q1 2027	4,068	8,635	4,368	13,003	7,269	5,962	3,479	-1,469
Q2 2027	4,431	9,356	4,511	13,868	7,892	6,473	5,850	605
Q3 2027	4,855	10,288	4,674	14,962	8,848	7,257	6,301	562
Q4 2027	5,167	10,947	4,854	15,801	9,009	7,389	7,228	990
Q1 2028	4,997	9,657	4,636	14,292	6,295	5,163	7,877	1,036
Q2 2028	5,386	10,427	4,781	15,207	9,435	7,738	4,599	-1,835
Q3 2028	5,882	11,483	4,945	16,428	10,645	8,731	7,520	506
Q4 2028	6,325	12,429	5,128	17,557	11,279	9,251	8,617	937
Q1 2029	6,012	11,080	5,082	16,162	7,794	6,393	9,878	1,778
Q2 2029	6,540	12,140	5,231	17,371	11,634	9,542	5,702	-2,103
Q3 2029	7,159	13,431	5,401	18,832	13,016	10,675	9,294	699
Q4 2029	7,687	14,492	5,572	20,064	13,637	11,185	10,563	1,137
Q1 2030	7,285	12,912	5,386	18,299	9,598	7,872	11,911	1,873
Q2 2030	7,866	13,973	5,538	19,510	13,762	11,288	7,123	-2,373
Q3 2030	8,534	15,249	5,711	20,959	15,163	12,437	11,036	716
Q4 2030	9,114	16,309	5,905	22,214	15,847	12,997	12,314	1,151

Shareholder and financing claims

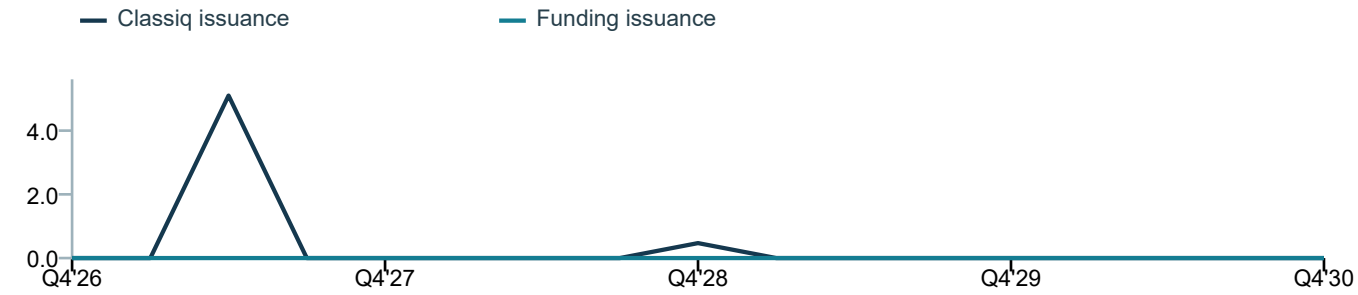
Ordinary modeled shares

Million shares



New corporate and funding claims

Million shares



Quarter-start shares govern valuation; ordinary dilution and corporate/funding shares affect subsequent quarters.

Debt and capital

Quarter	Cash interest	Accrued cap interest	Paid cap interest	Debt principal	Funding debt	Drawn revolver	PPE additions	Net PPE
Q4 2026	97	265	80	0	50,134	0	8,352	110,474
Q1 2027	551	265	451	1,275	48,859	0	6,898	114,055
Q2 2027	95	258	78	1,275	47,583	0	7,909	118,529
Q3 2027	523	252	428	1,275	46,308	0	8,196	123,160
Q4 2027	90	245	73	0	46,308	0	9,187	128,636
Q1 2028	509	245	416	793	45,515	0	7,793	132,581
Q2 2028	88	241	72	793	44,721	0	8,856	137,462
Q3 2028	491	236	402	793	43,928	0	9,246	142,589
Q4 2028	85	232	70	793	43,135	0	10,299	148,607
Q1 2029	474	228	388	822	42,313	0	8,684	152,862
Q2 2029	82	224	67	822	41,491	0	9,805	158,101
Q3 2029	456	219	373	822	40,669	0	10,298	163,677
Q4 2029	79	215	65	822	39,847	0	11,407	170,186
Q1 2030	438	211	358	688	39,159	151	9,577	174,707
Q2 2030	76	208	62	688	38,472	151	10,754	180,259
Q3 2030	425	204	347	688	37,784	356	11,349	186,240
Q4 2030	74	202	61	688	37,097	606	12,517	193,202

Quarter	Start shares M	End shares M	Classiq shares M	Funding shares M
Q4 2026	5,500.000	5,513.699	0.000	0.000
Q1 2027	5,513.699	5,527.432	0.000	0.000
Q2 2027	5,527.432	5,546.299	5.100	0.000
Q3 2027	5,546.299	5,560.113	0.000	0.000
Q4 2027	5,560.113	5,573.961	0.000	0.000
Q1 2028	5,573.961	5,587.844	0.000	0.000
Q2 2028	5,587.844	5,601.762	0.000	0.000
Q3 2028	5,601.762	5,615.714	0.000	0.000
Q4 2028	5,615.714	5,630.171	0.470	0.000
Q1 2029	5,630.171	5,644.193	0.000	0.000
Q2 2029	5,644.193	5,658.251	0.000	0.000
Q3 2029	5,658.251	5,672.344	0.000	0.000
Q4 2029	5,672.344	5,686.472	0.000	0.000
Q1 2030	5,686.472	5,700.635	0.000	0.000
Q2 2030	5,700.635	5,714.834	0.000	0.000
Q3 2030	5,714.834	5,729.068	0.000	0.000
Q4 2030	5,729.068	5,743.337	0.000	0.000

Depreciation amortization and interest

Ordinary noncash costs

Quarter	PPE D&A	Existing amort	Classiq base amort	Earnout amort	Total amort	SBC	Cash R&D	Cash MG&A
Q4 2026	3,117	190	0	0	190	600	Included	Included
Q1 2027	3,243	190	0	0	190	648	3,000	950
Q2 2027	3,359	190	0	0	190	648	3,000	950
Q3 2027	3,491	190	28	0	218	648	3,000	950
Q4 2027	3,637	190	28	0	218	648	3,000	950
Q1 2028	3,773	190	28	0	218	700	3,150	988
Q2 2028	3,900	190	28	0	218	700	3,150	988
Q3 2028	4,045	190	28	0	218	700	3,150	988
Q4 2028	4,206	190	28	0	218	700	3,150	988
Q1 2029	4,354	190	28	3	221	756	3,308	1,028
Q2 2029	4,491	190	28	3	221	756	3,308	1,028
Q3 2029	4,647	190	28	3	221	756	3,308	1,028
Q4 2029	4,822	164	28	3	195	756	3,308	1,028
Q1 2030	4,981	0	28	3	31	816	3,473	1,069
Q2 2030	5,127	0	28	3	31	816	3,473	1,069
Q3 2030	5,293	0	28	3	31	816	3,473	1,069
Q4 2030	5,480	0	28	3	31	816	3,473	1,069

Interest and cash- tax income proxy

Quarter	Gross interest	Net interest expense	Interest income	Pretax proxy	Cash tax	Cash- tax NI
Q4 2026	589	324	446	974	146	827
Q1 2027	589	324	410	2,020	303	1,717
Q2 2027	574	316	390	2,998	450	2,548
Q3 2027	559	308	349	3,957	594	3,364
Q4 2027	544	299	320	4,639	696	3,943
Q1 2028	544	299	289	3,262	489	2,773
Q2 2028	535	294	259	4,495	674	3,821
Q3 2028	525	289	259	5,627	844	4,783
Q4 2028	516	284	240	6,578	987	5,591
Q1 2029	507	279	221	5,093	764	4,329
Q2 2029	497	273	198	6,466	970	5,496
Q3 2029	488	268	214	7,885	1,183	6,702
Q4 2029	478	263	208	9,069	1,360	7,708
Q1 2030	468	258	206	7,365	1,105	6,261
Q2 2030	462	254	197	9,060	1,359	7,701
Q3 2030	454	250	231	10,651	1,598	9,054
Q4 2030	449	247	244	12,009	1,801	10,208

Q4 2026 R&D and MG&A components remain inside the aggregate guide calibration. The forecast does not assign separate values to those two components for that quarter.

Cash balances deposits and initial inputs

Deposits and new financing

Quarter	Current deposits	LT deposits	Before funding	Liquid assets	Revolver draw	Gross equity	Equity fees	RSU cash
Q4 2026	0	0	49,686	49,686	0	0	0	300
Q1 2027	250	0	47,250	47,250	0	0	0	300
Q2 2027	250	0	42,325	42,325	0	0	0	300
Q3 2027	0	0	38,732	38,732	0	0	0	300
Q4 2027	0	150	35,048	35,048	0	0	0	300
Q1 2028	0	150	31,368	31,368	0	0	0	300
Q2 2028	0	150	31,414	31,414	0	0	0	300
Q3 2028	0	150	29,078	29,078	0	0	0	300
Q4 2028	0	150	26,840	26,840	0	0	0	300
Q1 2029	0	150	24,016	24,016	0	0	0	300
Q2 2029	0	150	25,943	25,943	0	0	0	300
Q3 2029	0	150	25,219	25,219	0	0	0	300
Q4 2029	0	0	24,922	24,922	0	0	0	300
Q1 2030	0	0	23,764	23,915	151	0	0	300
Q2 2030	0	0	28,046	28,046	0	0	0	300
Q3 2030	0	0	29,350	29,555	205	0	0	300
Q4 2030	0	0	31,211	31,461	250	0	0	300

Initial balance	Value	Units
liquidity	54.005000	USD billions
funding debt	50.134000	USD billions
revolver	0.000000	USD billions
PPE	105.314000	USD billions
shares M	5,500.000000	million shares
AR	4.093000	USD billions
cash inventory	8.925984	USD billions
noncash inventory	4.142016	USD billions
inventory	13.068000	USD billions
operating AP	6.623250	USD billions
existing intangibles	2.444000	USD billions
Classiq base intangibles	0.000000	USD billions
Classiq earnout intangibles	0.000000	USD billions
current deposit planning reserve	0.500000	USD billions
LT customer deposits	1.200000	USD billions
supplier capacity new prepaid proxy	0.000000	USD billions

Initial cash/noncash inventory and operating AP partitions are analytical calibration proxies. Source reported balances and their measurement dates remain distinct.

Product manufacturing costs and annual observations

Quarter	Client PC	Physical/other	Server CPU	Owned ASICs	Ext packaging	Ext wafers	Other-net	Classiq
Q4 2026	1,846	551	1,347	699	62	93	264	0
Q1 2027	2,027	596	1,303	706	329	98	237	0
Q2 2027	2,225	596	1,438	754	359	106	258	0
Q3 2027	2,614	596	1,524	790	389	115	280	0
Q4 2027	2,807	596	1,619	838	419	130	301	0
Q1 2028	2,155	643	1,662	886	692	144	255	0
Q2 2028	2,361	643	1,779	948	755	186	279	0
Q3 2028	2,771	643	1,868	995	818	257	302	0
Q4 2028	2,976	643	1,986	1,057	881	417	325	0
Q1 2029	2,242	695	2,021	1,115	1,032	352	276	0
Q2 2029	2,455	695	2,165	1,194	1,126	537	301	0
Q3 2029	2,882	695	2,275	1,254	1,220	722	326	0
Q4 2029	3,096	695	2,419	1,333	1,314	907	351	0
Q1 2030	2,309	750	2,410	1,405	1,414	865	298	0
Q2 2030	2,529	750	2,582	1,505	1,543	992	325	0
Q3 2030	2,969	750	2,715	1,583	1,671	1,120	352	0
Q4 2030	3,189	750	2,888	1,684	1,800	1,247	379	0

These are variable cash manufacturing costs before shared factory cash expense and inventory-recognized noncash costs. Product gross margins are analytical allocations.

Period	Revenue	Group OP	Parent OP	CFO	Owned capex	Model FCF	Substrate
2026 Q4	15,508	852	602	4,228	8,166	-4,044	300
2027	74,722	13,392	12,292	26,047	32,200	-6,681	3,000
2028	91,139	20,081	18,981	35,313	36,200	-1,531	2,400
2029	110,538	28,754	27,554	44,462	40,200	3,479	0
2030	132,324	39,216	37,816	56,121	44,200	10,984	0

The 2026 model line covers Q4 only. Subsequent annual rows contain all four quarters.

Calibration item	USD billions
Reported Q3 revenue	16.513000
Recurring normalized revenue	16.413000
Normalized cash-variable COGS	5.412200
Opening noncash inventory proxy	4.142016
Opening cash inventory proxy	8.925984

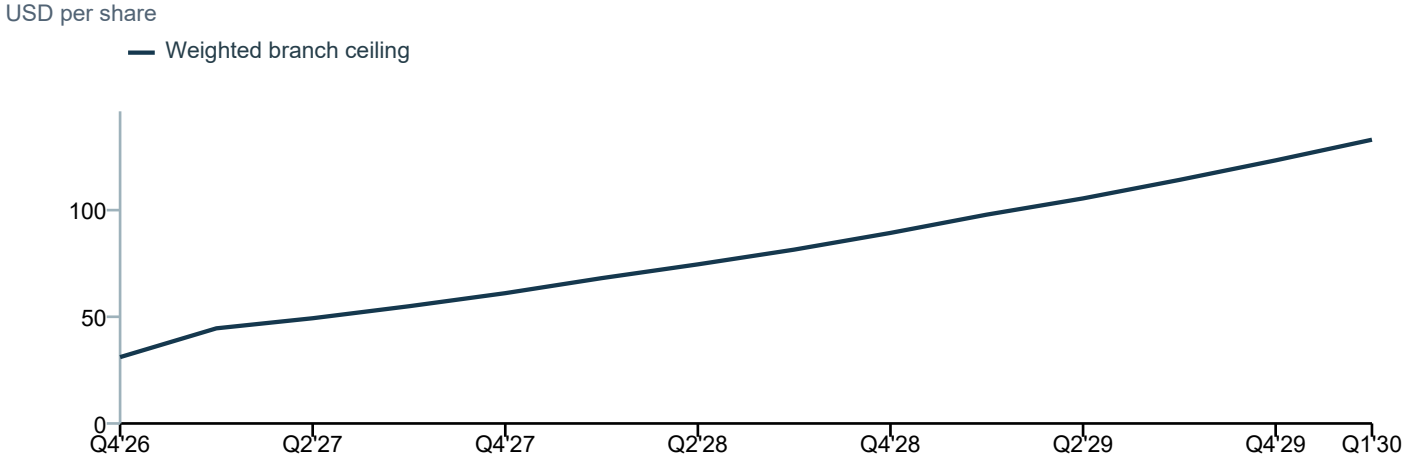
Rolling four-quarter operating-profit valuation

Valuation method and complete derivations

For branch b and valuation quarter t, add its parent-economic OP in t through t+3, multiply by 20 and 1,000, and divide by branch quarter-start shares in millions. Weight those branch ceilings by their joint probabilities. This preserves the effect of nonlinear cash funding and share issuance. The fourteen derivation rows show all four probability-weighted OP observations, their sum, branch-mean target and an effective display denominator.

The effective denominator is a derived identity that reproduces the weighted target alongside aggregate OP. The model retains the actual starting-share value of every branch separately. Negative OP stays signed. The final three operating quarters carry no incomplete four-quarter ceiling. Current quote-based return is absent because the available market quote lacks a verified observation date.

Four-quarter operating-profit valuation



Fourteen complete current-plus-next-three-quarter windows. Every observation is the mean of coherent branch ceilings.

Quarter	OP t	OP t+1	OP t+2	OP t+3	4Q OP	Start shares M	Equiv shares M	USD/share
Q4 2026	0.601969	1.658701	2.648532	3.640802	8.550004	5,500.000	5,500.000	31.090923
Q1 2027	1.658701	2.648532	3.640802	4.343886	12.291921	5,513.699	5,513.699	44.586843
Q2 2027	2.648532	3.640802	4.343886	2.997018	13.630238	5,527.432	5,527.432	49.318523
Q3 2027	3.640802	4.343886	2.997018	4.255230	15.236936	5,546.299	5,546.278	54.944729
Q4 2027	4.343886	2.997018	4.255230	5.382339	16.978474	5,560.113	5,560.093	61.072631
Q1 2028	2.997018	4.255230	5.382339	6.346866	18.981454	5,573.961	5,573.942	68.107829
Q2 2028	4.255230	5.382339	6.346866	4.850818	20.835254	5,587.844	5,587.825	74.573749
Q3 2028	5.382339	6.346866	4.850818	6.241003	22.821026	5,601.762	5,601.743	81.478302
Q4 2028	6.346866	4.850818	6.241003	7.639028	25.077715	5,615.714	5,615.696	89.312939
Q1 2029	4.850818	6.241003	7.639028	8.823453	27.554302	5,630.171	5,630.149	97.881247
Q2 2029	6.241003	7.639028	8.823453	7.067381	29.770865	5,644.193	5,644.173	105.492394
Q3 2029	7.639028	8.823453	7.067381	8.767093	32.296956	5,658.251	5,658.231	114.159197
Q4 2029	8.823453	7.067381	8.767093	10.319625	34.977553	5,672.344	5,672.324	123.327056
Q1 2030	7.067381	8.767093	10.319625	11.662327	37.816427	5,686.472	5,686.453	133.005335

OP terms use USD billions. The 20x multiple and 1,000 unit factor apply in every row. Starting shares are the expected branch quarter-start count; the equivalent denominator is an explanatory identity of the weighted result. Each branch is valued before weighting.

Scenario definitions and weights

Coherent outcomes and conditional exposure

Nine core rows combine with five acquisition outcomes, two CPU-price outcomes and two D-Series outcomes, creating 180 coherent branches. Every branch pays its own operating, capital, cash, debt and share consequences. Live probabilities derive from authoritative weights; calibration reference probabilities retain separate identities.

The programme table reports conditional group exposure. Insurance-positive or credit-renewing groups also contain different server, packaging and execution combinations. Their conditional ceiling differences describe that joint exposure. An isolated event effect requires a same-state mechanical diagnostic.

Insurance receives a 30% weight on USD 100 million conditional accident cash, taxed at 15%, giving USD 25.5 million expected after-tax cash in Q4 2027. It contributes zero recurring OP. The same-state zero-recovery diagnostic retains the USD 61.07263059 active valuation and reduces later cash. War and political-violence exclusions retain their source scope.

Core	Weight	Server	Package	Israel	Wafer	PC weak	Insurance	Renewal
A-insured	30.0%	1	2	1	1	1	1	1
A-uninsured	10.0%	1	2	1	1	1	0	1
B	10.0%	1	1	1	0	1	0	1
C	5.0%	1	0	1	0	0	0	1
D	5.0%	0	2	1	1	1	0	1
E	15.0%	0	2	0	0	1	0	1
F	5.0%	0	1	0	0	1	0	0
G-stable-PC	10.0%	0	0	0	0	0	0	0
G-weak-PC	10.0%	0	0	0	0	1	0	0

Package states: 0 delayed, 1 other readiness, 2 Google conversion. Other flags use 1 for the named outcome and 0 for its alternative. The variables are correlated through the core rows.

Acquisition state	Weight	Close	Stock	Earnout
Cash/no earnout	29.75%	1	0	0
Cash/full earnout	29.75%	1	0	1
Stock/no earnout	12.75%	1	1	0
Stock/full earnout	12.75%	1	1	1
No close	15.00%	0	0	0

Independent outcome	Present	Alternative
CPU pricing	35%	65%
D-Series conversion	25%	75%

Nine core rows × five acquisition rows × two CPU states × two D-Series states produce 180 coherent outcomes. Multiplying the selected state weights gives each outcome weight.

Programme assumptions and conditional exposure

Conditional values retain the correlated server, capacity and funding mix. A single cash assumption is isolated through the same-state diagnostic.

Programme	Probability	Active group value and range USD/share
Strong-server unit/ASP branch	55%	No: 45.34 [37.35, 51.18] Yes: 73.94 [68.97, 76.26]
Packaging ready; Fortinet conversion follows the same joint state	75%	No: 46.56 [37.35, 69.93] Yes: 65.91 [44.17, 76.26]
Google package path	60%	No: 52.03 [37.35, 70.11] Yes: 67.10 [49.59, 76.26]
New wafer conversion	45%	No: 51.44 [37.35, 70.11] Yes: 72.85 [50.30, 76.26]
Early accident recovery	60%	No: 44.69 [37.35, 50.46] Yes: 72.00 [50.30, 76.26]
PC-memory demand pressure	85%	No: 52.54 [43.90, 69.93] Yes: 62.58 [37.35, 76.26]
Accident insurance cash receipt	30%	No: 54.83 [37.35, 76.26] Yes: 75.64 [75.30, 76.26]
First credit-line renewal	75%	No: 41.58 [37.35, 45.03] Yes: 67.57 [49.59, 76.26]
Classiq closes	85%	No: 61.57 [38.00, 76.26] Yes: 60.99 [37.35, 75.75]
Legacy bounded CPU price mechanism	35%	No: 61.02 [37.35, 76.10] Yes: 61.18 [37.51, 76.26]
D-series conditional conversion	25%	No: 61.07 [37.35, 76.24] Yes: 61.09 [37.37, 76.26]

The group value reflects combined state exposure, including correlated execution. The insurance cash-only diagnostic keeps joint weights fixed and preserves the active operating-profit valuation.

Exploratory SK hynix memory manufacturing

The retained probability is 20%, with 100% overlap and zero incremental revenue or OP. Existing external-wafer/manufacturing-capacity path with its paid R&D and capex.

Open economic scope: Intel invoice seller/service role, Qualified units or capacity and production timing, Unit or service content and pricing, Asset ownership, capital and funding terms, Supplier and customer commitments, Incremental manufacturing and support costs.

Reported optical-I/O engineering milestones and current paid capacity scope

Engineering evidence has 100% overlap and zero additional revenue or OP. Existing paid process R&D and wafer/packaging capacity; reported optical demonstrations retain their own design/measurement scopes.

Open economic scope: Full original technical paper, All-lane spectra/timing/temperature performance, Production reliability, yield and cost, Intel accepted customer units, content and commercial terms.

Capture law and shareholder claims

Each branch applies parent-economic OP = (consolidated OP + parent-only cost) × ownership - parent-only cost - quarterly minority claim. Ownership and parent-only cost affect valuation capture. The quarterly minority claim also enters the modeled minority cash distribution. Source P/Q/R inputs remain live at their preserved defaults.

Quarter	Ownership P	Parent-only Q $B	Quarter claim R $B
Q4 2026	100.0%	0.000	0.250
Q1 2027	100.0%	0.000	0.275
Q2 2027	100.0%	0.000	0.275
Q3 2027	100.0%	0.000	0.275
Q4 2027	100.0%	0.000	0.275
Q1 2028	100.0%	0.000	0.275
Q2 2028	100.0%	0.000	0.275
Q3 2028	100.0%	0.000	0.275
Q4 2028	100.0%	0.000	0.275
Q1 2029	100.0%	0.000	0.300
Q2 2029	100.0%	0.000	0.300
Q3 2029	100.0%	0.000	0.300
Q4 2029	100.0%	0.000	0.300
Q1 2030	100.0%	0.000	0.350
Q2 2030	100.0%	0.000	0.350
Q3 2030	100.0%	0.000	0.350
Q4 2030	100.0%	0.000	0.350

Annual claim readouts sum the current quarterly inputs. The 2026 sum covers one modeled quarter; management annual guidance and dated annualization context retain their original scopes.

Scorecard and six risk mechanisms

The analytical score is 42/60, or 70. Core thesis earns 16/20, cycle 8/10, TAM 10/10, catalysts 4/5, macro 8/10 and alpha 2/5, with six risk deductions. The protected Excel Base remains 72. The product opportunity is broad, while funding, competitive conversion and manufacturing economics still constrain shareholder capture.

The six distinct risk classes are funding/liquidity and claims; server competition/pricing; foundry/packaging commercial conversion; process yield/manufacturing execution; client demand/memory allocation; and physical/geopolitical manufacturing continuity. Each addresses its own economic mechanism. Physical interruption covers sustained operation, remediation and uninsured war exposure. Yield execution covers process performance and good output within operating factories.

Category	Points	Maximum
Core Thesis	16	20
Cycle Stage	8	10
TAM Expansion	10	10
Catalysts	4	5
Macro	8	10
Alpha	2	5
Risks	-6	0

Worked branch calculations

The following examples illustrate existing selected branches. Financial figures are USD billions and shares are millions.

First positive-execution branch: modeled path minimum occurs in Q1 2029; detailed arithmetic below uses Q4 2027.

A-insured / Cash/no earnout / Price outcome / D-series converts

Revenue component	USD billions
Client PCs	7.419708000
Physical AI and other client	1.292760000
Server CPUs	9.488032680
Owned custom silicon and inference	1.803200000
External advanced packaging	1.073333333
External wafer manufacturing	0.250400000
Other operating businesses and net eliminations	0.784000000
Quantum design software	0.012500000
Finite CPU adjustment	0.068828497
Total revenue	22.192762511

Cost or cash term	USD billions
Variable cash	7.081899862
Fixed factory	1.100000000
Scrap cash	0.000000000
Guide residual	0.000000000
Inventory noncash	3.375791322
Gross profit	10.635071326
Cash opex	4.108172102
Opex noncash	0.978092585
Group OP	5.548806640
Minority claim	0.275000000
Parent OP	5.273806640
Operating cash	6.999894071
Owned cash capex	9.520000000
Supplier financing	0.155139001
Model FCF	-2.675244931
Substrate funding	0.750000000
Acquisition cash	0.000000000
Before funding	34.520239611
Revolver draw	0.000000000
equity net proceeds	0.000000000
Liquid assets	34.520239611

Four OP terms: 5.273806640 + 3.738692655 + 5.247094204 + 6.779379314 = 21.038972814. × 20 × 1,000 / quarter-start shares 5,555.000000000 = USD 75.747876917.

Closing shares = opening shares × (1 + annual ordinary dilution)^0.25 + Classiq shares + funding shares + any selected contingent shares. Cash and full formula terms are retained in the linked model.

Worked branch calculation continued

Branch with minimum pre-funding liquidity: modeled path minimum occurs in Q1 2030; detailed arithmetic below uses Q4 2027.

G-weak-PC / Cash/full earnout / No price outcome / D-series does not convert

Revenue component	USD billions
Client PCs	7.419708000
Physical AI and other client	1.292760000
Server CPUs	7.150401440
Owned custom silicon and inference	1.528800000
External advanced packaging	0.140000000
External wafer manufacturing	0.219800000
Other operating businesses and net eliminations	0.784000000
Quantum design software	0.012500000
Finite CPU adjustment	0.000000000
Total revenue	18.547969440

Cost or cash term	USD billions
Variable cash	6.015330466
Fixed factory	1.100000000
Scrap cash	0.000000000
Guide residual	0.000000000
Inventory noncash	3.326328386
Gross profit	8.106310588
Cash opex	4.016334542
Opex noncash	0.968629725
Group OP	3.121346321
Minority claim	0.275000000
Parent OP	2.846346321
Operating cash	5.048817724
Owned cash capex	8.400000000
Supplier financing	0.131774295
Model FCF	-3.482956571
Substrate funding	0.750000000
Acquisition cash	0.000000000
Before funding	33.173740418
Revolver draw	0.000000000
equity net proceeds	0.000000000
Liquid assets	33.173740418

Four OP terms: 2.846346321 + 1.699683853 + 2.628826343 + 3.236074288 = 10.410930805. × 20 × 1,000 / quarter-start shares 5,555.000000000 = USD 37.483099208.

Closing shares = opening shares × (1 + annual ordinary dilution)^0.25 + Classiq shares + funding shares + any selected contingent shares. Cash and full formula terms are retained in the linked model.

Active-window coherent branch appendix

Q4 2027 | OP in USD billions | shares in millions. Acquisition codes 1-5 follow the five-state table; CPU and D flags identify the binary outcomes.

ID	Core	Acq	P	D	Weight %	4Q OP	Start shares	Ceiling	Weighted
B001	A-insured	1	1	1	0.7809	21.038973	5,555.000	75.747877	0.591544
B002	A-insured	1	1	0	2.3428	21.033160	5,555.000	75.726950	1.774140
B003	A-insured	1	0	1	1.4503	20.994483	5,555.000	75.587697	1.096258
B004	A-insured	1	0	0	4.3509	20.988670	5,555.000	75.566770	3.287863
B005	A-insured	2	1	1	0.7809	21.038973	5,555.000	75.747877	0.591544
B006	A-insured	2	1	0	2.3428	21.033160	5,555.000	75.726950	1.774140
B007	A-insured	2	0	1	1.4503	20.994483	5,555.000	75.587697	1.096258
B008	A-insured	2	0	0	4.3509	20.988670	5,555.000	75.566770	3.287863
B009	A-insured	3	1	1	0.3347	21.038973	5,575.050	75.475461	0.252607
B010	A-insured	3	1	0	1.0041	21.033160	5,575.050	75.454609	0.757611
B011	A-insured	3	0	1	0.6216	20.994483	5,575.050	75.315858	0.468135
B012	A-insured	3	0	0	1.8647	20.988670	5,575.050	75.295006	1.404017
B013	A-insured	4	1	1	0.3347	21.038973	5,575.050	75.475461	0.252607
B014	A-insured	4	1	0	1.0041	21.033160	5,575.050	75.454609	0.757611
B015	A-insured	4	0	1	0.6216	20.994483	5,575.050	75.315858	0.468135
B016	A-insured	4	0	0	1.8647	20.988670	5,575.050	75.295006	1.404017
B017	A-insured	5	1	1	0.3937	21.181754	5,555.000	76.261941	0.300281
B018	A-insured	5	1	0	1.1812	21.175942	5,555.000	76.241014	0.900597
B019	A-insured	5	0	1	0.7313	21.137264	5,555.000	76.101761	0.556494
B020	A-insured	5	0	0	2.1938	21.131452	5,555.000	76.080834	1.669023
B021	A-uninsured	1	1	1	0.2603	21.038973	5,555.000	75.747877	0.197181
B022	A-uninsured	1	1	0	0.7809	21.033160	5,555.000	75.726950	0.591380
B023	A-uninsured	1	0	1	0.4834	20.994483	5,555.000	75.587697	0.365419
B024	A-uninsured	1	0	0	1.4503	20.988670	5,555.000	75.566770	1.095954
B025	A-uninsured	2	1	1	0.2603	21.038973	5,555.000	75.747877	0.197181
B026	A-uninsured	2	1	0	0.7809	21.033160	5,555.000	75.726950	0.591380
B027	A-uninsured	2	0	1	0.4834	20.994483	5,555.000	75.587697	0.365419
B028	A-uninsured	2	0	0	1.4503	20.988670	5,555.000	75.566770	1.095954
B029	A-uninsured	3	1	1	0.1116	21.038973	5,575.050	75.475461	0.084202
B030	A-uninsured	3	1	0	0.3347	21.033160	5,575.050	75.454609	0.252537
B031	A-uninsured	3	0	1	0.2072	20.994483	5,575.050	75.315858	0.156045
B032	A-uninsured	3	0	0	0.6216	20.988670	5,575.050	75.295006	0.468006
B033	A-uninsured	4	1	1	0.1116	21.038973	5,575.050	75.475461	0.084202
B034	A-uninsured	4	1	0	0.3347	21.033160	5,575.050	75.454609	0.252537
B035	A-uninsured	4	0	1	0.2072	20.994483	5,575.050	75.315858	0.156045
B036	A-uninsured	4	0	0	0.6216	20.988670	5,575.050	75.295006	0.468006
B037	A-uninsured	5	1	1	0.1313	21.181754	5,555.000	76.261941	0.100094
B038	A-uninsured	5	1	0	0.3937	21.175942	5,555.000	76.241014	0.300199
B039	A-uninsured	5	0	1	0.2438	21.137264	5,555.000	76.101761	0.185498
B040	A-uninsured	5	0	0	0.7313	21.131452	5,555.000	76.080834	0.556341
B041	B	1	1	1	0.2603	19.331284	5,555.000	69.599583	0.181176
B042	B	1	1	0	0.7809	19.325472	5,555.000	69.578656	0.543366
B043	B	1	0	1	0.4834	19.286794	5,555.000	69.439403	0.335696
B044	B	1	0	0	1.4503	19.280982	5,555.000	69.418476	1.006785
B045	B	2	1	1	0.2603	19.331284	5,555.000	69.599583	0.181176

Active-window branch appendix continued

ID	Core	Acq	P	D	Weight %	4Q OP	Start shares	Ceiling	Weighted
B046	B	2	1	0	0.7809	19.325472	5,555.000	69.578656	0.543366
B047	B	2	0	1	0.4834	19.286794	5,555.000	69.439403	0.335696
B048	B	2	0	0	1.4503	19.280982	5,555.000	69.418476	1.006785
B049	B	3	1	1	0.1116	19.331284	5,575.050	69.349278	0.077368
B050	B	3	1	0	0.3347	19.325472	5,575.050	69.328427	0.232034
B051	B	3	0	1	0.2072	19.286794	5,575.050	69.189675	0.143352
B052	B	3	0	0	0.6216	19.280982	5,575.050	69.168823	0.429927
B053	B	4	1	1	0.1116	19.331284	5,575.050	69.349278	0.077368
B054	B	4	1	0	0.3347	19.325472	5,575.050	69.328427	0.232034
B055	B	4	0	1	0.2072	19.286794	5,575.050	69.189675	0.143352
B056	B	4	0	0	0.6216	19.280982	5,575.050	69.168823	0.429927
B057	B	5	1	1	0.1313	19.474065	5,555.000	70.113647	0.092024
B058	B	5	1	0	0.3937	19.468253	5,555.000	70.092720	0.275990
B059	B	5	0	1	0.2438	19.429576	5,555.000	69.953467	0.170512
B060	B	5	0	0	0.7313	19.423763	5,555.000	69.932540	0.511382
B061	C	1	1	1	0.1302	19.281197	5,555.000	69.419252	0.090353
B062	C	1	1	0	0.3905	19.275385	5,555.000	69.398325	0.270979
B063	C	1	0	1	0.2417	19.232602	5,555.000	69.244290	0.167376
B064	C	1	0	0	0.7252	19.226789	5,555.000	69.223363	0.501978
B065	C	2	1	1	0.1302	19.281197	5,555.000	69.419252	0.090353
B066	C	2	1	0	0.3905	19.275385	5,555.000	69.398325	0.270979
B067	C	2	0	1	0.2417	19.232602	5,555.000	69.244290	0.167376
B068	C	2	0	0	0.7252	19.226789	5,555.000	69.223363	0.501978
B069	C	3	1	1	0.0558	19.281197	5,575.050	69.169596	0.038584
B070	C	3	1	0	0.1673	19.275385	5,575.050	69.148745	0.115716
B071	C	3	0	1	0.1036	19.232602	5,575.050	68.995263	0.071475
B072	C	3	0	0	0.3108	19.226789	5,575.050	68.974412	0.214360
B073	C	4	1	1	0.0558	19.281197	5,575.050	69.169596	0.038584
B074	C	4	1	0	0.1673	19.275385	5,575.050	69.148745	0.115716
B075	C	4	0	1	0.1036	19.232602	5,575.050	68.995263	0.071475
B076	C	4	0	0	0.3108	19.226789	5,575.050	68.974412	0.214360
B077	C	5	1	1	0.0656	19.423979	5,555.000	69.933316	0.045894
B078	C	5	1	0	0.1969	19.418166	5,555.000	69.912389	0.137640
B079	C	5	0	1	0.1219	19.375383	5,555.000	69.758354	0.085018
B080	C	5	0	0	0.3656	19.369570	5,555.000	69.737427	0.254977
B081	D	1	1	1	0.1302	14.071343	5,555.000	50.661902	0.065940
B082	D	1	1	0	0.3905	14.065531	5,555.000	50.640975	0.197737
B083	D	1	0	1	0.2417	14.026854	5,555.000	50.501723	0.122072
B084	D	1	0	0	0.7252	14.021041	5,555.000	50.480796	0.366065
B085	D	2	1	1	0.1302	14.071343	5,555.000	50.661902	0.065940
B086	D	2	1	0	0.3905	14.065531	5,555.000	50.640975	0.197737
B087	D	2	0	1	0.2417	14.026854	5,555.000	50.501723	0.122072
B088	D	2	0	0	0.7252	14.021041	5,555.000	50.480796	0.366065
B089	D	3	1	1	0.0558	14.071343	5,575.050	50.479705	0.028158
B090	D	3	1	0	0.1673	14.065531	5,575.050	50.458853	0.084440

Active-window branch appendix continued

ID	Core	Acq	P	D	Weight %	4Q OP	Start shares	Ceiling	Weighted
B091	D	3	0	1	0.1036	14.026854	5,575.050	50.320101	0.052128
B092	D	3	0	0	0.3108	14.021041	5,575.050	50.299249	0.156321
B093	D	4	1	1	0.0558	14.071343	5,575.050	50.479705	0.028158
B094	D	4	1	0	0.1673	14.065531	5,575.050	50.458853	0.084440
B095	D	4	0	1	0.1036	14.026854	5,575.050	50.320101	0.052128
B096	D	4	0	0	0.3108	14.021041	5,575.050	50.299249	0.156321
B097	D	5	1	1	0.0656	14.214125	5,555.000	51.175966	0.033584
B098	D	5	1	0	0.1969	14.208312	5,555.000	51.155039	0.100711
B099	D	5	0	1	0.1219	14.169635	5,555.000	51.015787	0.062175
B100	D	5	0	0	0.3656	14.163822	5,555.000	50.994860	0.186450
B101	E	1	1	1	0.3905	13.873055	5,555.000	49.947992	0.195031
B102	E	1	1	0	1.1714	13.867242	5,555.000	49.927065	0.584849
B103	E	1	0	1	0.7252	13.828565	5,555.000	49.787813	0.361039
B104	E	1	0	0	2.1755	13.822753	5,555.000	49.766886	1.082663
B105	E	2	1	1	0.3905	13.873055	5,555.000	49.947992	0.195031
B106	E	2	1	0	1.1714	13.867242	5,555.000	49.927065	0.584849
B107	E	2	0	1	0.7252	13.828565	5,555.000	49.787813	0.361039
B108	E	2	0	0	2.1755	13.822753	5,555.000	49.766886	1.082663
B109	E	3	1	1	0.1673	13.873055	5,575.050	49.768362	0.083284
B110	E	3	1	0	0.5020	13.867242	5,575.050	49.747510	0.249748
B111	E	3	0	1	0.3108	13.828565	5,575.050	49.608759	0.154175
B112	E	3	0	0	0.9323	13.822753	5,575.050	49.587907	0.462330
B113	E	4	1	1	0.1673	13.873055	5,575.050	49.768362	0.083284
B114	E	4	1	0	0.5020	13.867242	5,575.050	49.747510	0.249748
B115	E	4	0	1	0.3108	13.828565	5,575.050	49.608759	0.154175
B116	E	4	0	0	0.9323	13.822753	5,575.050	49.587907	0.462330
B117	E	5	1	1	0.1969	14.015836	5,555.000	50.462056	0.099347
B118	E	5	1	0	0.5906	14.010024	5,555.000	50.441129	0.297918
B119	E	5	0	1	0.3656	13.971346	5,555.000	50.301877	0.183916
B120	E	5	0	0	1.0969	13.965534	5,555.000	50.280950	0.551519
B121	F	1	1	1	0.1302	12.363655	5,555.000	44.513608	0.057937
B122	F	1	1	0	0.3905	12.357842	5,555.000	44.492681	0.173730
B123	F	1	0	1	0.2417	12.319165	5,555.000	44.353429	0.107211
B124	F	1	0	0	0.7252	12.313352	5,555.000	44.332502	0.321480
B125	F	2	1	1	0.1302	12.363655	5,555.000	44.513608	0.057937
B126	F	2	1	0	0.3905	12.357842	5,555.000	44.492681	0.173730
B127	F	2	0	1	0.2417	12.319165	5,555.000	44.353429	0.107211
B128	F	2	0	0	0.7252	12.313352	5,555.000	44.332502	0.321480
B129	F	3	1	1	0.0558	12.363655	5,575.050	44.353522	0.024741
B130	F	3	1	0	0.1673	12.357842	5,575.050	44.332670	0.074188
B131	F	3	0	1	0.1036	12.319165	5,575.050	44.193918	0.045782
B132	F	3	0	0	0.3108	12.313352	5,575.050	44.173067	0.137282
B133	F	4	1	1	0.0558	12.363655	5,575.050	44.353522	0.024741
B134	F	4	1	0	0.1673	12.357842	5,575.050	44.332670	0.074188
B135	F	4	0	1	0.1036	12.319165	5,575.050	44.193918	0.045782

Active-window branch appendix continued

ID	Core	Acq	P	D	Weight %	4Q OP	Start shares	Ceiling	Weighted
B136	F	4	0	0	0.3108	12.313352	5,575.050	44.173067	0.137282
B137	F	5	1	1	0.0656	12.506436	5,555.000	45.027672	0.029549
B138	F	5	1	0	0.1969	12.500623	5,555.000	45.006745	0.088607
B139	F	5	0	1	0.1219	12.461946	5,555.000	44.867493	0.054682
B140	F	5	0	0	0.3656	12.456134	5,555.000	44.846566	0.163970
B141	G-stable-PC	1	1	1	0.2603	12.291260	5,555.000	44.252961	0.115196
B142	G-stable-PC	1	1	0	0.7809	12.285447	5,555.000	44.232034	0.345425
B143	G-stable-PC	1	0	1	0.4834	12.242664	5,555.000	44.077999	0.213090
B144	G-stable-PC	1	0	0	1.4503	12.236852	5,555.000	44.057072	0.638965
B145	G-stable-PC	2	1	1	0.2603	12.291260	5,555.000	44.252961	0.115196
B146	G-stable-PC	2	1	0	0.7809	12.285447	5,555.000	44.232034	0.345425
B147	G-stable-PC	2	0	1	0.4834	12.242664	5,555.000	44.077999	0.213090
B148	G-stable-PC	2	0	0	1.4503	12.236852	5,555.000	44.057072	0.638965
B149	G-stable-PC	3	1	1	0.1116	12.291260	5,575.050	44.093812	0.049192
B150	G-stable-PC	3	1	0	0.3347	12.285447	5,575.050	44.072960	0.147507
B151	G-stable-PC	3	0	1	0.2072	12.242664	5,575.050	43.919479	0.090996
B152	G-stable-PC	3	0	0	0.6216	12.236852	5,575.050	43.898627	0.272857
B153	G-stable-PC	4	1	1	0.1116	12.291260	5,575.050	44.093812	0.049192
B154	G-stable-PC	4	1	0	0.3347	12.285447	5,575.050	44.072960	0.147507
B155	G-stable-PC	4	0	1	0.2072	12.242664	5,575.050	43.919479	0.090996
B156	G-stable-PC	4	0	0	0.6216	12.236852	5,575.050	43.898627	0.272857
B157	G-stable-PC	5	1	1	0.1313	12.434041	5,555.000	44.767025	0.058757
B158	G-stable-PC	5	1	0	0.3937	12.428229	5,555.000	44.746098	0.176188
B159	G-stable-PC	5	0	1	0.2438	12.385445	5,555.000	44.592063	0.108693
B160	G-stable-PC	5	0	0	0.7313	12.379633	5,555.000	44.571136	0.325926
B161	G-weak-PC	1	1	1	0.2603	10.461233	5,555.000	37.664206	0.098045
B162	G-weak-PC	1	1	0	0.7809	10.455421	5,555.000	37.643279	0.293970
B163	G-weak-PC	1	0	1	0.4834	10.416743	5,555.000	37.504026	0.181309
B164	G-weak-PC	1	0	0	1.4503	10.410931	5,555.000	37.483099	0.543622
B165	G-weak-PC	2	1	1	0.2603	10.461233	5,555.000	37.664206	0.098045
B166	G-weak-PC	2	1	0	0.7809	10.455421	5,555.000	37.643279	0.293970
B167	G-weak-PC	2	0	1	0.4834	10.416743	5,555.000	37.504026	0.181309
B168	G-weak-PC	2	0	0	1.4503	10.410931	5,555.000	37.483099	0.543622
B169	G-weak-PC	3	1	1	0.1116	10.461233	5,575.050	37.528752	0.041868
B170	G-weak-PC	3	1	0	0.3347	10.455421	5,575.050	37.507900	0.125534
B171	G-weak-PC	3	0	1	0.2072	10.416743	5,575.050	37.369149	0.077424
B172	G-weak-PC	3	0	0	0.6216	10.410931	5,575.050	37.348297	0.232143
B173	G-weak-PC	4	1	1	0.1116	10.461233	5,575.050	37.528752	0.041868
B174	G-weak-PC	4	1	0	0.3347	10.455421	5,575.050	37.507900	0.125534
B175	G-weak-PC	4	0	1	0.2072	10.416743	5,575.050	37.369149	0.077424
B176	G-weak-PC	4	0	0	0.6216	10.410931	5,575.050	37.348297	0.232143
B177	G-weak-PC	5	1	1	0.1313	10.604014	5,555.000	38.178270	0.050109
B178	G-weak-PC	5	1	0	0.3937	10.598202	5,555.000	38.157343	0.150245
B179	G-weak-PC	5	0	1	0.2438	10.559525	5,555.000	38.018090	0.092669
B180	G-weak-PC	5	0	0	0.7313	10.553712	5,555.000	37.997163	0.277854

Forecast assumptions and editable inputs

All current authoritative leaves are listed with their declared units. Calendar keys identify their period. Source amounts, frozen-reference calibrations, forecast assumptions and preserved ownership/cost/claim inputs retain distinct roles.

Input	Units or meaning	Value
Issued shares (M) [C164]	Million shares	5,310.000000
Unreleased escrow (M) [C165]	Million shares	132.000000
Other net treasury proxy (M) [C166]	Million shares	58.000000
Opening liquid assets ($B) [C167]	USD billions	54.005000
Opening book debt ($B) [C168]	USD billions	50.134000
Opening PPE, net ($B) [C169]	USD billions	105.314000
Opening receivables ($B) [C170]	USD billions	4.093000
Opening inventory ($B) [C171]	USD billions	13.068000
Opening total AP ($B) [C172]	USD billions	8.831000
Q3 reported revenue ($B) [C173]	USD billions	16.513000
Q3 reported cost of sales ($B) [C174]	USD billions	9.417000
Q3 client segment sales ($B) [C175]	USD billions	8.097000
Q3 notebook/desktop sales ($B) [C176]	USD billions	6.900000
Q3 DCAI segment sales ($B) [C177]	USD billions	7.318000
Q3 other DCAI sales ($B) [C178]	USD billions	1.400000
Q3 external Foundry sales ($B) [C179]	USD billions	0.411000
Q3 All Other sales ($B) [C180]	USD billions	0.692000
Q3 depreciation, derived ($B) [C181]	USD billions	3.042000
Q3 P&L stock compensation ($B) [C182]	USD billions	0.586000
Recognized COS stock pay ($B) [C183]	USD billions	0.133000
Recognized opex stock pay ($B) [C184]	USD billions	0.453000
Q3 total amortization ($B) [C185]	USD billions	0.190000
Acquired COS amortization ($B) [C186]	USD billions	0.055000
Acquired opex amortization ($B) [C187]	USD billions	0.017000
Opening intangibles ($B) [C188]	USD billions	2.444000
multiple [B5]	OP valuation multiple	20.000000x
annual ordinary share growth [C240]	Probability, growth, margin or cost fraction	1.000%
operating AP fraction [C241]	Probability, growth, margin or cost fraction	75.000%
production DA fraction [C242]	Probability, growth, margin or cost fraction	90.000%
raw cash manufacturing rates 0 [C243]	Probability, growth, margin or cost fraction	49.000%
raw cash manufacturing rates 1 [C244]	Probability, growth, margin or cost fraction	60.000%
raw cash manufacturing rates 2 [C245]	Probability, growth, margin or cost fraction	25.000%
raw cash manufacturing rates 3 [C246]	Probability, growth, margin or cost fraction	65.000%
raw cash manufacturing rates 4 [C247]	Probability, growth, margin or cost fraction	65.000%
raw cash manufacturing rates 5 [C248]	Probability, growth, margin or cost fraction	72.000%
raw cash manufacturing rates 6 [C249]	Probability, growth, margin or cost fraction	50.000%
raw cash manufacturing rates 7 [C250]	Probability, growth, margin or cost fraction	0.000%
q4 reference revenue B [C251]	USD billions	15.500000
q4 reference GM [C252]	Probability, growth, margin or cost fraction	37.100%
q4 reference ordinary opex B [C253]	USD billions	4.900000

Input	Units or meaning	Value
q4 DCAI growth [C254]	Probability, growth, margin or cost fraction	15.000%
q4 package B [C255]	USD billions	0.125000
q4 wafer B [C256]	USD billions	0.168000
q4 cash capex B [C257]	USD billions	8.166000
Q4 ordinary SBC B [C258]	USD billions	0.600000
PC 2027 unit factor [C259]	Probability, growth, margin or cost fraction	90.000%
PC 2027 ASP factor [C260]	Probability, growth, margin or cost fraction	103.000%
physical AI annual growth [C261]	Probability, growth, margin or cost fraction	8.000%
PC later unit growth 0 [C262]	Probability, growth, margin or cost fraction	5.000%
PC later unit growth 1 [C263]	Probability, growth, margin or cost fraction	3.000%
PC later unit growth 2 [C264]	Probability, growth, margin or cost fraction	2.000%
PC later ASP growth 0 [C265]	Probability, growth, margin or cost fraction	2.000%
PC later ASP growth 1 [C266]	Probability, growth, margin or cost fraction	2.000%
PC later ASP growth 2 [C267]	Probability, growth, margin or cost fraction	2.000%
server high unit growth 0 [C268]	Probability, growth, margin or cost fraction	15.000%
server high unit growth 1 [C269]	Probability, growth, margin or cost fraction	22.000%
server high unit growth 2 [C270]	Probability, growth, margin or cost fraction	20.000%
server high unit growth 3 [C271]	Probability, growth, margin or cost fraction	18.000%
server high ASP growth 0 [C272]	Probability, growth, margin or cost fraction	5.000%
server high ASP growth 1 [C273]	Probability, growth, margin or cost fraction	3.000%
server high ASP growth 2 [C274]	Probability, growth, margin or cost fraction	4.000%
server high ASP growth 3 [C275]	Probability, growth, margin or cost fraction	3.500%
server low unit growth 0 [C276]	Probability, growth, margin or cost fraction	-2.000%
server low unit growth 1 [C277]	Probability, growth, margin or cost fraction	18.000%
server low unit growth 2 [C278]	Probability, growth, margin or cost fraction	16.000%
server low unit growth 3 [C279]	Probability, growth, margin or cost fraction	15.000%
server low ASP growth 0 [C280]	Probability, growth, margin or cost fraction	0.000%
server low ASP growth 1 [C281]	Probability, growth, margin or cost fraction	2.500%
server low ASP growth 2 [C282]	Probability, growth, margin or cost fraction	3.500%
server low ASP growth 3 [C283]	Probability, growth, margin or cost fraction	2.500%
ASIC high annual growth 0 [C284]	Probability, growth, margin or cost fraction	15.000%
ASIC high annual growth 1 [C285]	Probability, growth, margin or cost fraction	30.000%
ASIC high annual growth 2 [C286]	Probability, growth, margin or cost fraction	30.000%

Input	Units or meaning	Value
ASIC high annual growth 3 [C287]	Probability, growth, margin or cost fraction	30.000%
ASIC low annual growth 0 [C288]	Probability, growth, margin or cost fraction	5.000%
ASIC low annual growth 1 [C289]	Probability, growth, margin or cost fraction	20.000%
ASIC low annual growth 2 [C290]	Probability, growth, margin or cost fraction	20.000%
ASIC low annual growth 3 [C291]	Probability, growth, margin or cost fraction	20.000%
Fortinet conditional units M 0 [C292]	Million physical units or shares	0.500000
Fortinet conditional units M 1 [C293]	Million physical units or shares	0.750000
Fortinet conditional units M 2 [C294]	Million physical units or shares	1.000000
Fortinet conditional units M 3 [C295]	Million physical units or shares	1.200000
Fortinet content USD [C296]	USD per specified unit or share	40.000000
D series probability [C297]	Probability, growth, margin or cost fraction	25.000%
D series conditional units M 0 [C298]	Million physical units or shares	0.000000
D series conditional units M 1 [C299]	Million physical units or shares	0.010000
D series conditional units M 2 [C300]	Million physical units or shares	0.020000
D series conditional units M 3 [C301]	Million physical units or shares	0.040000
D series ASP USD [C302]	USD per specified unit or share	7,500.000000
Google units M 2027 [C303]	Million physical units or shares	0.000000
Google units M 2028 [C304]	Million physical units or shares	3.000000
Google units M 2029 [C305]	Million physical units or shares	3.600000
Google units M 2030 [C306]	Million physical units or shares	4.500000
Google content USD 2027 [C307]	USD per specified unit or share	1,500.000000
Google content USD 2028 [C308]	USD per specified unit or share	1,500.000000
Google content USD 2029 [C309]	USD per specified unit or share	1,600.000000
Google content USD 2030 [C310]	USD per specified unit or share	1,700.000000
package expected total B 2027 [C311]	USD billions	3.000000
package expected total B 2028 [C312]	USD billions	6.500000
package expected total B 2029 [C313]	USD billions	10.000000
package expected total B 2030 [C314]	USD billions	14.000000
package mature base B [C315]	USD billions	0.500000
mature wafer annual B 2027 [C316]	USD billions	0.800000
mature wafer annual B 2028 [C317]	USD billions	1.200000
mature wafer annual B 2029 [C318]	USD billions	1.600000
mature wafer annual B 2030 [C319]	USD billions	2.000000
new wafer units M 2027 0 [C320]	Million physical units or shares	0.000000
new wafer units M 2027 1 [C321]	Million physical units or shares	0.000000
new wafer units M 2027 2 [C322]	Million physical units or shares	0.000000
new wafer units M 2027 3 [C323]	Million physical units or shares	0.000000
new wafer units M 2028 0 [C324]	Million physical units or shares	0.000000
new wafer units M 2028 1 [C325]	Million physical units or shares	0.005000
new wafer units M 2028 2 [C326]	Million physical units or shares	0.015000
new wafer units M 2028 3 [C327]	Million physical units or shares	0.040000
new wafer units M 2029 0 [C328]	Million physical units or shares	0.030000
new wafer units M 2029 1 [C329]	Million physical units or shares	0.060000
new wafer units M 2029 2 [C330]	Million physical units or shares	0.090000
new wafer units M 2029 3 [C331]	Million physical units or shares	0.120000
new wafer units M 2030 0 [C332]	Million physical units or shares	0.120000
new wafer units M 2030 1 [C333]	Million physical units or shares	0.140000
new wafer units M 2030 2 [C334]	Million physical units or shares	0.160000
new wafer units M 2030 3 [C335]	Million physical units or shares	0.180000

Input	Units or meaning	Value
new wafer ASP USD [C336]	USD per specified unit or share	24,000.000000
2027 prototype fee B [C337]	USD billions	0.025000
cash RD base per quarter B [C338]	USD billions	3.000000
cash MGA base per quarter B [C339]	USD billions	0.950000
cash RD annual growth [C340]	Probability, growth, margin or cost fraction	5.000%
cash MGA annual growth [C341]	Probability, growth, margin or cost fraction	4.000%
SBC annual growth [C342]	Probability, growth, margin or cost fraction	8.000%
incremental package RD rate [C343]	Probability, growth, margin or cost fraction	3.500%
incremental wafer RD rate [C344]	Probability, growth, margin or cost fraction	5.000%
incremental sales support rate [C345]	Probability, growth, margin or cost fraction	1.500%
annual capex strong B 2027 [C346]	USD billions	34.000000
annual capex strong B 2028 [C347]	USD billions	38.000000
annual capex strong B 2029 [C348]	USD billions	42.000000
annual capex strong B 2030 [C349]	USD billions	46.000000
annual capex constrained B 2027 [C350]	USD billions	30.000000
annual capex constrained B 2028 [C351]	USD billions	34.000000
annual capex constrained B 2029 [C352]	USD billions	38.000000
annual capex constrained B 2030 [C353]	USD billions	42.000000
substrate total funding B [C354]	USD billions	5.700000
substrate pay by end2027 B [C355]	USD billions	3.300000
substrate 2026 payment B [C356]	USD billions	0.300000
Classiq close probability [C357]	Probability, growth, margin or cost fraction	85.000%
Classiq stock fraction conditional close [C358]	Probability, growth, margin or cost fraction	30.000%
Classiq base B [C359]	USD billions	1.900000
Classiq contingent probability [C360]	Probability, growth, margin or cost fraction	50.000%
Classiq max contingent B [C361]	USD billions	0.350000
Classiq share price proxy USD [C362]	USD per specified unit or share	95.000000
Classiq annual revenue B 2027 [C363]	USD billions	0.050000
Classiq annual revenue B 2028 [C364]	USD billions	0.075000
Classiq annual revenue B 2029 [C365]	USD billions	0.105000
Classiq annual revenue B 2030 [C366]	USD billions	0.140000
Classiq annual cash cost B 2027 [C367]	USD billions	0.070000
Classiq annual cash cost B 2028 [C368]	USD billions	0.080000
Classiq annual cash cost B 2029 [C369]	USD billions	0.095000
Classiq annual cash cost B 2030 [C370]	USD billions	0.110000
Classiq cash integration B [C371]	USD billions	0.030000
AR days [C372]	Days of coverage	22.555744
inventory days by year 2026 [C373]	Days of coverage	126.000000
inventory days by year 2027 [C374]	Days of coverage	125.000000
inventory days by year 2028 [C375]	Days of coverage	115.000000
inventory days by year 2029 [C376]	Days of coverage	110.000000
inventory days by year 2030 [C377]	Days of coverage	105.000000
cash tax rate [C378]	Probability, growth, margin or cost fraction	15.000%
gross debt cash rate [C379]	Probability, growth, margin or cost fraction	4.700%
capitalized interest fraction [C380]	Probability, growth, margin or cost fraction	45.000%

Input	Units or meaning	Value
liquidity yield [C381]	Probability, growth, margin or cost fraction	3.300%
RSU withholding per quarter B [C382]	USD billions	0.300000
minimum liquidity B [C383]	USD billions	10.000000
revolver limit B [C384]	USD billions	15.000000
revolver cash rate [C385]	Probability, growth, margin or cost fraction	5.500%
capital cash incentive per quarter B [C386]	USD billions	0.075000
partner cash contribution annual B 2026 [C387]	USD billions	2.000000
partner cash contribution annual B 2027 [C388]	USD billions	2.000000
partner cash contribution annual B 2028 [C389]	USD billions	1.000000
partner cash contribution annual B 2029 [C390]	USD billions	0.000000
partner cash contribution annual B 2030 [C391]	USD billions	0.000000
new equity issue price proxy USD [C397]	USD per specified unit or share	76.000000
equity issue fee rate [C398]	Probability, growth, margin or cost fraction	2.000%
legacy CPU premium [C399]	Probability, growth, margin or cost fraction	10.000%
legacy CPU eligible fraction [C400]	Probability, growth, margin or cost fraction	20.000%
legacy CPU overlap [C401]	Probability, growth, margin or cost fraction	50.000%
legacy CPU unit loss [C402]	Probability, growth, margin or cost fraction	1.000%
legacy CPU price GP retention [C403]	Probability, growth, margin or cost fraction	30.000%
legacy CPU commercial rate [C404]	Probability, growth, margin or cost fraction	5.000%
legacy CPU lost unit GP [C405]	Probability, growth, margin or cost fraction	60.000%
legacy CPU lost unit opex saving [C406]	Probability, growth, margin or cost fraction	5.000%
core joint probabilities 0 [C407]	Probability, growth, margin or cost fraction	30.000%
core joint probabilities 1 [C408]	Probability, growth, margin or cost fraction	10.000%
core joint probabilities 2 [C409]	Probability, growth, margin or cost fraction	10.000%
core joint probabilities 3 [C410]	Probability, growth, margin or cost fraction	5.000%
core joint probabilities 4 [C411]	Probability, growth, margin or cost fraction	5.000%
core joint probabilities 5 [C412]	Probability, growth, margin or cost fraction	15.000%
core joint probabilities 6 [C413]	Probability, growth, margin or cost fraction	5.000%
core joint probabilities 7 [C414]	Probability, growth, margin or cost fraction	10.000%
core joint probabilities 8 [C415]	Probability, growth, margin or cost fraction	10.000%
CPU price probability [C416]	Probability, growth, margin or cost fraction	35.000%
source normalization revenue B [C417]	USD billions	0.100000
source normalization GP fraction [C418]	Probability, growth, margin or cost fraction	80.000%
source package revenue B [C419]	USD billions	0.110000
source fixed factory cash B [C420]	USD billions	1.000000
source other amort COS fraction [C421]	Probability, growth, margin or cost fraction	50.000%
fixed factory cash per quarter B 2026 [C422]	USD billions	1.000000
fixed factory cash per quarter B 2027 [C423]	USD billions	1.100000

Input	Units or meaning	Value
fixed factory cash per quarter B 2028 [C424]	USD billions	1.250000
fixed factory cash per quarter B 2029 [C425]	USD billions	1.400000
fixed factory cash per quarter B 2030 [C426]	USD billions	1.550000
source inventory GAAP days [C427]	Days of coverage	126.280981
existing total amort per quarter B [C428]	USD billions	0.190000
Fortinet reference probability [C429]	Probability, growth, margin or cost fraction	75.000%
Fortinet cash manufacturing rate [C430]	Probability, growth, margin or cost fraction	65.000%
Fortinet direct support rate [C431]	Probability, growth, margin or cost fraction	10.000%
D series reference probability [C432]	Probability, growth, margin or cost fraction	25.000%
D series cash manufacturing rate [C433]	Probability, growth, margin or cost fraction	65.000%
D series direct support rate [C434]	Probability, growth, margin or cost fraction	18.000%
package reference probability [C435]	Probability, growth, margin or cost fraction	75.000%
Google reference probability [C436]	Probability, growth, margin or cost fraction	60.000%
other business 2027 annual B [C437]	USD billions	2.800000
other business annual growth [C438]	Probability, growth, margin or cost fraction	8.000%
Classiq intangible allocation [C439]	Probability, growth, margin or cost fraction	35.000%
Classiq intangible life years [C440]	Amortization life in years	5.000000
Israel Q1 revenue loss B [C441]	USD billions	0.300000
Israel late Q2 revenue loss B [C442]	USD billions	0.200000
Israel loss PC fraction [C443]	Probability, growth, margin or cost fraction	5.000%
Israel early Q1 extra cost B [C444]	USD billions	0.100000
Israel late Q1 extra cost B [C445]	USD billions	0.200000
Israel late Q2 extra cost B [C446]	USD billions	0.100000
insurance cash recovery B [C447]	USD billions	0.100000
insurance cash tax rate [C448]	Probability, growth, margin or cost fraction	15.000%
insurance recovery scale [C449]	Probability, growth, margin or cost fraction	100.000%
principal cash schedule B 2026 0 [C450]	USD billions	0.000000
principal cash schedule B 2026 1 [C451]	USD billions	0.000000
principal cash schedule B 2026 2 [C452]	USD billions	0.000000
principal cash schedule B 2026 3 [C453]	USD billions	0.000000
principal cash schedule B 2027 0 [C454]	USD billions	1.275333
principal cash schedule B 2027 1 [C455]	USD billions	1.275333
principal cash schedule B 2027 2 [C456]	USD billions	1.275333
principal cash schedule B 2027 3 [C457]	USD billions	0.000000
principal cash schedule B 2028 0 [C458]	USD billions	0.793250
principal cash schedule B 2028 1 [C459]	USD billions	0.793250
principal cash schedule B 2028 2 [C460]	USD billions	0.793250
principal cash schedule B 2028 3 [C461]	USD billions	0.793250
principal cash schedule B 2029 0 [C462]	USD billions	0.822000
principal cash schedule B 2029 1 [C463]	USD billions	0.822000
principal cash schedule B 2029 2 [C464]	USD billions	0.822000
principal cash schedule B 2029 3 [C465]	USD billions	0.822000
principal cash schedule B 2030 0 [C466]	USD billions	0.687500
principal cash schedule B 2030 1 [C467]	USD billions	0.687500
principal cash schedule B 2030 2 [C468]	USD billions	0.687500

Input	Units or meaning	Value
principal cash schedule B 2030 3 [C469]	USD billions	0.687500
interest paid timing factors 0 [C470]	Coupon timing multiplier or valuation multiple	1.700000x
interest paid timing factors 1 [C471]	Coupon timing multiplier or valuation multiple	0.300000x
interest paid timing factors 2 [C472]	Coupon timing multiplier or valuation multiple	1.700000x
interest paid timing factors 3 [C473]	Coupon timing multiplier or valuation multiple	0.300000x
supplier capacity financing runrate B [C474]	USD billions	0.119000
supplier capacity new prepaid asset fraction [C475]	Probability, growth, margin or cost fraction	0.000%
current deposit planning reserve B [C476]	USD billions	0.500000
customer LT deposit open B [C477]	USD billions	1.200000
customer LT release per quarter B [C478]	USD billions	0.150000
customer LT release start index [C479]	Discrete event flag, count or quarter index	4.000000
customer LT release quarters [C480]	Discrete event flag, count or quarter index	8.000000
supplier prepayment possible credit B [C481]	USD billions	0.000000
substrate own capex cash overlap fraction [C482]	Probability, growth, margin or cost fraction	0.000%
legal cash reserve B [C483]	USD billions	1.312000
legal cash payment index [C484]	Discrete event flag, count or quarter index	4.000000
revolver reduced limit B [C485]	USD billions	10.000000
revolver stepdown index [C486]	Discrete event flag, count or quarter index	11.000000
revolver renewal fee B [C487]	USD billions	0.012500
revolver renewal rate premium [C488]	Probability, growth, margin or cost fraction	0.600%
DOC hypothetical trigger [C489]	Discrete event flag, count or quarter index	0.000000
DOC hypothetical exercise shares M [C490]	Million physical units or shares	241.000000
DOC hypothetical exercise price USD [C491]	USD per specified unit or share	20.000000
DOC hypothetical exercise index [C492]	Discrete event flag, count or quarter index	4.000000
Valued ownership share [P18]	Ownership fraction	100.000%
Valued ownership share [P19]	Ownership fraction	100.000%
Valued ownership share [P20]	Ownership fraction	100.000%
Valued ownership share [P21]	Ownership fraction	100.000%
Valued ownership share [P22]	Ownership fraction	100.000%
Valued ownership share [P23]	Ownership fraction	100.000%
Valued ownership share [P24]	Ownership fraction	100.000%
Valued ownership share [P25]	Ownership fraction	100.000%
Valued ownership share [P26]	Ownership fraction	100.000%
Valued ownership share [P27]	Ownership fraction	100.000%
Valued ownership share [P28]	Ownership fraction	100.000%
Valued ownership share [P29]	Ownership fraction	100.000%
Valued ownership share [P30]	Ownership fraction	100.000%
Valued ownership share [P31]	Ownership fraction	100.000%
Valued ownership share [P32]	Ownership fraction	100.000%
Valued ownership share [P33]	Ownership fraction	100.000%
Valued ownership share [P34]	Ownership fraction	100.000%
Parent-only cost already in OP [Q18]	USD billions	0.000000
Parent-only cost already in OP [Q19]	USD billions	0.000000
Parent-only cost already in OP [Q20]	USD billions	0.000000
Parent-only cost already in OP [Q21]	USD billions	0.000000

Input	Units or meaning	Value
Parent-only cost already in OP [Q22]	USD billions	0.000000
Parent-only cost already in OP [Q23]	USD billions	0.000000
Parent-only cost already in OP [Q24]	USD billions	0.000000
Parent-only cost already in OP [Q25]	USD billions	0.000000
Parent-only cost already in OP [Q26]	USD billions	0.000000
Parent-only cost already in OP [Q27]	USD billions	0.000000
Parent-only cost already in OP [Q28]	USD billions	0.000000
Parent-only cost already in OP [Q29]	USD billions	0.000000
Parent-only cost already in OP [Q30]	USD billions	0.000000
Parent-only cost already in OP [Q31]	USD billions	0.000000
Parent-only cost already in OP [Q32]	USD billions	0.000000
Parent-only cost already in OP [Q33]	USD billions	0.000000
Parent-only cost already in OP [Q34]	USD billions	0.000000
Minority economic/cash claim [R18]	USD billions	0.250000
Minority economic/cash claim [R19]	USD billions	0.275000
Minority economic/cash claim [R20]	USD billions	0.275000
Minority economic/cash claim [R21]	USD billions	0.275000
Minority economic/cash claim [R22]	USD billions	0.275000
Minority economic/cash claim [R23]	USD billions	0.275000
Minority economic/cash claim [R24]	USD billions	0.275000
Minority economic/cash claim [R25]	USD billions	0.275000
Minority economic/cash claim [R26]	USD billions	0.275000
Minority economic/cash claim [R27]	USD billions	0.300000
Minority economic/cash claim [R28]	USD billions	0.300000
Minority economic/cash claim [R29]	USD billions	0.300000
Minority economic/cash claim [R30]	USD billions	0.300000
Minority economic/cash claim [R31]	USD billions	0.350000
Minority economic/cash claim [R32]	USD billions	0.350000
Minority economic/cash claim [R33]	USD billions	0.350000
Minority economic/cash claim [R34]	USD billions	0.350000

Fixed conversion	Value	Meaning
Unit factor	1,000	USD billions per million shares to USD/share

Calculation and cash-flow law

Calculation	Definition
Revenue	Sum of eight activity vectors plus finite CPU price branch.
Cost of sales	Variable cash manufacturing + fixed factory cash + scrap + guide residual + factory noncash released from inventory.
Operating profit	Revenue - cost of sales - cash operating expense - operating noncash.
Parent economic OP	(OP + parent-only cost) × ownership - parent-only cost - quarter minority claim.
CFO indirect	Cash- tax NI + PPE depreciation + all amortization + SBC - working capital cash use - ordinary interest timing - deposits - legal cash - integration + after- tax insurance + selected supplier credit.
CFO direct	Collected revenue - cash procurement - fixed factory cash - scrap - guide residual - cash opex + interest income - ordinary paid interest - tax - legal - integration + insurance + selected supplier credit.
Model FCF	CFO - inclusive owned-PPE cash capex - supplier-capacity financing cash.
Funding	Opening liquid + FCF + incentives + partner cash - minority cash - substrate funding - acquisition cash - debt principal - RSU withholding - mandatory repayment - renewal fee, followed by permitted borrowing and assumed equity.
Share count	Quarter-start shares × ordinary dilution + quarter-end corporate/funding claims. Valuation uses quarter-start shares.
Valuation	Sum over branches of probability × 20 × 1,000 × four parent-OP quarters / branch quarter-start shares.

All 3,060 branch-quarter observations and 2,520 complete branch valuation chains remain in the linked JSON. The report presents all 17 aggregate quarters, 14 headline four-term derivations, 180 active-window branches and two worked examples.

Source coverage and residual gaps

Competition, qualification and evidence that changes the outlook

Intel competes in CPUs with AMD and Arm-based systems; in accelerators with established hardware/software platforms; and in foundry and packaging with suppliers whose manufacturing scale and customer relationships set demanding benchmarks. Intel's x86 installed base, process IP, domestic fabrication and integrated packaging create customer options. Repeatable accepted output, competitive power/performance, reliable delivery and ongoing support determine conversion.

The most informative checkpoints are accepted server supply, the client inventory adjustment, Fab 28 recovery, node costs and utilization, 18A-P customer qualification, 14A PDK progression and customer tape-outs, 2027 EMIB/EMIB-T ramps, substrate delivery and the cash required before revenue. Risks include slower customer conversion, input inflation, weak PC demand, production interruption, high fixed costs, capital delays and additional shareholder or minority claims.

TAM estimates, design-kit release, technical feasibility, design win, signed contract, qualified output and revenue recognition each represent different stages of evidence. Revenue and profit assessment should preserve those stages and map each event to accepted units, content, manufacturing cost, engineering/support, timing and capital. Shared customers and capacity require an overlap reconciliation before multiple headlines are combined.

Sources: Q3 prepared remarks physical 1-7; Q3 10-Q risk and capital disclosures; Preserved full baseline business and competitive context

Source completeness and remaining uncertainty

The newest two earnings calls are October 29 and July 23. Eight pages of official Q3 prepared remarks and six pages of official Q2 prepared remarks are retained. Displayed secondary Q&A bodies were read through operator closing: 57 consecutive Q3 turns and 61 Q2 turns. Both providers display a generic completeness/API banner; alignment to original audio remains unverified.

Official replay metadata requires authentication and returns an empty playlist. Original audio remains unreviewed. The supplied Yahoo/Quartr link returned HTTP 404; the displayed EarningsCalls.dev dialogue provides the recovered Q3 Q&A. The generated summary box contains errors and is excluded from the fact set. Official remarks control the recorded 200-basis-point Q4 Israel margin impact. Transcript ambiguities around node wording and 18A/18A-P product labels remain explicit.

The current 54-page filing and 16-slide deck are retained with their hashes, as are the issuer release and prior-quarter sources. Direct SEC retrieval returned HTTP 403; the issuer-hosted SEC filing PDF and HTML were recovered. Historical technical reproductions and the partial bank report retain their source and completeness qualifications. Current unreported customer economics, absolute yields, employee award counts, consolidated CIP, full maturity/lease schedules, incident insurance recovery and substrate legal terms remain identified gaps.

Sources: Source R2 call_completeness/read_scope/retrieval_gaps; Accounting addendum R2 limitations; Preserved baseline source register

Dated source evidence

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North America Equity Research
18 October 2026

J.P.Morgan

Investment Thesis, Valuation and Risks

Intel *(Neutral; Price Target: $85.00)*

Investment Thesis
Our Neutral rating reflects our view that risk/reward is relatively balanced. Since Lip Bu Tan's appointment to CEO, we believe the team's execution and competitiveness in its core client/datacenter compute market has improved (DCAI/server emerging as the largest profit pool with record Y/Y growth and strong LTA-backed visibility), execution on next-gen manufacturing has significantly improved (yields, manufacturability, foundry process/design rule compatibility, advanced packaging), and the team has several initiatives (notably ASIC services) that exploit INTC's strong IP portfolio, SoC design capabilities, and leading-edge internal manufacturing. We continue to monitor the team's execution on its datacenter CPU roadmap, overall AI compute strategy, external foundry customer engagements, ASIC services design-win pipeline, and potential strengthening of its portfolio with datacenter networking capabilities going forward.

Valuation
Our Dec-27 PT of $85 is based on a group multiple of 20-25x (24x) P/E, times $3.60 EPS in CY28.

Risks to Rating and Price Target

- **Upside Risks:**
  - Faster-than-expected execution on the datacenter CPU roadmap and improved competitive positioning vs. AMD, which could drive a stronger DCAI revenue/margin trajectory than currently modeled.
  - Named external foundry anchor customer wins on leading-edge nodes, which would materially improve Intel Foundry economics and validate the ongoing capex inflection.
  - Accelerated traction in the ASIC services design-win pipeline with named hyperscaler/AI-lab customers, supporting a scaled multi-year revenue ramp.
- **Downside Risks:**
  - Delays or execution issues on next-generation node ramp, yield/performance, or product mix extension, which would pressure the GM trajectory.
  - Deeper or more prolonged memory-driven BOM inflation pressuring PC/consumer demand, with Client segment economics eroding faster than modeled.
  - Continued share loss to AMD in both client and server CPU, with the next-generation competitive dynamic still unresolved.

J.P.Morgan source risk/methodology page dated October 18, 2026. Broker assumptions remain attributed to that source; the current report applies its separately stated operating-profit method.

Dated financial source references

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Consolidated Condensed Statements of Operations

(In Millions, Except Per Share Amounts; Unaudited)	Three Months Ended Jun 27, 2026	Three Months Ended Jun 28, 2025	Six Months Ended Jun 27, 2026	Six Months Ended Jun 28, 2025
Net revenue	$ 16,128	$ 12,859	$ 29,705	$ 25,526
Cost of sales	9,619	9,317	17,849	17,312
Gross profit	6,509	3,542	11,856	8,214
Research and development	3,368	3,684	6,743	7,324
Marketing, general, and administrative	1,175	1,144	2,213	2,321
Restructuring and other charges	170	1,890	4,240	2,046
Operating expenses	4,713	6,718	13,196	11,691
Operating income (loss)	1,796	(3,176)	(1,340)	(3,477)
Gains (losses) on equity investments, net	(39)	502	(111)	390
Interest and other, net	(12,576)	(95)	(13,314)	(268)
Income (loss) before taxes	(10,819)	(2,769)	(14,765)	(3,355)
Provision for (benefit from) taxes	29	255	364	556
Net income (loss)	(10,848)	(3,024)	(15,129)	(3,911)
Less: net income (loss) attributable to non-controlling interests	185	(106)	(368)	(172)
Net income (loss) attributable to Intel	$ (11,033)	$ (2,918)	$ (14,761)	$ (3,739)
Earnings (loss) per share attributable to Intel—basic	$ (2.16)	$ (0.67)	$ (2.89)	$ (0.86)
Earnings (loss) per share attributable to Intel—diluted	$ (2.16)	$ (0.67)	$ (2.89)	$ (0.86)
Weighted average shares of common stock outstanding:				
Basic	5,104	4,369	5,108	4,356
Diluted	5,104	4,369	5,108	4,356

See accompanying notes.

The following earlier-quarter source pages retain their original publication dates, accounting scope and source pixels. Current forecasts use the latest actual and guidance bridge. Intel Q2/H1 income statement for the June 27, 2026 period, released July 23. Historical source actuals and original USD-million labels are preserved.

Dated source evidence

Net revenue, cost of sales and operating expenses and operating income (loss) for each period were as follows:

(In Millions)	Three Months Ended Jun 27, 2026							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 8,877**	**$ 6,262**	**$ 15,139**	**$ 5,765**	**$ 701**	**$ —**	**$ (5,477)**	**$ 16,128**
Cost of sales and operating expenses	6,534	3,788	**10,322**	7,854	471	1,416	(5,731)	**14,332**
Operating income (loss)	**$ 2,343**	**$ 2,474**	**$ 4,817**	**$ (2,089)**	**$ 230**	**$ (1,416)**	**$ 254**	**$ 1,796**

(In Millions)	Three Months Ended Jun 28, 2025							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 7,871**	**$ 3,939**	**$ 11,810**	**$ 4,417**	**$ 1,053**	**$ —**	**$ (4,421)**	**$ 12,859**
Cost of sales and operating expenses	5,818	3,306	**9,124**	7,585	984	2,755	(4,413)	**16,035**
Operating income (loss)	**$ 2,053**	**$ 633**	**$ 2,686**	**$ (3,168)**	**$ 69**	**$ (2,755)**	**$ (8)**	**$ (3,176)**

(In Millions)	Six Months Ended Jun 27, 2026							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 16,604**	**$ 11,314**	**$ 27,918**	**$ 11,186**	**$ 1,329**	**$ —**	**$ (10,728)**	**$ 29,705**
Cost of sales and operating expenses	11,745	7,298	**19,043**	15,712	997	6,496	(11,203)	**31,045**
Operating income (loss)	**$ 4,859**	**$ 4,016**	**$ 8,875**	**$ (4,526)**	**$ 332**	**$ (6,496)**	**$ 475**	**$ (1,340)**

(In Millions)	Six Months Ended Jun 28, 2025							
	Intel Products							
	CCPG	DCAI	Total Intel Products	Intel Foundry	All Other	Corporate Unallocated	Intersegment Eliminations	Total Consolidated
Revenue	**$ 15,500**	**$ 8,065**	**$ 23,565**	**$ 9,084**	**$ 1,996**	**$ —**	**$ (9,119)**	**$ 25,526**
Cost of sales and operating expenses	11,086	6,857	**17,943**	14,572	1,824	4,015	(9,351)	**29,003**
Operating income (loss)	**$ 4,414**	**$ 1,208**	**$ 5,622**	**$ (5,488)**	**$ 172**	**$ (4,015)**	**$ 232**	**$ (3,477)**

Corporate Unallocated Expenses

Corporate unallocated expenses include certain operating expenses not allocated to specific operating segments. The nature of these expenses may vary, but primarily consist of restructuring and other charges, share-based compensation and certain acquisition-related costs.

(In Millions)	Three Months Ended Jun 27, 2026	Three Months Ended Jun 28, 2025	Six Months Ended Jun 27, 2026	Six Months Ended Jun 28, 2025
Restructuring and other charges[1]	$ 170	$ 1,890	$ 4,240	$ 2,046
Share-based compensation	687	664	1,307	1,348
Acquisition-related costs	117	119	230	270
Other	442	82	719	351
Total corporate unallocated expenses	**$ 1,416**	**$ 2,755**	**$ 6,496**	**$ 4,015**

[1] *See "Note 6: Restructuring and Other Charges" within Notes to Consolidated Condensed Financial Statements for further information.*

Intel Q2/H1 segment reconciliation, PDF physical page 13 / printed 11. Historical June-quarter source values include internal transfers and corporate costs.

Dated source evidence

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Consolidated Condensed Statements of Cash Flows

(In Millions; Unaudited)	Six Months Ended Jun 27, 2026	Six Months Ended Jun 28, 2025
Cash, cash equivalents, and restricted cash, beginning of period	**$ 14,712**	**$ 8,249**
Cash flows provided by (used for) operating activities:		
Net income (loss)	(15,129)	(3,911)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation	5,891	5,213
Share-based compensation	1,307	1,348
Restructuring and other charges	3,967	382
Amortization of intangibles	469	474
(Gains) losses on equity investments, net	111	(390)
Mark-to-market (gains) losses on Escrowed Shares	13,619	—
Deferred taxes	(27)	106
Impairments and net (gain) loss on retirement of property, plant, and equipment	165	482
Changes in assets and liabilities:		
Accounts receivable	(221)	1,004
Inventories	(874)	99
Accounts payable	310	114
Accrued compensation and benefits	(372)	1,022
Income taxes	(477)	(1,338)
Other assets and liabilities	(637)	(1,742)
Total adjustments	**23,231**	**6,774**
Net cash provided by (used for) operating activities	**8,102**	**2,863**
Cash flows provided by (used for) investing activities:		
Additions to property, plant, and equipment	(6,192)	(8,733)
Proceeds from capital-related government incentives	167	964
Acquisitions, net of cash acquired	(596)	—
Purchases of short-term investments	(12,737)	(5,730)
Sales of short-term investments	11,009	1,948
Maturities of short-term investments	7,724	6,627
Proceeds from divestitures, net	—	1,935
Other investing	(44)	984
Net cash provided by (used for) investing activities	**(669)**	**(2,005)**
Cash flows provided by (used for) financing activities:		
Issuance of commercial paper, net of issuance costs	—	3,493
Repayment of commercial paper	—	(1,496)
Payments on finance leases	(832)	(9)
Partner contributions	4,082	2,238
Partner distributions	(14,339)	(91)
Additions to property, plant, and equipment	(1,423)	(1,962)
Issuance of term debt, net of issuance costs	13,000	—
Repayment of term debt	(9,000)	(1,500)
Proceeds from sales of common stock through employee equity incentive plans	427	491
Restricted stock unit withholdings	(617)	(181)
Other financing	154	(397)
Net cash provided by (used for) financing activities	**(8,548)**	**586**
Net increase (decrease) in cash, cash equivalents, and restricted cash	**(1,115)**	**1,444**
Cash, cash equivalents, and restricted cash, end of period[1]	**$ 13,597**	**$ 9,693**

Intel H1 2026 cash-flow statement, released July 23. Historical source PPE, finance lease, partner and escrow accounting lines retain separate cash-flow scopes.

Dated source evidence

Arizona SCIP

We consolidate the results of an Arizona limited liability company (Arizona SCIP), a VIE, into our Consolidated Condensed Financial Statements because we are the primary beneficiary. Contributions and distributions made between Arizona SCIP and investors are generally made based on our and Brookfield's proportional ownership interest in Arizona SCIP.

We are the primary beneficiary of two new chip factories still partially under construction by Arizona SCIP; we have the right to direct how and for what purpose the underlying assets will be used and to purchase 100% of the wafer output. During the year ended December 27, 2025, Arizona SCIP began placing manufacturing assets into service, making the assets available for our use. The production contract commenced in the first quarter of 2026 and we are required to both operate Arizona SCIP at minimum production levels and limit excess inventory held on site or we will be subject to certain volume-related damages payable to Arizona SCIP.

The property, plant, and equipment assets owned by Arizona SCIP and included in our Consolidated Condensed Balance Sheets as of June 27, 2026, which are not available to us as they can be used only to settle obligations of the VIE, consisted of construction in progress assets of $6.0 billion ($5.6 billion as of December 27, 2025) and assets that have been placed into service of $13.8 billion ($12.2 billion as of December 27, 2025). The remaining assets and liabilities of Arizona SCIP were eliminated in our Consolidated Condensed Balance Sheets.

Mobileye

We consolidate our majority-owned subsidiary Mobileye pursuant to the voting interest model. In the first quarter of 2026, the non-cash impairment of goodwill related to our Mobileye reporting unit was attributed to Intel and to non-controlling interest holders based on our proportional ownership (see "Note 10: Goodwill" within Notes to Consolidated Condensed Financial Statements).

Note 4 : Earnings (Loss) Per Share and Stockholders' Equity

We computed basic earnings (loss) per share of common stock based on the weighted average number of shares of common stock that, during the period, are outstanding or are considered not contingently issuable based on the terms of the Warrant and Common Stock Agreement (U.S. Government Agreement). We computed diluted earnings (loss) per share of common stock based on the weighted average number of shares of common stock outstanding plus potentially dilutive shares of common stock outstanding during the period, if applicable.

	Three Months Ended		Six Months Ended	
(In Millions, Except Per Share Amounts)	**Jun 27, 2026**	**Jun 28, 2025**	**Jun 27, 2026**	**Jun 28, 2025**
Net income (loss)	**$ (10,848)**	**$ (3,024)**	**$ (15,129)**	**$ (3,911)**
Less: net income (loss) attributable to non-controlling interests	185	(106)	(368)	(172)
Net income (loss) attributable to Intel	**$ (11,033)**	**$ (2,918)**	**$ (14,761)**	**$ (3,739)**
Weighted average shares of common stock outstanding—basic	**5,104**	**4,369**	**5,108**	**4,356**
Weighted average shares of common stock outstanding—diluted	**5,104**	**4,369**	**5,108**	**4,356**
Earnings (loss) per share attributable to Intel—basic	**$ (2.16)**	**$ (0.67)**	**$ (2.89)**	**$ (0.86)**
Earnings (loss) per share attributable to Intel—diluted	**$ (2.16)**	**$ (0.67)**	**$ (2.89)**	**$ (0.86)**

Potentially dilutive shares of common stock from employee equity incentive plans and stock issuances are determined by applying the treasury stock method to the assumed exercise of outstanding stock options, the assumed vesting of outstanding RSUs, and the assumed issuance of common stock under the stock purchase plan.

The dilutive impact from the assumed issuance of common stock associated with contractual transactions, including the release of Escrowed Shares under Secure Enclave, that settled during the three and six months ended June 27, 2026 is determined from the date of the beginning of the period to the date the Escrowed Shares are released. We reflect these contractual transactions in the calculation of diluted EPS, as applicable, using the treasury stock method.

Due to our net losses in the three and six months ended June 27, 2026 and June 28, 2025, the assumed exercise of outstanding stock options, the assumed vesting of outstanding RSUs, the assumed issuance of common stock under the stock purchase plan, and the assumed issuance of common stock associated with equity issuance agreements, including Escrowed Shares released, as applicable, had an anti-dilutive effect on and were excluded from the computation of diluted earnings (loss) per share attributable to Intel. In the three and six months ended June 27, 2026, 70 million and 67 million anti-dilutive shares were excluded from the computation of earnings (loss) per share, respectively. In the three months ended June 28, 2025, securities that would have been anti-dilutive were insignificant and in the six months ended June 28, 2025, 158 million anti-dilutive shares were excluded from the computation of earnings (loss) per share.

Intel Q2 2026 EPS/equity note, released July 23. Historical EPS measurement and Arizona production/inventory obligations retain their dated definitions.

Dated source evidence

Escrowed Shares Issued to the U.S. Government

Per the terms of our previously-disclosed U.S. Government Agreement that we entered into with the DOC on August 22, 2025, upon receipt of cash proceeds for our performance under Secure Enclave, we released 7 million and 13 million Escrowed Shares during the three and six months ended June 27, 2026, respectively.

During the three and six months ended June 27, 2026, we recognized $12.5 billion and $13.6 billion, respectively, of losses related to the net change in fair value of both Escrowed Shares released and Escrowed Shares still held in escrow at June 27, 2026. The fair value of the Escrowed Shares derivative liability was $15.6 billion at June 27, 2026 and $2.7 billion at December 27, 2025, which we have recognized within *other accrued liabilities* and *other long-term liabilities*.

Of the 143 million Escrowed Shares not yet released as of June 27, 2026, 71 million are considered not contingently issuable based on the terms of the U.S. Government Agreement and, as such, have been included in our computation of basic earnings (loss) per share for the three and six months ended June 27, 2026. The remaining 71 million Escrowed Shares not yet released are considered contingently issuable based on the DOC's disbursements under Secure Enclave and, therefore, are excluded from basic and diluted earnings (loss) per share until the contingencies are met.

We also issued warrants to the DOC to purchase up to 241 million shares of our common stock at $20.00 per share (Warrants) that become exercisable if we cease to directly or indirectly own at least 51% of our foundry business. Potentially dilutive shares issuable under the Warrants have been excluded from all basic and diluted earnings (loss) per share calculations for the three and six months ended June 27, 2026 as the Warrants are neither currently nor expected to become exercisable. If exercised, we can elect to settle the Warrants in net cash or net shares.

Note 5 : Other Financial Statement Details

Restricted Cash

We have $723 million of restricted cash, of which $170 million is included in *other current assets* and $553 million is included in *other long-term assets* within the Consolidated Condensed Balance Sheets as of June 27, 2026 ($447 million as of December 27, 2025 is included in *other long-term assets*). Such restricted cash is also included within *cash, cash equivalents, and restricted cash* in the Consolidated Condensed Statements of Cash Flows for the six months ended June 27, 2026. The restricted cash serves as collateral for third-party arrangements we entered into and is considered legally restricted due to limitations on usage and withdrawal.

Accounts Receivable

We may sell certain of our accounts receivable on a non-recourse basis to third-party financial institutions. We record these transactions as sales of receivables and present cash proceeds as *cash provided by operating activities* in the Consolidated Condensed Statements of Cash Flows. We did not sell any accounts receivable under non-recourse factoring arrangements during the first six months of 2026 ($1.6 billion were sold during the first six months of 2025).

Inventories

(In Millions)	Jun 27, 2026	Dec 27, 2025
Raw materials	$ 1,046	$ 993
Work in process	8,685	7,840
Finished goods	2,761	2,785
Total inventories	**$ 12,492**	**$ 11,618**

Property, Plant, and Equipment

We invest in and deploy manufacturing assets in response to manufacturing capacity requirements based upon short- and long-term demand forecasts and economic returns relative to capital outlays. We regularly monitor, evaluate, and adjust our manufacturing capacity footprint in response to a number of volatile factors that impact our business, including demand for our products and services and the state of the semiconductor industry as a whole. In connection with the preparation of our Consolidated Condensed Financial Statements for the second quarter of 2025, we evaluated our process technology node capacities relative to projected market demand for our products and services, and concluded that our manufacturing asset portfolio exceeded manufacturing capacity requirements. Upon performing a re-use assessment, we impaired and accelerated depreciation for certain manufacturing assets. In total, we recorded non-cash impairments and accelerated depreciation charges of $460 million and $337 million, respectively, in the second quarter of 2025, net of certain items. All charges were recognized in *cost of sales* within our Intel Foundry operating segment.

We also incurred $416 million of other non-cash asset impairment and accelerated depreciation charges in the second quarter of 2025 as a direct result of the 2025 Restructuring Plan (see "Note 6: Restructuring and Other Charges" within Notes to Consolidated Condensed Financial Statements). These charges were included as a component of "corporate unallocated expenses" within the *restructuring and other charges* category presented in "Note 2: Operating Segments" within Notes to Consolidated Condensed Financial Statements.

Intel Q2 2026 government escrow and manufacturing-footprint note, released July 23. The historical share quantities and warrant conditions retain their June-quarter source date.

Primary source register

Intel Q3 2026 Form 10-Q

Intel Q3 2026 earnings release

Intel Q2 2026 filing

Intel 2025 annual report

The source exhibits carry their physical/printed locators. Displayed call reproductions, unreviewed audio, incomplete technical-paper coverage and unresolved legal/commercial terms retain their explicit qualifications beside the relevant company claims.